



2018

ANNUAL INTEGRATED REPORT
AND FINANCIAL STATEMENTS



TABLE OF CONTENTS

SCOPE OF THE REPORT

WHO WE ARE

OUR COMMITMENT TO INTEGRATED REPORTING	4
GROUP STRUCTURE	5
OUR PURPOSE	6
STRATEGIC PILLARS	7
HISTORY	8
VALUE CREATION BUSINESS MODEL	10
OUR BRANDS	12
MATERIAL THEMES	14
STAKEHOLDER ENGAGEMENT	16

HOW WE USE OUR CAPITALS

FINANCIAL CAPITAL	18
MANUFACTURED CAPITAL	20
INTELLECTUAL CAPITAL	21
HUMAN CAPITAL	22
SOCIAL AND RELATIONSHIP CAPITAL	24
NATURAL CAPITAL	25

OUR PERFORMANCE AND FUTURE OUTLOOK

MESSAGE FROM THE CHAIRMAN	30
MESSAGE FROM THE GROUP MANAGING DIRECTOR	34

OUR LEADERSHIP

BOARD OF DIRECTORS	38
SENIOR MANAGEMENT	42

CORPORATE GOVERNANCE

CORPORATE GOVERNANCE STATEMENT	46
GOVERNANCE PRINCIPLES	47
CORPORATE GOVERNANCE FRAMEWORK	48

BOARD FUNCTIONS	49
BOARD POLICIES	50
COMPOSITION OF THE BOARD	51
BOARD COMMITTEES, MEMBERSHIP AND MEETING ATTENDANCE	51
KEY DELIBERATIONS AND DECISIONS BY BOARD COMMITTEES	52
GOVERNANCE, LEGAL AND COMPLIANCE AUDIT	53
BOARD EVALUATION	53
ROLES OF THE CHAIRMAN AND CHIEF EXECUTIVE	54
SHAREHOLDING PROFILES	55
DIRECTORS' REPORT	57
DIRECTORS' REMUNERATION REPORT	59
STATEMENT OF DIRECTORS RESPONSIBILITIES	73

RISK MANAGEMENT AND INTERNAL AUDIT

RISK MANAGEMENT	76
INTERNAL AUDIT	78

GOVERNANCE AUDITOR'S REPORT

GOVERNANCE AUDITOR'S REPORT	82
-----------------------------	----

LEGAL AND COMPLIANCE AUDITOR'S REPORT

LEGAL AND COMPLIANCE AUDITOR'S REPORT	83
---------------------------------------	----

INDEPENDENT AUDITOR'S REPORT

INDEPENDENT AUDITOR'S REPORT	84
------------------------------	----

FINANCIAL PERFORMANCE REPORT

FIVE YEAR FINANCIAL REVIEW	88
AUDITED FINANCIAL STATEMENTS & NOTES	89

OTHER INFORMATION

NOTICE OF THE ANNUAL GENERAL MEETING	146
PROXY FORM	148



YOUR BABY'S
FAVORITE

BY'S
UJI



WHO WE ARE

OUR COMMITMENT TO INTEGRATED REPORTING	4
GROUP STRUCTURE	5
OUR PURPOSE	6
STRATEGIC PILLARS	7
HISTORY	8
VALUE CREATION BUSINESS MODEL	10
OUR BRANDS	12
MATERIAL THEMES	14
STAKEHOLDER ENGAGEMENT	16



WHO WE ARE

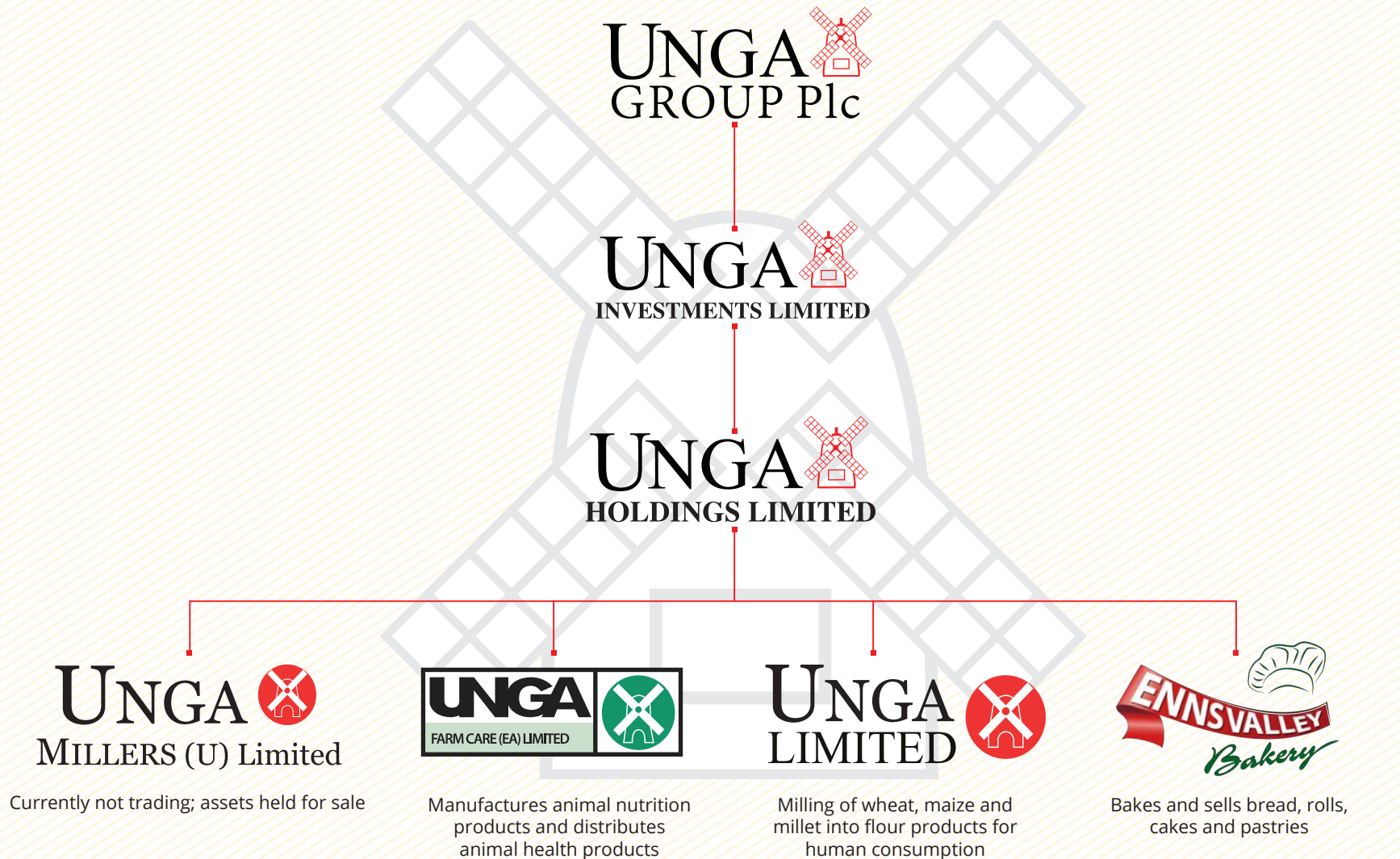
OUR COMMITMENT TO INTEGRATED REPORTING

Unga Group Plc is committed to best corporate governance practices. To further enhance accountability and transparency, the Group has this year made progress towards integrated reporting. This report is our first integrated report. We will continue to develop it to cover key issues that stakeholders would be interested in, to be able to gain a view of financial and non-financial performance of the Group and how it interacts with the society.

It aims at providing an overview of our framework for sustainable value creation, reporting current and future outlook financial and non-financial information and describing the link between the context in which we carry on our business, our strategy, our corporate governance structure and socio-economic foot print.

WHO WE ARE (continued)**GROUP STRUCTURE**

Unga Group Plc is a Kenya based holding company with investments in businesses involved in milling and manufacturing of a broad range of human nutrition products, animal feeds and animal health products.



WHO WE ARE (continued)

OUR PURPOSE

Our organisational culture defines who we are and how we work to ensure that we deliver on the expectations of our customers and other stakeholders, whilst living our STRIICT core values to achieve our vision and mission.



OUR MISSION:

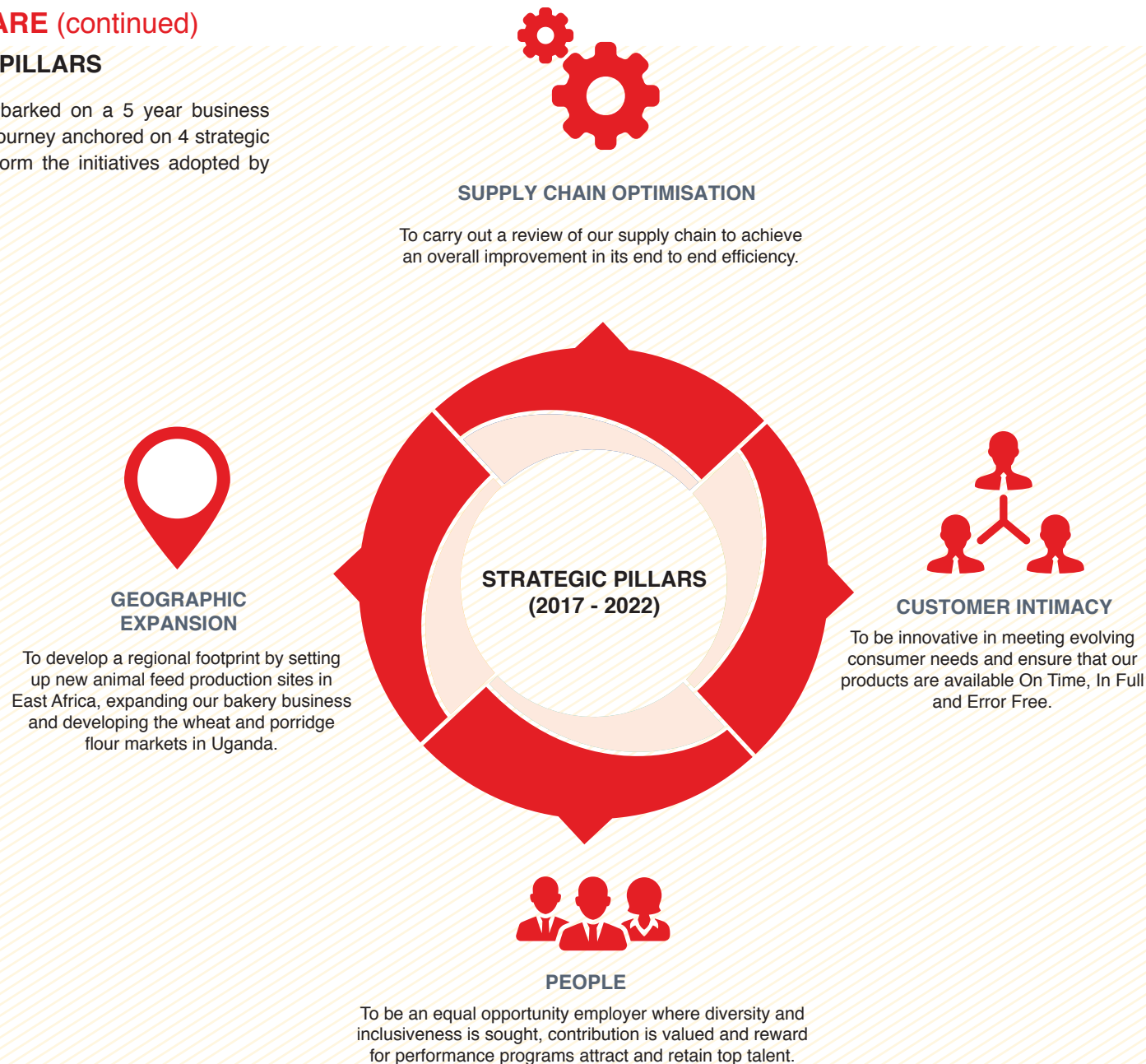
To achieve and maintain market share leadership in the provision of superior human nutrition, animal nutrition and animal health products and services for the benefit of all stakeholders within East Africa.



WHO WE ARE (continued)

STRATEGIC PILLARS

In 2017 we embarked on a 5 year business transformation journey anchored on 4 strategic pillars which inform the initiatives adopted by the Group.



...A brief history of Unga Group Plc



1911 - 1929

- 1921: New wheat mill commissioned in Njoro.
- 1924: Sadler Street mill sold – primarily because it was unable to compete with cheap wheat being imported from India – it was milling significantly more expensive local wheat
- 1927: **All shares in Unga Limited sold to the Wheat Growers Association, who then amalgamated with the Kenya Farmers Association in the same year**
- 1928: Unga(1928) Limited incorporated
- 1929: Purchased Kenya Grain Mills (who had a mill commissioned in 1925 on Commercial Street



1960 - 1969

- 1961: Assumed ownership of Elliot's Bakeries Ltd. (had been in operation since 1947)
- 1965: Acquired Maida Limited/Jogoo brand
- 1967: **Tanzanian entity nationalised**



1904 - 1910

- 1904: Lord Delamare planted his first crop of wheat on his Equator Ranch/Njoro – he was the first to grow wheat on a commercial scale in Kenya – first wheat grown in Kenya was at CMS (Church Missionary Society) Station in Machakos
- 1908: Unga Limited incorporated on 28th December
- 1909: **First bag of wheat flour produced at mill situated on Sadler Street (now Koinange Street) on 5th April - packed under the brand 'Kenia's Mist'. The mill was close to where Chester House is now located**

1930 - 1939

- 1932: Njoro mill burnt down - new wheat mill commissioned in Eldoret
- 1937: Acquired Sun Flour Mills in Eldoret - renamed White Star Milling Company Limited
- 1939: Leased wheat mill in Iringa/Tanzania

1940 - 1949

- 1945: Commissioned wheat mill in Arusha/Tanzania; purchased Iringa mill
- 1948: Doubled capacity of Eldoret mill

1950 - 1959

- 1953: Proctor & Allan purchased
- 1955: Uganda Grain Milling Company established; wheat milling commenced at Jinja in 1956
- 1956: **Public listing as Unga Limited, trading on Nairobi Stock Exchange**
- 1956: Nakuru Feeds plant opened
- 1957: Nakuru wheat mill commissioned; new Eldoret wheat mill commenced production



1980 - 1989

- 1981: Unga Feeds Ltd. established
- 1984: Chester House opened
- 1986: Ufuta Ltd. established
- 1987: **Mercat Ltd renamed Unga Group Ltd.**



2000 - 2009

- 2000: Seaboard Corporation investment via Unga Holdings Limited (65% Unga Investments Limited/35% Seaboard Corporation)
- 2002: Unga Millers (U) Limited commenced wheat milling operations in Kampala
- 2009: **100 Year anniversary**

UNGA 
MILLERS (U) Limited



1970 - 1979

- 1970: Unga Millers Ltd. renamed Mercat Ltd
- 1973: Partnered with Elianto AG and Agricultural Development Corporation to set-up new company called Elianto Kenya Limited based in Nakuru – factory opened by HE President Jomo Kenyatta on 2 December
- 1976: **Ugandan entity nationalised**



1990 - 1999

- 1991: **Unga House opened**
- 1994: Elliot's Bakeries Ltd. sold
- 1998: Bullpak Limited commenced operations (JV with Nampak SA from South Africa)
Proctor & Allan sold
- 1999: Unga Farm Care (EA) Ltd. established

2010 - 2018

- 2013: New wheat mill commissioned at Commercial Street
- 2014: Interest in Bullpak Limited divested
- 2015: **Controlling interest acquired in Ennsvalley Bakery Ltd.**
- 2017: Unga Millers (U) Limited ceased milling operations; floating fish feed plant commissioned at Dakar Road
- 2018: New wheat mill commissioned in Eldoret



WHO WE ARE (continued)

OUR VALUE CREATION BUSINESS MODEL

INPUTS

FINANCIAL CAPITAL

We endeavor to ensure that our funds (from shareholders, operations and facilities) are optimally utilised so as to generate a sound return to our primary stakeholders

- Total Assets: Shs 9.9 Billion
- Total Equity: Shs 5.6 Billion
- Cash & Cash Equivalent: Shs 1.1 Billion

MANUFACTURED CAPITAL

We continually undertake investments aimed at improving our operating efficiencies and reducing costs

- 6 Production centres (Nairobi, Nakuru and Eldoret)
- 13 Manufacturing units

INTELLECTUAL CAPITAL

We continue to invest in key focus areas

- Enterprise Resource Planning (ERP) systems, SAP & Microsoft Dynamics (NAV)
- Cyber Security
- Customer Relationship Management (CRM)
- Weighbridge software

HUMAN CAPITAL

We are cognisant that to support our growth we need a team that is qualified, experienced and given adequate resources to develop their talent in an environment which embraces diversity and fosters continual improvement

- Labor Force: 565

SOCIAL AND RELATIONSHIP CAPITAL

Our interaction with our stakeholders is anchored on trust and need for mutual cooperation to drive value creation

- CSR Initiatives
- Stakeholder Engagement

NATURAL CAPITAL

We continually engage in eco-friendly management programs which include

- Energy conservation
- Water conservation

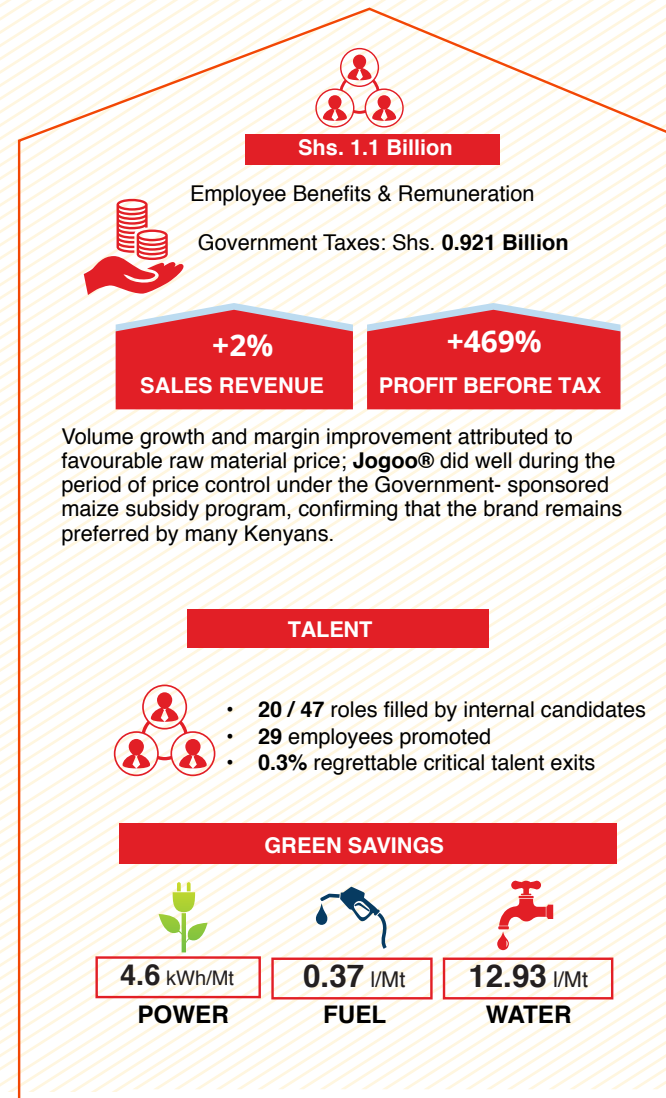


WHO WE ARE (continued)

OUTPUTS

- Total Wealth Created: **Shs. 2.49 Billion**
- Yields improved by **2.5%**
- Improved offloading capacity from **30 MT** to **50 MT** per hour
- 300 metric ton per day state-of-the art wheat flour mill in Eldoret
- **144 metric ton** per day soy processing plant in development
- Strategic placement of standalone retail bakery units
- Commercial sale phase of its range of Fugo® tilapia fish feeds
- Adoption and integration of Supervisory Control and Data Acquisition (SCADA) machine control systems
- Integration of Format Solutions with SAP which allows the animal nutrition business to monitor changing ingredient supplies, monitor nutrient values, test ingredients and adapt to regulatory changes
- **Shs 17.5 million** allocated for corporate governance training and learning workshops for leaders, managers and supervisors
- **Shs 37 million** allocated for employee welfare
- **Shs 26 million** allocated for medical care and insurance

OUTCOMES





OUR BRANDS: HUMAN NUTRITION

Touching lives through quality nutrition

As one of the largest millers in East Africa with a heritage of over a century in grain milling, we strive to provide a variety of superior human nutrition products ranging from wheat flour to maize meal, porridge, pulses and rice. Our broad range of products are versatile and are made from the finest and carefully selected grains to ensure that they offer superior nutrition. Our range of pulses and rice products are well preserved to ensure that they maintain their natural richness and nutrition right from harvest to packaging. We accomplish all this by paying attention to detail and striving to ensure quality consistency so that we offer the very best to our customers.





OUR BRANDS: ANIMAL NUTRITION & ANIMAL HEALTH

A heritage of consistent quality animal nutrition and health products

As the region's leading manufacturer and marketer of a broad portfolio of quality animal nutrition and health products, we ensure that your livestock get the best in class nutrients and health care. Our range of feeds offer a complete source of nutrition for poultry, cattle, pigs and fish. We also have a range of minerals and feed pre-mixes which are well balanced and formulated to derive the best results for your livestock. Additionally we offer a range of vaccines for disease protection along with nutritional supplements



WHO WE ARE (continued)

MATERIAL THEMES

**Energy Management**

Ensuring that we operate in an eco-friendly manner – optimal returns with minimal impact to the environment

- We continually employ initiatives aimed at reducing consumption of electricity, diesel and water across our sites
- We have redesigned our new mills to ensure that they are more eco – friendly, energy saving and efficient
- We intend to build more automation into our plants to improve labour productivity and cost management

- Natural Capital
- Social & Relationship Capital
- Manufactured Capital

**Product Availability**

Effect of the unsettling change in the modern trade landscape to the bakery business

- Upon exiting the Nakumatt retail chain in-store bakeries
- We have developed a portfolio of in-store outlets with leading supermarket chains
 - We are piloting our standalone retail bakery units model (KiQwetu®) to deepen our customer reach

- Financial Capital
- Manufactured Capital
- Intellectual Capital

Drop in the volumes of wheat flour due to increased competition and overall decline in consumer demand

- We have adopted aggressive expansion and diversification strategies which have provided new and emerging markets with our products
- We are making further improvements to our route-to-consumer, including trade support programs

- Financial Capital
- Intellectual Capital

Impact of the Government subsidy program on our premium maize meal brand Hostess®

- Sales volumes of Hostess® maize meal are gradually returning to previous levels

- Financial Capital

Capacity constraints and the growing regional demand for wheat products

- To increase penetration of our products hence overall production volumes
- We have set up a new state-of-the-art milling facility which is more efficient and flexible with regard to the products it produces
 - We are planning for the refurbishment of one of our existing mills in the next financial year

- Financial Capital
- Manufactured Capital

Slow growth volumes for Fugo® tilapia fish feeds as we transition to the commercial phase of the project

- To boost awareness and usage of our Fugo® tilapia fish feeds
- We have adopted a county-led strategic focus for fish feed sales
 - We are conducting extensive commercial trials with targeted customers and are diversifying into catfish feeds

- Financial Capital
- Manufactured Capital
- Intellectual Capital

WHO WE ARE (continued)

MATERIAL THEMES



Operations Management

Increasing costs of quality raw material

- We are setting up a soya bean meal processing plant to produce both full fat soy meal and soy meal which are basic materials critical for our animal feeds portfolio

- Financial Capital
- Manufactured Capital

Need to optimise our supply chain in line with best practices

- We are implementing a number of initiatives to optimise the group's entire supply chain model
- We are embedding our procurement organisation with the necessary processes, skills, technology and tools to support the business
- We have put mechanisms in place to allow continual review of our systems to drive quality enhancements

- Intellectual Capital
- Human Capital

Dynamic operating environment in Uganda impacting implementation of our business restructure initiatives

- Given the challenges relating to our intent to sell off our assets, we are evaluating alternate uses of the assets

- Financial Capital
- Manufactured Capital

Human Capital Management

Optimal utilisation of human capital by fostering collaboration, drive engagement and deepen teamwork

- We have undertaken a number of initiatives to ensure all employees are embracing the *Unga Way of Leading*, which include but are not limited to
- Carrying out assessment of management capabilities and addressing the performance gaps

- Human Capital

Management of Liquidity

- Constrained cash flow due to:
- Delayed payments for grain sold to the Government
 - Delayed VAT refunds

We will continue to work with our industry colleagues to pursue timely payment of the amount owed

- Financial Capital
- Social & Relationship Capital



WHO WE ARE (continued)**OUR STAKEHOLDER ENGAGEMENT****SHAREHOLDERS AND INVESTORS**

We provide our shareholders and investors with timely and reliable information so that they can be well versed with our business operations and performance. We communicate to them through our annual report, half yearly report, news releases, website and presentations to investors and other stakeholders on request. The website provides extensive information about the Board of Directors, the board committees and their mandates. In addition, our Board of Directors encourages shareholder participation at the Company's annual shareholder meeting.

GOVERNMENT AND REGULATORY BODIES

We contribute towards the appropriate regulation of our industry through constant engagement with relevant government institutions and regulatory bodies. We also engage with authorities at county level to ensure that our operations run smoothly. We showcase their overall benefit to the communities we interact with.

We pay applicable taxes and statutory contributions in a timely manner.

COMMUNITIES

We appreciate the need to ensure that we not only exist in harmony with communities in our zones of operation but also focus on uplifting and supporting them as they seek to embetter their lives. We have set up opportunities in our day to day operations to accommodate community focused initiatives which seek to empower the communities and assist them in protecting their environment.

EMPLOYEES

In addition to recruiting 'best in class' talent, we have availed resources to ensure that our employees can grow and fulfill their potential. We provide accessible and credible channels through which they can communicate and give feedback to management, peers and subordinates.

SUPPLIERS AND CONTRACTORS

Our commitment to providing superior human and animal nutrition products is dependent on how well we relate with our vendors. We have fostered an environment which encourages them to collaborate with us, aligning with our vision and core values.

INDUSTRY BODIES

Through active membership and/or participation, we advise the relevant authorities and contribute to industry associations. Through this engagement, we are able to support and collaborate in industry-led initiatives which have both direct and indirect impact on our operations, matters of economic, social and environmental concern.





HOW WE USE OUR CAPITALS

FINANCIAL CAPITAL	18
MANUFACTURED CAPITAL	20
INTELLECTUAL CAPITAL	21
HUMAN CAPITAL	22
SOCIAL AND RELATIONSHIP CAPITAL	24
NATURAL CAPITAL	25



HOW WE USE OUR CAPITALS

We continually seek to harness the optimal potential of our capitals to ensure maximum returns to our shareholders, employees, customers, the community and other stakeholders.

FINANCIAL CAPITAL

Our operations are anchored on investment in efficient and effective allocation of financial capital. The source of funds is a combination of cash generated from operations, facilities from lending institutions and shareholders. By optimising the use of financial resources we ensure that our employees, suppliers, distributors and shareholders receive a reasonable return.

Value Added Statement

"Value added" is the worth we have added to purchased materials and goods by process of manufacture and conversion, and the sale of its products and services. This statement shows how the value so added has been distributed.

	2018	%	2017	%
	Shs'000		Shs'000	
Revenue	19,982,070		19,528,785	
Net cost of raw materials, goods and services	(17,606,292)		(17,976,552)	
Wealth created from operations	2,375,778		1,552,233	
Finance income	116,649		67,415	
Total wealth created	2,492,427	100.0	1,619,648	100.0
Distributed as follows				
Employees				
Benefits and remuneration	1,102,375	44.2	1,314,365	81.2
Governments				
Taxation	510,492	20.5	116,438	7.2
Providers of capital	166,493	6.6	152,640	9.4
Finance charges	90,786	3.6	76,933	4.7
Distributions to shareholders	75,707	3.0	75,707	4.7
Retained for growth	713,067	28.6	36,205	2.2
Depreciation and amortization	373,537	15.0	295,282	18.2
Profit for the year attributable to shareholders of the Company	339,530	13.6	(259,077)	(16.0)
	2,492,427	100.0	1,619,648	100.0

HOW WE USE OUR CAPITALS (Continued)

Contribution to Public Finances

We are committed to acting with integrity and transparency in all tax matters. This is important given that our contribution to public finances represents a major part of our positive impact in the society in which we operate. In our view, a public statement of the amount of cash transferred from the Group to the Government is one of the most effective forms of tax transparency.

This year, we paid taxes to the Government of Kenya amounting to Shs 921,487,000 in cash, made up as follows:

	2018	2017
	Shs'000	Shs'000
Employee taxes	185,388	208,234
Corporate taxes	12,108	175,104
Value added tax	6,128	139,229
Customs duties	438,418	617,437
Tax collection on behalf of Government	279,096	277,408
Others	349	19,253
Total	921,487	1,436,666

The Group's tax charge from continuing operations for 2018 of Shs 510,492,000 was 338% higher than the prior year (2017: Shs 116,438,000) in line with growth in operating profit. This report is presented on an actual cash-paid basis, in addition to our statutory reporting, to provide the clearest possible insight into the scale of cash flowing from the Group to the Government.

The Group for several years has continued to engage with the Kenya Revenue Authority to address challenges faced in collecting VAT refunds outstanding for several years. In total the amounts claimed, approved and pending refund amount to Shs 423,000,000. The continued delay in the Group's receipt of these funds poses a risk to its liquidity and consequently the ability to continue to make a positive impact in the society.

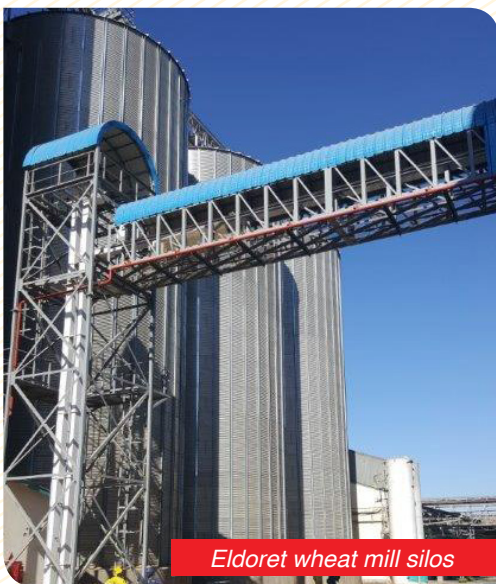


HOW WE USE OUR CAPITALS (Continued)

MANUFACTURED CAPITAL

We have continued to make significant investments in our operating infrastructure to enhance our efficiency and effectiveness.

This financial year, we invested in a new state-of-the-art 300 metric ton per day wheat flour mill in Eldoret to meet the increasing demand for quality flour in the region.



Eldoret wheat mill silos

In our endeavor to lower our costs and control the quality of our critical raw materials, we are currently installing a new 144 metric ton per day soy processing plant. The plant will be able to furnish our animal nutrition business with both full fat and standard soy meal.

Below are the other investment initiatives undertaken at our various sites to enhance efficiencies.

Yield Improvement Efficiencies

- Addition of a moisture conditioning system
- Design of a small packs packing line to separate big pack from small pack processing
- Automation of the conditioning water addition system

Cost Related Efficiencies

- Implementation of video jet printers coding for four feed packing lines namely mash, pellets, fish and small packs

Time Related Efficiencies

- Installation of new finished goods weighbridge
- Installation of a new intake conveyor

Energy Related Efficiencies

- Installation of voltage stabiliser and power factor correction bank
- Replacement of batching software Batchlite with E-weigh
- Installation of a VSD on one of our hammermills
- Installation of new VSD+ GA7 air compressor



HOW WE USE OUR CAPITALS (Continued)

INTELLECTUAL CAPITAL



Product Development

Faced with a dynamic marketplace, adaptability and innovative product development have become central to the Group. Our heritage of quality products has also continued to build our reputation amongst our consumers as the preferred brand of choice. This can be evidenced by the performance of our Jogoo® maize meal brand during the Government-sponsored maize subsidy program.

In line with our vision “Nutrion for Life”, we continue to revitalise our milled products with micronutrients. Whilst this has been made a regulatory requirement recently, we consider ourselves to be among the pioneers of this initiative. We have been producing fortified maize meal since long before it was made obligatory. Famila® Pure Wimbi is voluntarily fortified with calcium in order to protect the elderly against osteoporosis.

As for our bakery business, this year, the company rolled-out its new brand logo as it seeks to re-establish its identity. In addition, we are piloting the KiQwetu® retail outlet concept within Nairobi with an intent to reach lower income consumers.

In our endeavor to meet the nutritional demand of the growing fish farming industry, we are developing a range of Fugo® catfish feeds and plan to introduce them before the end of the 2019 financial year.

ERP and Digital Transformation

The key value being derived from use of SAP ERP is the benefit of using an integrated system. The system provides a secure platform that is stable, reliable and enhances data integrity. System utilisation is continually improving; employees are able to work and transact "on the fly" and remotely when business demands.

We implemented the latest version of Microsoft Dynamics (NAV) at the bakery going 'live' at the beginning of the current financial year.

More needs to be done to bring us to the desired levels of digital transformation. The ICT Strategy 2016-2020 is driving this process and positive results are evident.

Cybersecurity

The prevalent threat of cyber-attacks on organisations globally remains one of our top concerns. Top cyber security risks have been identified and a strategy to execute them mapped out; a well-defined and well executed cyber security strategy gives confidence to our stakeholders.

This financial year, we subscribed to KnowBe4 Cyber Security Awareness training - an online program which resulted in enhanced awareness of risks and improved our security posture.

HOW WE USE OUR CAPITALS (Continued)

HUMAN CAPITAL

Our people being a critical resource for the success of our business, we strive to ensure that we:

- Recruit qualified and experienced talent in line with our current and future business requirements
- Provide them with opportunities to enhance their skills and competencies
- Embed our principles of Continual Improvement in our policies, procedures and processes
- Always work to improve our culture and integrate our core values in all that we do

Performance Management

To ensure that individual performances reflect those of the Group, we:

- Better aligned goals to the overall business objectives and as a result, this financial year, we were able to achieve performance curves that reflected the overall business performance.
- Implemented Performance Improvement Plans through inclusivity to ensure all our employees understood and appreciated the value of the process.
- Evaluated our level of commitment to our core values through behavior measurement and where necessary conducted training to address performance gaps.
- Invested to elevate the competence in managers and employees to give and receive feedback.

Talent Management

Through succession planning, we endeavor to have a pool of well-prepared employees to take up more challenging roles when opportunities arise. In line with this, some of the initiatives we undertook this year include:

- Job rotations and secondment within the operating companies to support skills enhancement
- Enrolling:
 - several employees for milling courses as part of talent development
 - our leaders in a comprehensive 1-year leadership competency

development program which incorporated learning labs and project based learning

We have also embraced digital learning as a method of continually improving employee skills and competencies.

Employee Recognition

In order to maintain our competitiveness as an employer of choice, we continually review our reward and remuneration policies and also benchmark ourselves by participating in annual remuneration surveys. During this financial year:

- We aligned the structure of our sales commissions to make them more attractive with a focus on motivating higher performance
- Celebrated our long serving employees
- We incorporated, among others, employee of the month recognition schemes to acknowledge employees who live our values and behaviours



Leadership training

HOW WE USE OUR CAPITALS (Continued)

Organisation Change and Development

Our Culture is our bedrock; we strive to improve this through our ongoing culture transformation journey. As we continue on this journey, we constantly seek to improve the quality of our leadership since it is a reflection of our beliefs and values i.e. our culture. This year, based on employee feedback from 360 reviews, our leadership and management teams underwent a 1-year leadership training focused on improving their competencies.

HR Effectiveness

We endeavor to achieve high levels of employee productivity through aligning our robust organisation structure with our business strategy. Some of the initiatives we have adopted include:

- Better contracting and alignment of remuneration of our outsourced labour
- Enhancing our leave management policy to encourage work life balance
- Providing good medical cover that supports employees and their families
- Providing regular health talks and comprehensive wellness checks

Labour Turnover

Our labour turnover was mostly driven by the necessary restructuring at Ennsvalley Bakery leading to redundancies and terminations.

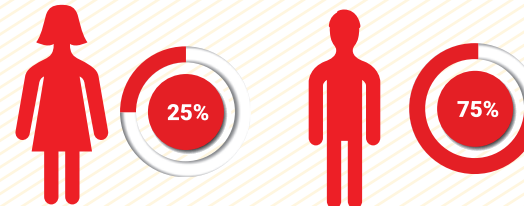
Business	Total Turnover
Unga Limited	9%
Unga Farm Care (EA) Limited	8%
Ennsvalley Bakery Limited	31%
Total	15% (7.3% Redundancies & Terminations, 8% Resignations, 0.3% Critical Talent)

Employee Profile Age Distribution



Age Bracket	Number
20 - 29	124
30 - 39	285
40 - 49	119
Over 50	37
Total	565

Gender Distribution



Labour Productivity

Business	Labour Cost to Revenue Ratios		
	Target	Achieved	Comment
Unga Limited	4%	4.2%	Slightly off target.
Unga Farm Care (EA) Limited	4.7%	2.5%	Great improvement supported by revenue growth
Ennsvalley Bakery Limited	11.7%	14.21%	Productivity off target; improvement initiatives underway

HOW WE USE OUR CAPITALS (Continued)

SOCIAL AND RELATIONSHIP CAPITAL

Stakeholder Enagament



We hold this fact to be true, that the success of the Group is pegged on how well we interact to enhance individual and collective wellbeing of our shareholders, employees, customers, suppliers, stakeholders and the community within our areas of operation.

Uplifting our Communities

We continually seek to embetter the communities around us through initiatives that speak to their well-being, empowerment and addresses their environmental challenges.

1. Student Mentoring and Sponsorship

We continue to mentor and sponsor select needy students within our areas of operation. In this financial year, we sponsored two students from Wareng High School in Eldoret and one from Nakuru Girls High School for their university enrollment. In addition, we paired them with our members of staff in the respective regions to mentor them as they embark on their university education. In spite of the fact that we ceased operations in Uganda, we have continued to support an orphan student currently in Form 5 at Trinity College, Nabbingo. As always, we appreciate and celebrate our success – one of the students we sponsored at the University of Nairobi graduated with a BSc Chemistry (2nd Class Upper Division) during the financial year. Our commitment will not stop there, we shall continue to mentor her as she begins her employment journey.

2. Community Welfare

We appreciate the fact that we need to empower the communities within our zones of operation so that they can be self-sustaining. Based on this, we set up a bakery at Wareng High School which has been running for the last 3 years. Through the bakery, we supply all the bread consumed in the school on a day to day basis. As a result of this initiative, the school saves approximately Shs 220,000 per month. In addition, the trees planted in 2016 have been a source of firewood after trimming; the Eldoret plant also donates waste wood for use in the bakery from time to time.



Wareng High School students enjoying bread from their bakery

Humanitarian assistance is also a key focus area for the Group. During the financial year, our staff based in Nakuru visited and gave donations to survivors following the Solai dam tragedy in Bahati. Through the Wellness Champions, UFCEA staff made in kind donations during their bi-annual visit to Arap Moi Children's Home which takes care of needy children who have been neglected, abused or orphaned.



Our staff making donations to survivors of the Solai dam tragedy

We continued to support the Kenya Red Cross Society through sponsorship of the annual fundraising dinner, and for the 5th year running we supported Faraja Cancer Support Trust by donating pastries and snacks served during their donation breakfast meetings.

HOW WE USE OUR CAPITALS (Continued)

3. Environmental Conservation

The need to ensure that our environment is habitable has seen the Group, through our subsidiaries, participate in environmental conservation initiatives.

- a) Our Nakuru staff participated in the clean-up of Lake Nakuru and its inlets to make the lake more habitable to flamingoes and other aquatic life. The exercise is a joint initiative of the County Government of Nakuru and corporate organisations in Nakuru County. In addition to cleaning, our staff were also involved in the implementation of the sustainability plan of creating awareness on waste management among Nakuru residents.
- b) They also participated in a tree planting exercise along the Nakuru-Nairobi highway and Ng'ambo in Nakuru West constituency. The initiative is in line with the Government's initiative of planting one million trees in Kenya so as to increase forest cover to 10%.
- c) Continued sponsorship of the annual Rhino Charge event which raises funds for the protection of Kenya's water towers.

NATURAL CAPITAL



The need to conserve our resources and ensure that our activities have minimal impact on our environment is at the core of our operations. As a result, we continually engage in energy management and other environmental conservation programs. Some of the Green Energy Initiatives we have undertaken across our plants include: Installation of sky-lighting in all our warehouses, motion sensor for office lighting, double sided printing, rain water harvesting and metering with our latest being a complete green energy saving mill house for the new Eldoret wheat mill.

Eldoret Wheat Mill Projected Saving on Lighting System

	T5-Flourescent Tubes (Old Fittings)	NS56-LED Tubes (New Fittings)	Projected Saving
Lamp rating (Watts)	58	40	18
Electricity Consumption - Lighting system, wheat mill & admin block (kWh)	60,886	18,265	42,621
Shelf Life (Hrs.)	16,000	60,000	44,000
Cost of Electricity - Lighting system, wheat mill & admin block (Shs)	1,033,462	413,385	620,077

HOW WE USE OUR CAPITALS (Continued)

Conservation initiatives and statutory practices

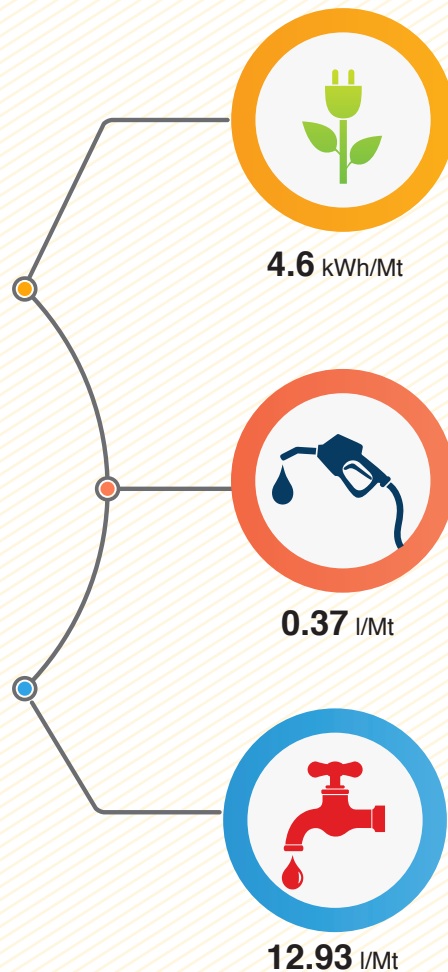
Highlighted below are some of the environmental conservation initiatives and statutory practices.

Area	Initiative/Statutory Practice	Impact
Industrial discharge (waste water, dust, fumes)	Effluent parameter control from source	Control of pollution into the sewer and water ecosystem
	Combustion control through stack emission /flue gas testing for boilers	Control of atmospheric/air pollution
	Dust collection system autonomous maintenance	Control of atmospheric/air pollution
Waste segregation & disposal	Segregation bins	Recycling options
	Acceptable disposal methods on hazardous & e-waste	Reduction in chemical reaction
Water Consumption	Rain water harvesting.	Reduction in water demand from municipality
Noise level Control	Noise isolation (damping) on blower, grinder and compressor rooms	Control of noise pollution Occupational health protection
Water quality	UV purification units on drinking water fountains	Control of water pollution Occupational health protection
Environmental monitoring	Routine environmental inspections/ audits (internal & external)	Sustainability



HOW WE USE OUR CAPITALS (Continued)

We appreciate that these initiatives not only ensure that we operate in an eco-friendly manner, but also assist in managing the cost of our operations thus improving our bottom line. Below are some of the initiatives we implemented during this financial year.



Energy Management

Electricity consumption

- Throughput improvement across all plants
- Modification of Self Raising flour blending - plant at Unga Limited, Commercial Street.
- Replacement of old motors and compressors with energy efficient models
- Condition based monitoring of compressed air system for leak control
- Other operational controls - Use of bucket elevators in place of pneumatic lifts

Fuel Consumption

- Improved throughput of the pelleting equipment
- Condition based monitoring of steam leaks along steam line
- Intake water softening process to control scaling of the fire tubes and optimal boiler operating pressure

Water Consumption

- Rainwater harvesting (10,000 litres minimum storage capacity per plant)
- Sealing off the leakages within the water distribution system
- Installation of sensor taps to minimise wastage



UNGA
LIMITED
Your Nutrition Partner



**POSITIVE
VIBES**

OUR PERFORMANCE & FUTURE OUTLOOK

MESSAGE FROM THE CHAIRMAN	30
MESSAGE FROM THE GROUP MANAGING DIRECTOR	34

OUR LEADERSHIP

BOARD OF DIRECTORS	38
SENIOR MANAGEMENT	42



OUR PERFORMANCE AND FUTURE OUTLOOK

CHAIRMAN'S STATEMENT



ISABELLA OCHOLA - WILSON

"We continue to build on our strong presence across the region by adhering to our four strategic pillars of "Customer Intimacy", "Human Development", "Expansion & Diversification" and fourthly "Supply Chain Management"

Dear Shareholder,

Unga Group Plc is constantly evolving, adapting and developing solutions and products that ultimately allow for the improvement of food security in the region. The World Food Summit of 1996 defined food security as existing when all people, at all times, have physical, social and economic access to sufficient, safe and nutritious food to meet their dietary needs for a productive and healthy life. Unga Group Plc's vision "Nutrition For Life" is central to the provision of major sources of carbohydrates and proteins for human consumption, and to the provision of animal feeds for the production of animal proteins.

Our vision is aligned with the Government of Kenya's 'Big 4 Agenda'; where under the 'Food Security and Nutrition' Pillar, His Excellency, The President has

declared that new and innovative initiatives are to be used to enhance large scale production of food and to ensure that Kenyans have access to safe and nutritious food. Unga Group Plc (UGP) has, for over a century, been building the resources and developing capacity to provide a steady supply of flours, animal feeds, cattle minerals and more recently, pulses and grains, regardless of environmental factors and changes to annual harvests, to Kenyans.

In this year's Annual Report and Financial Statements for the year ended 30th June 2018, I am pleased to report the significant progress that UGP has made in getting its financial performance back on track. Whilst the Group recorded a modest growth of 2% in sales revenues, profit before tax from continuing

Revenue

+2%

Profit Before Tax

+469%

Earnings Per Share

+1271%

Capital Expenditure

Shs 884 M

OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

CHAIRMAN'S STATEMENT (continued)

operations recorded a notable increase of 469%; this in spite of a severe drought and the uncertainty of the repeat presidential election. These results were attributable primarily to (a) consumer preference for Jogoo® during the period of the maize subsidy program, (b) high demand for wheat flour when maize meal was in limited supply, and (c) improved animal feed volumes and margins realised as a consequence of increased demand from both poultry and dairy farmers.

We continue to build on our strong presence across the region by adhering to our four strategic pillars of “Customer Intimacy”, “Human Development”, “Expansion & Diversification” and fourthly “Supply Change Management”, which we believe enhance our resilience to changes in the external environment. These pillars have informed our specific activities since 2015 and were developed as part of a five-year business transformation journey. The strategy adopted by your Board has positioned us for sustainable long-term profitable growth, and seen us deliver another year of solid operating results and financial performance.

ON CUSTOMER INTIMACY

We have continued to meet market demand regardless of the unsettling change in supermarket distribution and presence across the country, and the damage to infrastructure due to unexpectedly high rainfall. Our customer intimacy strategy involves a long-established relationship with the public, to better understand local consumer trends and customer needs. We have developed innovative and customised solutions, including the implementation

of digital tools to reach our customers and provide them with the information and range of products that they have come to expect. In addition, the adoption of Customer Relationship Management (CRM) software has built on the recently commissioned Enterprise Resource Planning (ERP) system, SAP, which has allowed us to interact more closely with our trade partners.

Whilst our wheat brands saw a drop in volume growth compared with the previous year, impacted by the increase in competition and an overall decline in consumer demand, our maize, porridge, pulses and rice portfolio delivered strong volume growth compared with the previous year.

Performance in both the animal nutrition and health businesses saw exceptional volume growth over the prior year, with the feeds category growing across all of the major product lines. Our customers continue to support the purchase of our superior products, due to the value generated from better yields.

Our bakery, Ennsvalley, has rationalised its product-line to better meet consumer needs. With over 150 different products, we have continued to meet the expectations of our discerning clientele, in spite of the negative impact created by the loss of our in-store relationship with Nakumatt. This however, substantially reduced sales and our volumes dropped significantly across all four of our product lines: bread, cakes, rolls and pastries. In order to increase our engagement with non-traditional customers, we started piloting a new approach to deepening our consumer reach under the KiQwetu®

retail outlets model in high density areas around Nairobi. These standalone retail bakery units have been strategically placed in Kahawa West and Tassia Pipeline to provide a range of hot, fresh and healthy baked goods and snacks to both school children and working families, on a daily basis.

The creation and provision of an outstanding customer experience remain at the core of everything we do. So far, our success has positioned us as the brand of choice in the market. We plan to build on this into the future to continue to provide our customers with products for a more modern and rapidly developing and quality-conscious human and animal nutrition sector.

ON HUMAN DEVELOPMENT

Building on the culture transformation program that was introduced in 2016, we continued with the organisational competency development exercise. The main objective of this process was to align our employees with our strategic direction, enhance healthy interactions within the workplace and extract the best out of every employee by identifying performance gaps as well as areas of success. As such, we have put in place career development plans, an improved succession planning process and developed leadership and sales competency frameworks.

In order to plan for the succession process and to develop leadership, our human resources department uses a performance potential matrix (PPM) to identify key resources. The matrix was



OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

CHAIRMAN'S STATEMENT (continued)

designed to identify individuals that could be developed to assume greater responsibilities within the group, raise staff motivation and improve employee retention. The process includes discussions held between line managers and individuals, to ensure alignment.

Our management teams undertook deliberate measures to ensure that promising employees were continually being groomed to take up key roles in the future. As such, and in accordance with our career development plans, of the 47 roles filled over the last year, 20 of these positions were filled by internal candidates. These individuals had established knowledge of the company culture, relationships with other employees, and had proven track records of success within the company. Further to this, 29 employees were promoted to take on higher roles, in line with our succession planning process. These individuals were recognised as having the potential to lead their respective teams, allowing for talent development and meeting a 90% success rate with our succession plan.

Having budgeted a total of Shs 17.5 million for training, we provided a number of different sessions for different sections of our company. The human resources professionals were exposed to corporate governance training in order to improve human resource management and to meet full compliance with human resource governance. Professional coaching was provided in order to build internal capacity for coaching. A learning managers symposium was held, to improve on the transfer of knowledge, to support leadership development and

to enhance understanding of industry relations.

Through active engagement with the company's medical insurance provider, our management teams have devised systems to promote employee wellness, particularly with regard to maternity and respiratory issues. Close to Shs 37 million was earmarked for employee welfare needs while Kshs 26 million was spent on medical care and insurance.

The culture of Unga remains a strong force in the employee experience. We are committed to delivering opportunity for our staff to develop and grow. Towards the end of the year we commissioned a culture survey which will allow us to determine progress against the benchmark survey conducted in 2016. We believe that our efforts this year have yielded positive results, particularly as it relates to information flow across the organisation.

ON EXPANSION AND DIVERSIFICATION

Unga's regional manufacturing network, innovation and sales presence has continued to allow us long-term growth across our portfolio. We have strived to adapt to and meet the demands of an ever-changing market. Although Nairobi, Nakuru and Eldoret may be synonymous with Unga as the centres of our production; our presence far exceeds these three areas. We work closely with local farmers to both purchase and provide products throughout the country all year round.

Unga Limited has invested heavily in the establishment of a new state-of-the-art wheat mill in Eldoret. This 300 tons per day (grain) unit,

scheduled to be commissioned in October 2018, will allow us to better meet market demand whilst producing higher quality flour more efficiently.

As reported last year Unga Farm Care (EA) Limited (UFCEA) commissioned its extruded fish feed plant located in Nairobi in March 2017. The plant, built with the assistance of a Dutch government grant and a technical support agreement with Nutreco/Skretting, is the first of its kind in the region. The high-quality floating fish feed offers the best in nutritional value for the growing tilapia farming sector. Members of the UFCEA sales team worked closely with Skretting to develop co-branded packaging and in November 2017 partnered with four fish farms to test the newly developed products. As anticipated, subsequent sales growth has been slow but steady, as farmers test the product for themselves and realise the promised benefits. Sales of the new feed have been made to the Vihiga County and extensive commercial trials are also underway at Victory Farms, the largest cage farming operation on Lake Victoria.

Operating in a highly competitive market environment where raw material costs and quality are key, UFCEA recently secured Board approval for a soya bean meal processing plant located at the Nairobi Feeds facility; this is expected to be fully operational before the end of the current financial year. The plant will allow us to meet our entire soya bean meal needs from in-house production.

At Ennsvalley Bakery, whilst a limited range of products remains available on shelf at the remaining

OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

CHAIRMAN'S STATEMENT (continued)

Nakumatt stores, management is planning for the establishment of additional in-store counters with Chandarana Food Plus Supermarkets and with other leading supermarket chains. Additionally, if the KiQwetu® concept proves successful it will be expanded to include additional outlets, with a view to one day moving them to a franchise model.

Our strategies of expansion and diversification have provided new and emerging markets with our products. We have continued to drive improvements without compromising our quality or safety standards by adopting modernity and technology to realise this.

ON SUPPLY CHAIN

In July 2017, management embarked on a project to review the group's entire supply chain model. Between July and September of 2017 management, supported by consultants, undertook an assessment of the entire spend (excluding payroll costs) and ascertained that there was over time, the potential to make savings totaling hundreds of millions of shillings. The same team then started to assess the existing procurement process against best practice; this will be ongoing throughout 2018. Their work, led to the idea that the procurement organisation, processes, skills, technology and tools to support the business, need to be embedded in all areas.

In keeping with our modernity plans, we intend to build more automation into our plants. This will lead to improvements in labour productivity and cost control. Ultimately, in order to improve our manufacturing and supply chain networks, we will continue to evaluate our systems in order to drive

quality enhancements and cost savings that will maximise customer and shareholder value.

FUTURE OUTLOOK

Without doubt, the 2018 financial year has been an excellent one for the Group. We believe that, given anticipated favorable raw material prices, the animal nutrition business will continue to grow from the strong volume base established in 2018. However, the expected ready availability of maize grain and the impact of increased wheat milling capacity on flour price, will make for a challenging year with the human nutrition business. We will however continue to develop and introduce new products whilst making further improvements to our route-to-consumer, including trade support programs.

Seaboard Corporation's offer in early February 2018 to purchase the outstanding minority shareholding in UGP that they did not already own, closed in late June. In spite of their not achieving adequate shareholding (acting in concert with Victus Limited) to seek automatic de-listing, they have decided, with Capital Markets Authority approval, to retain the shares that were offered to them and are now UGP's second largest shareholder. The Board will continue to work diligently in the interest of all its shareholders to ensure that UGP remains a market leader within the region and plays a pro-active role in ensuring food security and adequate nutrition for all.

APPRECIATION

Given our diverse product portfolio and broad regional scope, this year, we successfully navigated changing through customer landscapes as well as severe weather events and difficult political

environments. However, without our stakeholders' support Unga would not have been able to weather such difficult times and deliver the positive results you see today. I wish to thank you all for your continued commitment to Unga.

I wish to convey my gratitude to our consumers who, in the face of shortages and supply disruption, have continued to show their loyalty to Unga. I also appreciate the support we have had from the Government of Kenya, especially the Ministry of Agriculture, Livestock and Fisheries, with whom we have worked very closely and positively related to the development of fish feed and with fellow maize millers, who rallied to the Government's call to ensure that maize meal remained available to Kenyans at affordable prices.

The Board also wishes to thank our management and the rest of the staff who have worked tirelessly to ensure that Unga remains at the forefront in the market place despite the very challenging operating environment.

Finally, my special thanks to my Board member colleagues for their total support and their valuable contributions and commitment to our Vision and Mission.



I Ochoa-Wilson (Mrs)
Chairman of the Board



OUR PERFORMANCE & FUTURE OUTLOOK (Continued)

GROUP MANAGING DIRECTOR'S REPORT



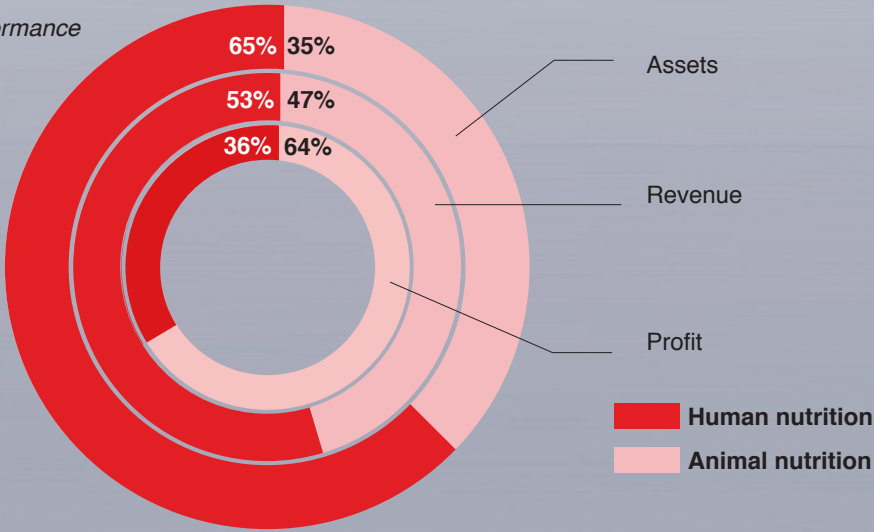
NICK HUTCHINSON

"We are an organisation that strives to deliver on the expectations of our customers and other stakeholders by living these core values: Self-Responsibility, Trust, Respect, Integrity, Innovation, Continual Improvement and Teamwork"

Dear Shareholder,

In a competitive and evolving market, change is our only option. Unga is undergoing a number of process changes that will make us more relevant and more modern. We understand that improvement and innovation will lead to the transformational changes needed. For this reason, we have employed a number of different groups to help us with our journey; their advice and suggestions will go a long way to securing this prestigious organisation's future. Through integrity and respect, we have invested in our people, providing training and career advancement opportunities. Within the sphere in which we operate, we also understand our social and environmental responsibility, and as such have invested time and money to make a difference. Great teamwork and trust have led to a review of a number of our operational procedures; efficiency improvement and cost saving measures are underway to move our supply chain towards world class, while maintaining the integrity of our products.

Segmental Performance



OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

GROUP MANAGING DIRECTOR'S REPORT (continued)

We are an organisation that strives to deliver on the expectations of our customers and other stakeholders by living these core values: **Self-Responsibility, Trust, Respect, Integrity, Innovation, Continual Improvement and Teamwork**. It is my pleasure to present an overview of our business performance based around our core values for the financial year ended 30th June 2018. In an unpredictable year, we have recorded modest growth in sales volumes, introduced new products, made significant asset investments and delivered strong bottom line results. The marketplace is ever more competitive and customers ever more discerning; Unga continues to invest in building its brand franchise and understands that route-to-consumer is where the battle will be won or lost – we intend to win!

The 2018 financial year was characterized by a very strong first half and a second half which was notably less so, particularly with regard to the human nutrition sector. Jogoo® did very well during the period when the maize meal price was controlled under the Government-sponsored maize subsidy program, confirming that the brand remains preferred by many Kenyans. Unfortunately the Company was not allowed to sell Hostess®, its premium maize meal brand, during the subsidy period; whilst volumes are gradually returning to previous levels, new category entrants are not making it easy. Wheat flour volumes and margins were better than expectations during the first few months, a time when both maize meal and wheat flour availability was limited as imported grain supply logistics ex-Mombasa were being sorted out. Unfortunately monies remain unpaid by

the Government on maize purchased from millers, of which Unga Limited was one. The company will continue to work with our colleagues to pursue timely payment of the amount owed.

On the other hand, the animal nutrition business performed strongly throughout the financial year. Sustained raw material availability, particularly maize, at reasonable prices ensured that farmers were able to purchase our Fugo® animal feeds at a cost which gave them a fair return on the production of meat, milk and eggs. Additionally, the restricted availability of locally grown maize in the first half of the year made it difficult for smaller feed millers to maintain production, leading to increased demand for Unga's products. Unga Farm Care (EA) Limited developed a drought pellet offering in response to demand from famine relief agencies servicing the ASDL (arid and semi-arid lands) areas; these are now available as part of the company's standard product portfolio. Sales of our animal nutrition and health range has remained robust going into the 2019 financial year.

CONTINUAL IMPROVEMENT AND INNOVATION

Through careful analysis and partnering with experts in their respective fields, we have made a number of changes to our systems and processes. As reported last year we have exited the flour milling sector in Uganda; given the challenging in-country environment we have been unsuccessful to date in selling the assets, and are therefore evaluating alternate uses for them. We believe that Ennsvalley Bakery Limited's worst is behind us; the company is in the process of rebuilding the business to ensure

a sustainable and growing revenue base, supported by an efficient central bakery and a portfolio of in-store outlets, developed in partnership with leading supermarket chains. The company rolled-out its new brand logo at the end of the financial year, and is piloting the KiQwetu® retail outlet concept in populated urban areas around Nairobi. If successful, KiQwetu® represents an opportunity to expand Ennsvalley's market reach to include lower income consumers.

In order to respond to capacity constraints and the growing demand for wheat products, Unga Limited initiated a new mill project in Eldoret during the financial year; this new and modern 300 TPD (tons per day, grain) mill will be commissioned in October 2018. The state-of-the-art facility is more economical to operate, is more flexible with regard to the products it can produce, and will allow us to compete more effectively. Refurbishment of the existing mill is planned.

During the year, Unga Farm Care (EA) Limited moved from the testing to the commercial sale phase of its range of Fugo® tilapia fish feeds; as anticipated, volume growth has been slow but steady in this developing sector, critical to meeting the country's future nutrition needs. The company is developing a range of Fugo® catfish feeds for market introduction before the end of the financial year, and will be commissioning a soybean meal processing facility within the same timeframe.

In order to further realise the benefits of the investment made in the SAP ERP platform,



OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

GROUP MANAGING DIRECTOR'S REPORT (continued)

Supervisory Control and Data Acquisition (SCADA) machine control systems have been adopted and integrated. This control system architecture uses computers, networked data communications, graphical user interfaces, programmable logic controllers and discrete PID (proportional-integral-derivative) controllers to interface with plant processes and machinery. Additionally, Format Solutions, an integrated suite of software products and advisory services that allows the animal nutrition business to monitor shifting ingredient supplies, monitor nutrient values, test ingredients and adapt to regulatory changes, has been linked to SAP. Our ERP platform is now run and maintained by four certified in-house business system analysts who are focused on increasing system utilisation whilst reducing our reliance on external consultants.

While Unga has always been famous for its history and quality, we understand that modernity and innovation are key to maintaining our position as industry leaders. Our intention is to accelerate the innovation pipeline while sustaining the production of our existing product portfolio.

INTEGRITY, RESPECT AND SELF-RESPONSIBILITY

At Unga, we understand that we have a responsibility to create a better society. At our core, we are aligned with one of the Government of Kenya's 'Big 4 Agenda' Pillars: Food Security and Nutrition. In addition, we are also aligned with another: Manufacturing. The former, obviously covers food availability, but also includes the enhancement of large-scale production and the reduction of the cost

of food. The latter includes the development of in-country agro-processing capability. We engage in all of these elements, and everything we do is linked to the needs of the communities in which we operate, while appreciating the need for a return on our investments.

We have for many years been fortifying our milled products with micronutrients to tackle malnutrition in the region; in fact, we were producing fortified maize meal long before it was made mandatory. The fortificants include eight vitamins (A, B1, B2, B6, folic acid, nicotinamide), iron and zinc. Each time we introduce a milled product, we fortify it according to the regulatory requirements and/or the identified market need - for example, Famila® Pure Wimbi is fortified with calcium in order to protect the elderly against osteoporosis.

The Group has continued with its initiatives to reduce power, diesel and water consumption. In the financial year under review we reduced power consumption by 4.6 kWh per ton produced and reduced water consumption by 12.93 litres per ton produced. The new Eldoret wheat mill has been designed to ensure that energy savings are maximized.

In 2018, the Group appointed a fulltime Head of Risk & Compliance, charged with the responsibility of ensuring that our Enterprise Risk Management (ERM) program moves forward with the focus and speed required. A fraud risk assessment will be contracted in the early part of the new financial year and an independently managed whistle blowing hotline activated.

The Group has embraced the PaTaMu Model (an acronym for 'Pamoja Tuangamize Muda') as a continual improvement strategy that strives to improve its productivity, quality, delivery and safety while maintaining highly motivated teams and eliminating waste. By focusing on its four continual improvement pillars (total productive maintenance, total flow management, total quality management and safety, health and environment), significant savings have been realised while maintaining high levels of customer and supplier satisfaction. A key enabler to the PaTaMu journey is the learning, change and development program. As an organisation, our mandate is to develop people to have a mindset that everything can be improved. By continuously engaging teams, we are able to respond to the ever-changing business environment. Our drive for self-development that is being embedded in our culture has seen us maintain a competitive edge in our businesses.

TEAMWORK AND TRUST

Today, more than ever, we recognise that trust is an essential asset to foster collaboration, drive engagement and deepen teamwork to manage the never-ending process of change. During the course of the year, a consultant was employed to evaluate the entire management team to determine to what extent they were embracing The Unga Way of Leading. The assessment was based on the DiSC 363 (Dominance, Influence, Stability, Compliance) Leadership Dimension Model. Within the team, weakness was identified around people-oriented influence and people-oriented stability; initiatives



OUR PERFORMANCE AND FUTURE OUTLOOK (Continued)

GROUP MANAGING DIRECTOR'S REPORT (continued)

were subsequently implemented to address these opportunities to improve our leadership competency.

The most important of these initiatives was the contracting of African Management Initiative (AMI) to facilitate a 12 month Leadership Development program targeted at the management team, incorporating classroom and online learning with hands-on Action Learning Projects (ALP); the six ALP's selected were led by members of senior management and focused on real-life challenges being faced by each of the operating entities. This program is designed to support managers to lead by influence, to empower their teams, to build a culture of ownership and to coach in order to allow their teams to grow. AMI also facilitated a concurrent 12 month online + 3 month classroom program for our Supervisors.

At the onset of the year, our human resources department adopted the Human Resources Business Partnering (HRBP) approach to enhance direct support to the business units. The HRBP positions were developed to align business objectives with employees and management, where the HRBP communicates HR-related needs proactively and seeks to develop integrated solutions. The HRBP's also fill the role of the primary inter-group functional resource in the areas of HR Operations, Performance Management, Reward & Recognition and Talent Acquisition & Retention.

Going forward, the Company will be commissioning a follow-up Culture Survey to that carried out in 2016, in order to measure progress on our transformation journey and to identify new actions. Additionally, it plans to work with Deloitte's South African office to participate in its 'Best Company to Work For' survey which will allow us to measure employment engagement levels and to benchmark ourselves with the 2106 results and with other participants.

We continue to work to deepen our engagement with employees in order to retain talent and create environments that are rewarding and satisfying. We understand the importance of communication and keep our stakeholders, consumers and staff informed through our website and social media.

APPRECIATION

In support of our Hoshin Kanri inspired 'Unga Performance Management System', we actively measure our performance through agreed Key Performance Indicators (KPIs) at every level. For the year 2017 – 2018, regardless of the environment, we made much progress in improving these KPIs. We have further strengthened the organisation and remain focused on our Vision, 'Nutrition For Life'.

I would like to acknowledge the hard work and dedication of our staff. Thank you. Our progress has been championed and supported by our Board, stakeholders, customers, business partners and regulators; we continue to count on your support and commitment.



Nick Hutchinson
Group Managing Director



OUR LEADERSHIP

BOARD OF DIRECTORS

STANDING

FROM LEFT TO RIGHT

Shilpa Haria
Jinaro Kibet
Winniefred Jumba
Alan McKittrick
Andrew Ndegwa
Patrick Obath

SEATED

FROM LEFT TO RIGHT

Nicholas Hutchinson
Isabella Ochola-Wilson
Vitalis Ojode





OUR LEADERSHIP (Continued)



Isabella Ochola-Wilson | 69 Years
Non Executive Director

Mrs Isabella Ochola – Wilson holds a Bachelor of Arts degree from the University of Dar-es-Salaam and a Masters in Business Administration from the University of British Columbia, Canada. Previously, she served as General Manager Johnson & Johnson, Kenya, as Project Manager with DFID and consultant with UNDP. Aside from being Chairman of Unga Group Plc, she also serves as a Non-Executive Director of NIC Bank Plc and several other companies. She joined the board of Unga Group Plc in June 2006.



Nicholas Hutchinson | 62 Years
Executive Director

Appointed to the Board in May 2003, having become the Group Managing Director of Unga Holdings Limited in September 2000. He holds a BSc (Hons) degree in Horticulture from the University of London and has many years of business management experience working for Monsanto Company in East Africa, Europe, North America and South Asia. He is Chairman of the Cereal Millers Association and a director of Kisima Farm Limited, Sunpower Products Limited and National Cereals and Produce Board.



Andrew Ndegwa | 50 Years
Non Executive Director

Appointed to the Board in September 2001. He graduated from the University of Oxford with a Bachelor of Arts (Hons) degree in Philosophy, Politics and Economics. He started his career in the banking industry, working with Citibank and then with The African Mercantile Banking Company Limited before moving to First Chartered Securities Limited, an investment holding company. In addition to being an Executive Director of First Chartered Securities he is a non-executive board member of several other companies, including NIC Group Plc.



Alan McKittrick | 63 Years
Non Executive Director

Appointed to the Board in September 1998. An engineer by profession and Group Managing Director of NAS Holdings Limited for the past 21 years. He has other directorships and considerable experience in the manufacturing and production sectors in Eastern and Southern Africa, including the livestock industry. He was the Group's Managing Director between September 1998 and May 2003.



Vitalis Ojode | 73 Years
Non Executive Director

Appointed to the Board in May 2003. He is a BCom (Hons) graduate of the University of Nairobi; a Fellow of the Association of Chartered Certified Accountants (FCCA) and a member of the Institute of Certified Public Accountants (ICPAK). He worked for UDV Kenya Limited for many years where he held several group directorships in Kenya and Tanzania. He was the Group's Finance Director between November 2001 and May 2006. He is currently a consultant in Financial Management.

OUR LEADERSHIP (Continued)



Jinaro Kibet | 53 Years
Non Executive Director

Appointed to the Board in February 2005. He holds an LLB degree from the University of Nairobi; is an Advocate of the High Court of Kenya, Commissioner of Oaths and Notary Public and a partner at Tripleoklaw Advocates law firm. He holds other directorships including Sicham Aviation Limited, Telkom Kenya, Chair at Capital Markets Tribunal, Prime Bank Limited and many other companies.



Patrick Obath | 63 Years
Non Executive Director

Appointed to the Board in September 2013. He is a BSc (Hons) Mechanical Engineering graduate of the University of Nottingham and is a member of the Institution of Engineers, Kenya and the Energy Institute (UK). Mr Obath has many years of business experience working for the Shell group of companies in Europe, Asia and Africa, finally serving as the CEO of Kenya Shell and Shell Tanzania. He has previously served on many boards, both private and public and is a director in Standard Chartered Bank Kenya Limited and Trade Mark East Africa (TMEA) Limited, among others. He is currently the Managing Consultant in Eduardo & Associates.



Shilpa Haria | 58 Years
Non Executive Director

Appointed to the Board in September 2016. She is a Fellow of the Chartered Association of Certified Accountants (FCCA) and a member of the Institute of Certified Public Accountants (ICPAK). Ms Haria has extensive experience in Audit and Business Advisory garnered from over 14 years employment with PricewaterhouseCoopers. She is Director at Resolution Group, Housing Finance Company, consultant and CFO of various institutions like Flame Tree Group, Aga Khan Hospital among others.



Winniefred Jumba | 46 Years
Company Secretary

Appointed Company Secretary in 2011. She is a holder of a BCom degree and Masters in Business Administration, both from the University of Nairobi. She is a Certified Public Secretary and a member of ICPSK, with many years' experience in Company Secretarial and Registration Services and an accredited governance auditor.

OUR LEADERSHIP (Continued) SENIOR MANAGEMENT



Julius Mosoti

Group Managing Director

Qualifications: BSc Agriculture
Technology
Diploma in
Agriculture
Diploma in
Business



Robert Thieme

Group Operations Manager

Qualifications: BSc Agriculture
+ Companion Animal Biology
Genetics (Hons), University of
USA



Dickson Jawichre

General Manager -
Unga Farm Care (EA)
Limited

Qualifications: BSc Dairy
+ Food Technology
Diploma in
Agriculture



Rose Maruti

HR Business Partner -
Unga Farm Care (EA)
Limited

Qualifications: BCom Management
+ Training, University
Baltimore Business School
Human Resource Management



Nicholas Hutchinson

Group Managing
Director

Qualifications: BSc Agriculture
+ Food Technology



James Nyutu
Group Finance Director

Qualifications: BCom, University of Nairobi, MBA, Edinburgh Business School (Scotland), PGDip, Institute of Management Information Systems (UK) Member of the Institute of Certified Public Accountants of Kenya

Anthony Wanyoike
Group Business Development Manager

Qualifications: BEd Economics (Hons), Moi University MSc Entrepreneurship, Jomo Kenyatta University of Science and Technology

Leah Tuitoek
Head of Risk and Compliance

Qualifications: MSc Food Science & Technology, Cornell University (USA), MBA, Moi University, GDip from CIPS (UK), Certificate in Monitoring & Evaluation (KIM), Associate member of the Chartered Institute of Arbitrators, Member of the Chartered Institute of Purchasing & Supply and the Kenya Institute of Supply Management

Andanje Mwairumba
General Manager - Unga Limited

Qualifications: BEd, Moi University, MBA and MSc Marketing, Edinburgh Business School, Heriot-Watt University (Scotland)

Kerry-Francis Ochang
HR Business Partner – Unga Limited

Qualifications: BCom Accounting, Strathmore University Member of Institute of Human Resource Management (Kenya) Member of Association of Chartered Certified Accountants and WorldatWork - the Total Rewards Association



UNGA
LIMITED 
Your Nutrition Partner



**PANCAKE
AFFAIR**

CORPORATE GOVERNANCE

CORPORATE GOVERNANCE STATEMENT	46
GOVERNANCE PRINCIPLES	47
CORPORATE GOVERNANCE FRAMEWORK	48
BOARD FUNCTIONS	49
BOARD POLICIES	50
COMPOSITION OF THE BOARD	51
BOARD COMMITTEES, MEMBERSHIP & MEETING ATTENDANCE	51
KEY DELIBERATIONS AND DECISIONS BY BOARD COMMITTEES	52
GOVERNANCE, LEGAL & COMPLIANCE AUDIT	53
BOARD EVALUATION	53
ROLES OF THE CHAIRMAN & CHIEF EXECUTIVE	54
SHAREHOLDING PROFILES	55
DIRECTORS' REPORT	57
DIRECTORS' REMUNERATION REPORT	59
STATEMENT OF DIRECTORS RESPONSIBILITIES	73



CORPORATE GOVERNANCE

CORPORATE GOVERNANCE STATEMENT

The Board of Directors of Unga Group Plc (Unga Group) is responsible for the governance of the Group. It has established robust governance structures which have taken into account:

- The guidelines from the Capital Markets Authority Code of Corporate Governance practices for Issuers of Securities to the Public (the Code).
- Best practices which provide a practical guidance to Directors and Senior Management.

Unga Group continues to comply with the provisions of the Capital Markets Authority (CMA) Code of Corporate Governance practices for Issuers of Securities to the Public 2015 (the Code).

Unga Group is committed to implementing and adhering to good corporate governance and best practice. It has provided proper incentives for the Board and Management to pursue objectives that are in the interests of the Group and its shareholders, facilitate effective monitoring and define how Unga Group:

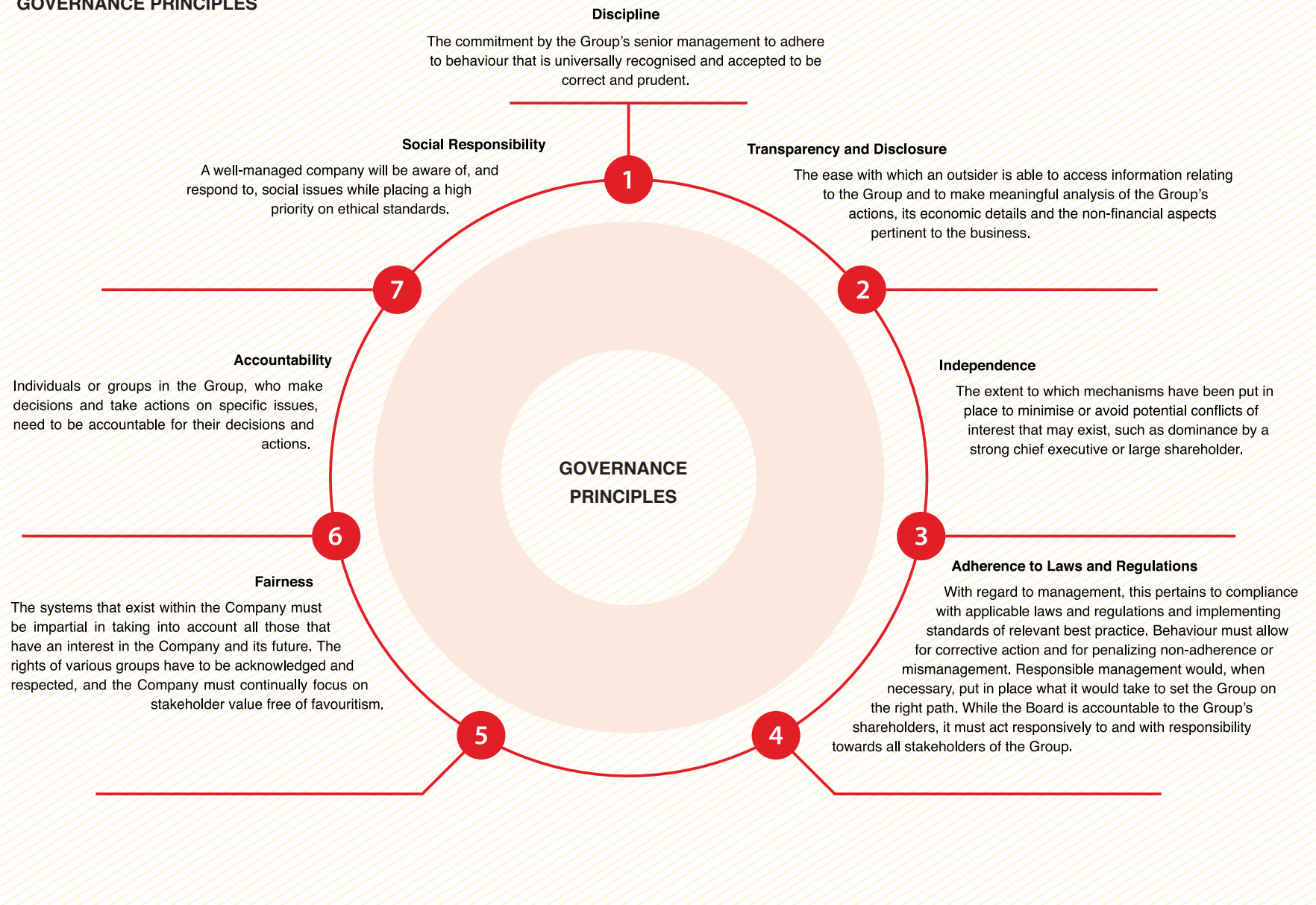
- Sets corporate objectives, including generating economic returns to shareholders;
- Runs the day-to-day operations of the business;
- Considers the interests of recognized stakeholders;
- Aligns corporate activities and behaviours with the expectation that the Company will operate in a safe and sound manner, and in compliance with applicable laws and regulations.

Members of the Board of Unga Group are committed to fulfilling their fiduciary responsibilities and have instituted various principles necessary to ensure that good governance is practiced with respect to dealings with the Company's shareholders, customers and other stakeholders in line with the spirit of the Code of Corporate Governance for listed Companies.



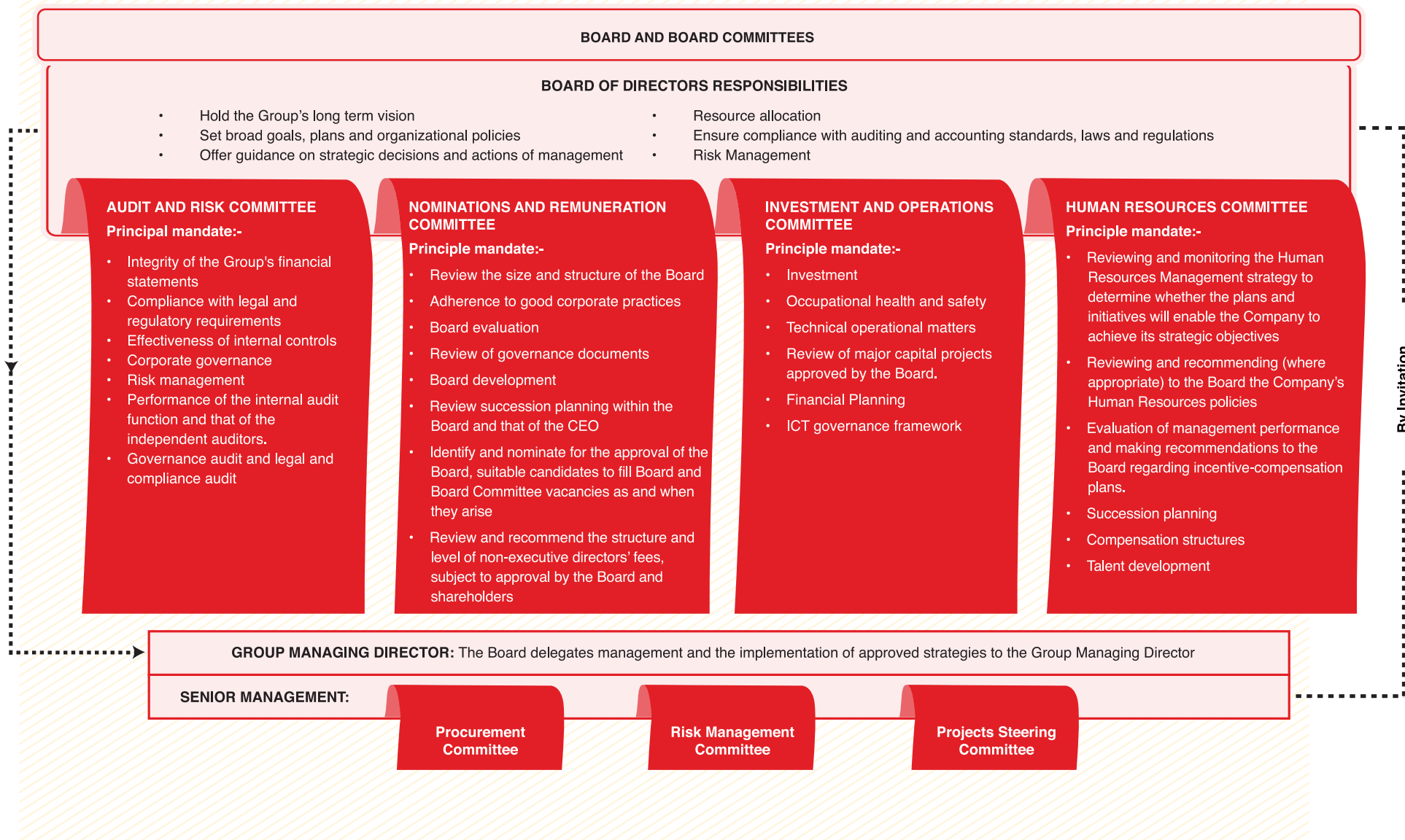
CORPORATE GOVERNANCE (continued)

GOVERNANCE PRINCIPLES



CORPORATE GOVERNANCE (continued)

OUR CORPORATE GOVERNANCE FRAMEWORK



CORPORATE GOVERNANCE (continued)

BOARD FUNCTIONS

The Board is responsible for the long term success of the Group. In summary, the role of the Board is as follows:-

- Provide effective leadership in collaboration with the executive management team.
- Facilitate set up appropriate corporate governance structures for the management of the business operations.
- Establish Board Committees, policies and procedures that shall facilitate the most effective discharge of the Board's roles and responsibilities.
- Review and approve the Company's annual budget proposed by the executive management team including the Company's financial objectives, plans and actions, significant capital allocations and expenditures.
- Facilitate Board accountability through effective Board evaluation and succession planning.
- Select, monitor, evaluate, compensate, and if necessary replace the Group Managing Director.
- Plan for the succession to the position of the Group Managing Director.
- Review and approve management's strategic and business plans, including developing a depth of knowledge of the Group's business, understanding and questioning the assumptions upon which such plans are based, and reaching an independent judgment as to the probability that the plans can be realised.
- Ensure that the key strategic risks of the Group are identified, evaluated and mitigation plans set up, and their on-going status and management effectively monitored.
- Ensure that appropriate and effective risk management and internal control processes operate in the Company.
- Monitor corporate performance against the strategic and business plans, including overseeing the operating results on a regular basis to evaluate whether the Company is being properly managed.
- Ensure ethical behaviour and compliance with laws and regulations, auditing and accounting principles, and the Company's own governing documents.
- Assess its own effectiveness in fulfilling these and other Board responsibilities.
- Perform such other functions as are prescribed by law or assigned to the Board in the Company's Articles of Association.



CORPORATE GOVERNANCE (continued)

BOARD POLICIES

Board Charter

The Board Charter outlines the specific roles and responsibilities of the Board which are separate from those of management. The Charter covers areas relating to Board structure, functions, processes, effectiveness and internal controls.

The Charter has also embedded policies on Related Party Transactions.

The Charter and Committee Charters have been published on the Company's website.

Board Remuneration Policy

The policy sets out guidelines and criteria for the Board's compensation. The principles that underpin the Company's approach to remuneration for Executive Directors are as follows:-

- Simple, transparent and fair approach
- A reasonable proportion is variable and linked to the delivery of Unga Group's strategy
- Outcomes are intended to reflect performance

The focus is on long term sustainable performance.

Whistle Blowing Policy

The Board has established a whistle blowing policy that outlines mechanisms that will facilitate the anonymous reporting of anti-ethical behavior by all stakeholders. The ethics hotline will be managed by an independent, accredited and external institution. Whistle blowing statistics will be reported to the Audit and Risk Committee

Insider Trading Policy

This policy is used to institute structures to prevent insider dealings by the directors and management. Through this policy, the Company endeavors to preserve the confidentiality of un-published price sensitive information and to prevent misuse of such information. The Group is committed to transparency and fairness in dealing with all stakeholders and in ensuring adherence to all laws and regulations.

The policy ensures that the Group continually and appropriately discloses all insider dealings that come to its attention. The Board is glad to report that during the year 2017-2018, there were no known or identified instances of insider trading. The policy has been published on the Group's website.

Code of Conduct and Ethics

The Company pursues ethical decision making and leadership to promote corporate social responsibility, fair business practices, sustainability and the triple bottom line that focuses on the society, the environment and profitability.

The Board has implemented a Code of Ethics and Conduct which binds Directors and Employees and is subscribed to by all members of the Company. Initiatives to ensure its application include training, monitoring, mechanisms for whistle blowing, taking disciplinary action, etc. The Code has been integrated into the Company's operations through the development of various policies and reporting mechanisms.

Conflict of Interest Policy

The Board has implemented a policy and process to manage conflict of interest in accordance with the provisions of the Companies Act 2015 and the CMA Code of Corporate Governance Practices for Issuers of Securities to the Public. The policy is enumerated in the Board Charter, Code of Ethics and Directors letters of appointment. Directors are obligated to fully disclose to the Board any real or potential conflict of interest which come to their attention, whether direct or indirect.

All business transactions with all parties, directors or their related parties are carried out at arm's length. At any meeting of the Board, members are expected to make a declaration of any interest that they may have in the matter.

Procurement Policies

There are various procurement policies that promote fair and transparent procurement processes.

Supplier information has also been made available on the website.

Environmental, Safety and Health and Social Policies

The Group policies and procedures create a framework in which the Group and its suppliers commit to undertaking their activities in a manner that is considerate to the environment. The Group has taken measures to assess its impact on environmental and societal interests and its reputation in the long run.

Sustainability is integrated in various aspects of the business such as innovation as well as taking care of the immediate environment. The Group has embraced the PaTaMu philosophy of continual improvement.

A Corporate Social Responsibility policy is currently being drafted, which will ensure that the Group operates its business in a responsible manner for the benefit of customers, staff, suppliers and the wider community. The CRS activities are disclosed every year in this report.

CORPORATE GOVERNANCE (continued)

COMPOSITION OF THE BOARD

The constitution of the Company's Board is stipulated by the Company's Articles of Association. The Board currently comprises of eight directors out of whom two are independent non-executive directors, five are non-executive directors and one is an executive director. The directors' profiles appear on pages 40 and 41 of this Integrated Report.

BOARD COMMITTEE MEMBERSHIP AND MEETING ATTENDANCE

The composition of the Board and attendance at board meetings and board committee meetings is set out in the table below for the year ended 30 June 2018;

		Board	BOARD COMMITTEES								Special Board	
			Audit and Risk Committee		Nominations and Remuneration Committee		Investment and Operations Committee		Human Resources Committee			
	No. of Meetings	3		6		1		6		5		6
Name												
Isabella Ochola-Wilson	Non-executive Chairman	3	A	1	M	1	A	3	M	5		6
Nicholas Hutchinson	Group Managing Director	3	A	6			M	6	M	5	M	5
Andrew Ndegwa	Non-executive	3	M	4	M	1	M	4				
Alan McKittrick	Non-executive	3					M	1	C	3		
Vitalis Ojode	Non-executive	3	M	6			M				M	6
Jinaro Kibet	Non-executive	3	M	3	M	1						
Patrick Obath	Independent non-executive	3			C	1	C	6			M	5
Shilpa Haria	Independent non-executive	3	C	6							M	5
Winniefred Jumba	Company Secretary	3			A	1	A	5	A	5	A	6

- *M* Indicates board committee membership
- *C* Indicates board committee chairman
- *A* Indicates board committee attendance
- *The figures in each column indicate the number of meetings attended out of the maximum possible number of meetings during the period indicated*

*A Special Board was constituted for the Seaboard share purchase offer period. It did not include directors who had recused themselves on account of the transaction.



CORPORATE GOVERNANCE (continued)**KEY DELIBERATIONS AND DECISION BY BOARD COMMITTEES**

	Committee Members	Key Highlights
Audit and Risk Committee	Shilpa Haria (Chairman) Jinaro Kibet Andrew Ndegwa Vitalis Ojode	- Review of Group's audited and unaudited financial statements - Enterprise Risk Management Policy - Risk Appetite Statements & Tolerances - Business Continuity Management Policy - Management Risk Committee Terms of Reference (ToRs) - Whistleblowing Policy - Accounting policy for Property, Plant and Equipment (PPE) The Committee also - Approved the SAP ERP system post-implementation review by PricewaterhouseCoopers - Approved the Internal Audit plan - Mandated management to ensure compliance with the CMA requirements on anti-bribery programmes - Mandated management to entrench a Risk Management culture within the Group
Nominations and Remuneration Committee	Patrick Obath (Chairman) Jinaro Kibet Andrew Ndegwa Isabella Ochola-Wilson	During the course of the year, the Committee - Commenced the Board succession process - Rolled out the Board evaluation exercise - Revised the Memorandum and Articles of Association - Drafted the Directors Remuneration Policy in line with the legal requirement
Investment and Operations Committee	Patrick Obath (Chairman) Andrew Ndegwa Nick Hutchinson Alan McKittrick Vitalis Ojode <i>NB: The Board was reconstituted on a temporary basis to increase quorum during the take-over transaction period. The following were co-opted – Mrs. Isabella Ochola-Wilson and Mr. Vitalis Ojode</i>	During the course of the year, the Committee oversaw the following initiatives: - Commissioning of full fat soybean meal plant - Eldoret wheat mill expansion - Oversight of sale of Unga Millers (U) Limited's assets - Review SAP ERP updates - Review of the Group's entire supply chain - Capital projects

CORPORATE GOVERNANCE (continued)

	Committee Members	Key Highlights
Human Resources Committee	Alan McKittrick (Chairman) Isabella Ochola-Wilson Nick Hutchinson	During the course of the year, Committee reviewed the following:- • Salary adjustment review • Recalibrated performance ratings for staff across the Group • Code of Ethics and Business Conduct The Board also received, reviewed and approved the following management proposals; • Revised structure of the Human Resource Department • Salary adjustment for selected staff members within the critical talent pool • Budget allocation to allow for international exposure for staff members considered as critical talent • Reengineering security services through deployment of technology • Roll out of the 360 degrees leadership competency assessment • Roll out of the Leadership Development Programme targeting both senior and middle level management

55


 UNGA
GROUP Plc
GOVERNANCE, LEGAL AND COMPLIANCE AUDIT

The Governance Audit for the year ended 30 June 2018 was undertaken by competent professionals, accredited by the Institute of Certified Secretaries. This was to ensure that Unga Group upholds its corporate governance principles and to check the level of compliance with governance requirements and best practice.

The Board also commissioned a Legal and Compliance audit to establish the level of adherence by the Group to applicable laws, regulations and standards.

The Governance Auditor's opinion and the Legal and Compliance opinion have been published on pages 82 and 83 respectively.

BOARD EVALUATION

The Board undertook a self-evaluation to assess its performance during the year under review with the assistance of an independent consultant. The evaluation also covered the performance of the Group Managing Director and the Company Secretary. The outcome of the evaluation is used to improve the Board's performance in subsequent years.

CORPORATE GOVERNANCE (continued)

ROLES OF THE CHAIRMAN AND GROUP MANAGING DIRECTOR

Roles of the Chairman and the Group Managing Director are separated. Key responsibilities are as indicated below:-

CHAIRMAN

- Providing leadership to the Board.
- Chairing Board Meetings, which involves determining the agenda and ensuring that the Directors receive accurate, timely and clear information, and ensuring that the Board has an effective decision making framework.
- Chairing meetings of members, including the annual general meeting.
- Keeping track of the contribution of individual Directors and ensuring visible participation.
- Monitoring the activities of Board Committees.
- Engaging the Board in assessing and improving its performance and that of the Group Managing Director.
- In consultation with the Group Managing Director, approve or delegate authority for the approval of all material releases to be submitted to the Capital Markets Authority and other investor releases.
- Acting as the primary channel of communication and point of contact between the Board and the Group Managing Director and to provide guidance and mentoring to the Group Managing Director.

GROUP MANAGING DIRECTOR

- Developing and recommending to the Board annual business plans and budgets that support the Company's long-term strategy.
- Maintaining a positive and ethical work climate that is conducive to attracting, retaining and motivating a diverse group of top-quality employees at all levels.
- Ensuring that the day-to-day business affairs of the Company are appropriately managed.
- Consistently striving to achieve the Company's financial and operating goals and objectives.
- Ensuring that the Company has an effective executive management team below the level of the Group Managing Director and has an active plan for its development and succession.
- Ensuring, in co-operation with the Board, that there is an effective succession plan in place for the Group Managing Director position.
- Formulating and overseeing the implementation of fundamental corporate policies.
- Serving as the official spokesperson for the Company and overseeing the induction of new board members in consultation with the Company Secretary.

COMPANY SECRETARY

The Company Secretary is a member in good standing with the Institute of Certified Secretaries (ICS). The Company Secretary provides a central source of guidance and advice to the Board on matters of ethics, statutory compliance, compliance with the regulators and good governance.

GOING CONCERN

The Board confirms the financial statements are prepared on a going concern basis and is satisfied that the Group has adequate resources to continue in business for the foreseeable future. In making this assessment, the directors consider a wide range of information relating to present and anticipated future conditions, including future projections of profitability, cash flows, capital and other resources.

CORPORATE GOVERNANCE (continued)

SHAREHOLDING PROFILES

Directors' Interest

The interest of the Directors in the shares of the Company as at 30th June 2018 was as follows:

Name	No of shares
Alan McKittrick	13,472

There were no material contracts involving directors' interests during the year.

The ten largest shareholdings as at 30th June 2018

Name	Total shares	%
Victus Limited	38,557,190	50.93%
Gadani Rakesh Prakash	3,514,780	4.64%
Thara Moses	2,808,117	3.71%
Bid Portfolio Management Llimited	2,620,700	3.46%
CSFS Nominees A/C	2,210,400	2.92%
Sayani Investments Llimited	1,649,300	2.18%
Broadway Bakery Limited	1,149,700	1.52%
Alimohamed Adam	1,047,342	1.38%
Shah Savitaben Velji Raichand	745,677	0.98%
Kestrel Capital Nominees Limited A/C 009	530,600	0.70%
Total	54,833,806	72.43%

Distribution of the shareholders

(a) By number of shares range

Volume/ Range	Shares held	%	Shareholders
1-500 shares	665,639	0.88%	3,935
501-5,000	4,799,523	6.34%	2,721
5,001-10,000	3,039,804	4.02%	436
10,001-100,000	7,964,806	10.52%	335
100,001-1,000,000	5,681,572	7.50%	28
1,000,001 and above	53,557,529	70.74%	8
Total	75,708,873	100.00%	7,463

(b) By category of shareholders

Domicile	Shareholders	Shares	%
Foreign companies	271,160	0.36%	8
Foreign individuals	1,756,001	2.32%	255
Local companies	48,706,482	64.33%	215
Local individuals	24,975,230	32.99%	6,985
Total	75,708,873	100.00%	7,463



Fugo Poultry Feed Proven Quality Products for Healthy Productive Chicken



Fugo Broiler

A range of quality feeds
for the healthy growth of your broilers.



Fugo Layer

A wholesome mix of chick mash, grower
and layer complete meal with nutritious minerals
for fast and healthy growth.



Fugo Kienyeji

Give your kienyeji chicken the best
poultry feed with our chick mash,
grower and layer range.

Malezi bora mapato bora

DIRECTORS' REPORT

The directors submit their report together with the audited financial statements for the year ended 30 June 2018, which disclose the state of affairs of Unga Group Plc (the "Company") and its subsidiaries (together, the "Group").

PRINCIPAL ACTIVITIES

The principal activities of the Group continue to be the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products.

BUSINESS REVIEW

The Group's sales revenue grew by 2% over prior year. Profit before tax from continuing operations improved by 469%, a notable recovery from the very depressed performance of the prior year. Discontinuation of operations at the Ugandan subsidiary shielded the Group from some of the losses suffered in the preceding year, in which an investment impairment was recorded.

In the animal nutrition and health business, overall feed volumes increased significantly with most categories recording positive growth. This was attributable to the sustained supply of competitively priced and high quality products, supported by effective sales and marketing strategies. The availability of well-priced yellow maize ensured that farmers were able to realise a fair return on their production of meat, milk and eggs.

The human nutrition business experienced mixed performance. During the first half of the year, the Government-directed maize subsidy program enabled the Company to sell its Jogoo® and Hodari® brands at the same price as the competition; consumers responded positively, an affirmation that the brands remain a preferred choice for many. Unfortunately, the Company was not allowed to sell Hostess®, its premium maize meal brand, during the same period, leading to the loss of loyal customers; slow but positive progress to regain market presence has been made during the second half of the year. After a very successful first half, low demand and aggressive price-based competition leading to an unfavourable grain inventory position marred the second half. Porridge (Famila®), pulses and rice (Amana®) volumes experienced solid

growth over prior year, driven by increased marketing activities and improved penetration.

The Group continues to roll-out the new strategy for Ennsvalley bakery business to recover its revenue base following closure of all in-store operations with Nakumatt; of which one element is opening new in-store counters in partnership with leading supermarket chains.

During the year, the Company introduced new products whose penetration efforts are ongoing. Fugo® tilapia fish feeds are now widely available and exploration of regional market opportunities is ongoing.

The new 300 tonnes per day wheat mill in Eldoret is scheduled for commissioning in October 2018.

The Company will be installing a soya meal production facility at the Dakar Road plant during the course of the 2018-19 FY.

Summary financial performance

	2018 Shs'000	2017 Shs'000
Revenue	19,982,070	19,528,785
Gross profit	3,311,063	2,279,387
Gross profit margin	17%	12%
Operating profit	1,273,403	237,868
Profit for the year from continuing operations	788,774	111,912
Loss for the year from discontinued operations	(5,571)	(118,951)
Profit /(Loss) profit for the year	783,203	(7,039)
Total assets	9,932,664	9,455,316



DIRECTORS' REPORT (continued)**RESULTS AND DIVIDEND**

The profit attributable to equity holders of Shs 509,082,000 (2017: Shs 37,371,000) has been added to retained earnings. The directors recommend payment of a first and final dividend of Shs 1.00 (2017: Shs 1.00) per share amounting to Shs 75,706,986 (2017: Shs 75,706,986) in respect of the financial year. The dividend is subject to approval by the shareholders at the next Annual General Meeting.

DIRECTORS

The directors who served during the year and to the date of this report are set out on page 39 to 41

DISCLOSURES TO AUDITORS

The directors confirm that with respect to each director at the time of approval of this report:

- a) there was, as far as each director is aware, no relevant audit information of which the company's auditor is unaware; and
- (b) each director had taken all steps that ought to have been taken as a director so as to be aware of any relevant audit information and to establish that the company's auditor is aware of that information.

TERMS OF APPOINTMENT OF AUDITORS

PricewaterhouseCoopers continue in office in accordance with the Company's Articles of Association and Section 721 of the Kenyan Companies Act, 2015.

The Board Audit and Risk Committee (BARC) monitor the effectiveness, objectivity and independence of the auditor. This responsibility includes the approval of the audit engagement contract and fees.

APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved by the Board of Directors on 27 September 2018.



By order of the Board

Winniefred N Jumba
SECRETARY

DIRECTORS REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2018 (continued)

Dear Shareholder

I am pleased to present to you, on behalf of the Board, the Directors' Remuneration Report for the year ended 30 June 2018.

The Nominations and Remuneration Committee has prepared this report in accordance with the requirements of the Companies Act 2015 ("the Act") and the Capital Markets Code of Corporate Governors for Issuers of Securities ("the CMA Code").

1.0 INFORMATION NOT SUBJECT TO AUDIT

1.1. Introduction

The Board of Directors has set out to implement a Remuneration policy through the Board Nominations and Remuneration Committee (BNRC) whose primary mandate is to ensure that the Board comprises of individuals with the requisite skills, knowledge and experience, reviewing the performance of the Board, succession planning and to review the remuneration of directors. The BNRC is also charged with the review of the remuneration policy.

The members of the Nominations and Remuneration Committee during the year were Mr Patrick Obath (Chairman), Mrs Isabella Ochola-Wilson, Mr Jinaro Kibet and Mr Andrew Ndegwa. All members are Non-Executive Directors and Mr Patrick Obath was determined by the Board to be independent throughout the year.

The Committee's operations were suspended for a better part of the year as the Board focused its attention on the take-over offer dated 7 February 2018 from Seaboard Corporation ("Seaboard") acting in concert with Victus Limited (Victus) that sought to acquire all the shares not already held by Seaboard and Victus ("the Transaction"). As a result of the transaction, some members of the Committee were conflicted in their role and had recused themselves from participating in the activities of the Board during the Transaction period.

In light of the foregoing, the Schedule of attendance of meetings held during the year was as follows:

Member	No. of Meetings Attended
Patrick Obath	1/1
Isabella Ochola-Wilson	1/1
Jinaro Kibet	1/1
Andrew Ndegwa	1/1

The Nominations and Remuneration Committee's responsibilities have been set by the Board and are outlined in the Board Charter and the BNRC's terms of reference which are available on the Company's website. The Committee takes into account the need to recruit and retain value adding Directors in a challenging market environment.

Link to Strategy

The Board of Directors continues to implement the 2017 to 2022 Strategic plan which will transform the Group to its newly adopted Vision of 'Nutrition for Life.'

The Board has identified operational KPIs which are closely monitored by the Board Investment and Operations Committee and the Board Human Resources Committee. The KPI's have been integrated into individual performance targets.

The major objective of the Directors Remuneration Policy is to ensure that there is a clear link between the Executive Director(s)' individual level of performance and their reward. The Group's aim is to achieve an integrated approach to reward, linking Company strategy in the form of the achievement of corporate objectives and individual performance to salary increases and bonus awards. These, along with other factors such as market positioning and the overall reward budget, go into the annual salary and bonus review process for all employees including the executive team.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

1.2. Commentary on Significant Changes to Directors Remuneration

The Remuneration Policy has been enumerated in the next section.

During the year, the Committee's work was centred on overseeing the implementation of the policy. There were no changes in the non-executive Directors remuneration (fees and allowances).

The Board is satisfied that the current remuneration policy continues to be appropriate for the Company and will support the implementation of the Group's short term and long-term objectives.

The Board will undertake a review on the adequacy of the policy each year to ensure that it supports the Company's Strategy. It is our view that the Company's reward arrangements best support the achievement of the Company's short-term and long-term goals. To that end, we hereby recommend that you approve the Directors' Remuneration Policy following this report to guide decisions on Directors' Remuneration that will be taken during the current financial year.

1.3. Statement of Voting on the Directors Remuneration Report at the previous Annual General Meeting.

During the Annual General Meeting held on 5 December 2017, the shareholders in attendance approved the Directors' Remuneration Report and payment of Directors fees for the year ended 30 June 2017 by show of hands.

At the Annual General Meeting to be held on 6 December 2018, the shareholders will also consider the Directors' Remuneration Report for the year ended 30 June 2018.

1.4. The Current Directors' Remuneration Policy and Strategy

Scope & Application of the Policy

The policy will apply to the members of the Unga Group Plc Board of Directors. Compliance levels will be monitored on a regular basis and results reviewed by the Board Audit and Risk Committee.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

Key Aspects of the Policy

1.4.1. Remuneration Principles

Unga Group Plc is a company with a global management team, competing for talent in a demanding environment. The company's ability to attract and retain the high calibre executives required to lead a highly complex business is important for shareholders.

The policy has been designed to reflect the global nature of the Company's business and talent pool. The competitive market for top executives both within the manufacturing sector and more broadly provides an important reference point, but is only one of a number of factors considered when the company sets pay.

The principles which underpin the remuneration of the Non-Executive Directors (NED)s are as follows:-

- a) The Company should remunerate its Directors fairly and responsibly.
- b) The remuneration should be sufficient to attract, motivate and retain directors to run the Company effectively.
- c) The remuneration should be consistent with recognized best practice standards and is competitive in line with remuneration for other directors in competing sectors.
- d) The remuneration should reflect the Directors' responsibilities, expertise and the complexity of the Company's activities.

The following principles underpin Company's approach to remuneration for Executive Directors.

Simplification	Link to strategy	Shareholder Alignment	Stewardship
Simple, transparent and fair approach	A reasonable proportion is variable and linked to the delivery of Unga's strategy. Package is intended to vary with performance	Outcomes are intended to reflect performance	Focus on long term sustainable performance

The policy is intended to provide a simplified approach with a clear link between the delivery of Company's strategy and pay, while reflecting the outcomes for shareholders. The policy has also considered recent developments in Kenya's legal and regulatory environment with regards to Directors' remuneration and best practice.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

How are performance measures linked to strategy under the policy?

Variable pay is linked to performance measures designed to deliver the Company strategy. At the start of each year, the Board Human Resources Committee (“BHRC”) reviews the measures, targets and weightings to ensure they remain consistent with the priorities in the annual plan and the Group strategy. For the annual bonus, the approach to performance measurement is intended to provide a balance of measures to assess performance reflecting individual and company performance.

Flexibility, judgement and discretion

The BHRC is empowered to make quantitative and qualitative assessments of performance in reaching its decisions. This involves the use of judgement and discretion within a transparent framework. The BHRC continues to consider that the powers of flexibility, judgement and discretion are critical to the successful execution of the policy.

In framing the policy, the BHRC has taken care to ensure that these important powers continue to be available:

- Sufficient flexibility to take account of future changes in the industry environment and in remuneration practice generally. This allows the BHRC to respond to changes in circumstances, for example in applying particular performance measures within the plans which may need to evolve with the Company’s strategy, without the need for specific shareholder approval.
- Power to exercise judgement in making a qualitative assessment in certain circumstances. A number of measures are used for annual or long-term incentive awards, many of which are numerical in nature and require a quantitative assessment of performance. Others may require a qualitative assessment.
- Scope for the BHRC to exercise discretion, mainly where it is desirable to vary a formulaic outcome that would otherwise arise from the policy’s implementation. The BHRC considers that the ability to exercise reasonable discretion, upwards or downwards, is important to ensure that a particular outcome is fair in light of the director’s own performance, the Company’s overall performance and positioning under particular performance measures and outcomes for shareholders. In accordance with best practices, areas where the remuneration policy provides for the exercise of discretion are identified in this report.

The Committee intends to provide appropriate disclosure on the use of discretion so that shareholders can understand the basis for its decisions.

Safeguarding against payments for failure

Performance Based Pay – A significant portion of the remuneration of the Executive Director(s) varies with performance – where performance targets are not achieved, lower or no payments will be made under the plans.

Discretion – the Committee may vary formulaic outcomes where these do not suitably reflect performance over the relevant performance period.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

1.4.2. Executive Director

a. Salary and benefits

Purpose	To provide fixed remuneration to reflect the scale and complexity of both the business and the role, and to be competitive with the external market.	
Operation and Opportunity	Salary - Executive Directors are entitled to a salary only. No separate Director's fees are paid. - Salary levels take into account the nature of the role, performance of the business and the individual, market positioning and pay conditions within Unga Group Plc. When setting salaries, the BHRC considers practice in other manufacturing companies of a similar size, geographic spread and business dynamic to the Company. - Salaries are normally set in the home currency of the Executive Directors and are reviewed annually. They may be reviewed at other times where appropriate, for example following a major role change. - Salary levels are specific to the role and individual and therefore there is no maximum salary under the policy. However, when reviewing salaries for Executive Directors, the committee will consider salary increases for the most senior management and for employees. Percentage increases for Executive Directors will not exceed that of the broader employee population, other than in specific circumstances identified by the BHRC (e.g. in response to a substantial change in responsibilities). - The Executive Directors' salaries will be as determined by the BHRC and approved as required under the Company's and Regulatory approval frameworks.	Benefits - Executive Director's salaries will be maintained until reviewed by the Board from time to time. - Executive Directors are entitled to receive those benefits available to all Company employees generally. - Benefits are not pensionable. - Executive Directors may receive other benefits that are judged to be cost effective and appropriate in terms of the individual's role, time and/or security. These include car-related benefits or cash in lieu, driver, security, assistance with tax return preparation, insurance and medical benefits. The Company may meet any tax charges arising on business-related benefits provided to Executive Directors.
Share awards	The Group does not operate an Employee Share Ownership Scheme.	
Performance framework	The salary reviews are conducted annually in line with the Company's Human Resources Plan with changes, if any, effective from 1 July of each financial year as would have been approved by the Company's Board.	



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

b. Annual Bonus	
Purpose	To provide variable remuneration dependent on the performance of the Company and focus attention on the Group's KPIs; to reward the achievement of financial, operational and individual targets and provide a competitive performance related annual earnings opportunity.
Operation and Opportunity	• The bonus pay is a short-term based pay, that will be based on the Executive Directors' performance against annual measures and targets set at the start of the year, evaluated over the financial year and assessed following the year end. • The bonus payment is implemented in accordance with an approved Compensation philosophy for the period 2014 to 2018. • 85% of opportunity is based on corporate achievement and 15% on individual performance. • The bonus pool will be unlocked upon attainment of 85% of budgeted profit before tax. The Executive Directors will be entitled to bonus pay that will be a percentage of gross annual salary as approved by the Board of Directors. • Normally, any such bonus would be restricted to the director's actual period of service in that financial year. • 100% of the award is paid in cash soon after approval by the Board of Directors. • The awards are not subject to malus and clawback provisions.
Performance framework	• The BHRC determines specific measures, weightings and targets each year to reflect the priorities in the annual plan, which is designed to deliver the Group's strategy and is approved by the board. • Measures will typically include a balance of financial, operational and individual measures. • Details of the corporate performance measures applicable in the current financial year are contained in the Group Variable pay out policy. • The BHRC intends to disclose targets for the annual bonus retrospectively.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

c. Recruitment Policy

The BHRC expects any new Executive Director to be engaged on terms that are consistent with the policy. However, it recognizes that it cannot anticipate circumstances in which any new Executive Director may be recruited. The Committee may determine that it is in the interests of the Company and shareholders to secure the services of a particular individual which may require it to take account of the terms of that individual's existing employment and/or their personal circumstances.

Accordingly, the BHRC will ensure that:

- The salary level of any new Executive Director is appropriate to their role and the competitive environment at the time of appointment. Where appropriate it may appoint an individual on a lower salary, then gradually increase salary levels as the individual gains experience in the role.
- Variable remuneration will be awarded within the parameters of the policy.
- The BHRC would expect any new Executive Director to participate in the Company pension and benefit schemes that are open to other senior employees but would take into account the Executive Director's existing arrangements and market norms.
- Where an individual is relocating in order to take up the role, the Company may provide certain one-off benefits such as reasonable relocation expenses, accommodation for a period of time following appointment, assistance with visa applications or other immigration issues and ongoing arrangements such as tax equalization, annual flights home and a housing allowance.
- Where an individual would be forfeiting remuneration or employment terms in order to join the Company, the BHRC may at its discretion award appropriate compensation. The BHRC would require reasonable evidence of the nature and value of any forfeited arrangements and would, to the extent practicable, ensure any compensation was of comparable commercial value and capped as appropriate, taking into account the terms of the previous arrangement being forfeited (for example the form and structure of award, timeframe, performance criteria and likelihood of vesting). Where appropriate, the BHRC would have a preference for buy-outs to be delivered in the form of cash.

In making any decision on the remuneration of a new Executive Director, the BHRC would balance shareholder expectations, current best practice and the circumstances of any new Executive Director. It would strive not to pay more than is necessary to recruit the right candidate and would give full details in the next remuneration report.

Note: At present there is only one Executive Director namely the Group Managing Director (GMD).



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

d. Employment Contract

The GMD's employment contract will be held with Unga Holdings Limited and/or any entity within the Group as will be determined by the Board from time to time.

He is entitled to the following contractual benefits:

- Group Medical Insurance
- Group Life Assurance
- Critical Illness Cover
- Car Allowance
- Indemnification in accordance with applicable law.
- Participation in bonus or incentive arrangements at the Committee's sole discretion.

68

e. Retirement Benefits

Purpose	To recognize competitive practice in home country
Operation and Opportunity	• The GMD is entitled to pension provision through the Company's defined contribution plan for all permanent employees. The employer's contribution as a percentage of basic salary is 7.5% and the GMD's contribution is 7.5%. • The participant may opt to remain a member of the Company's defined benefit plan even upon leaving the Company. • The level of contribution is higher than the market rate which provides for 6%.
Performance framework	Retirement benefits in Kenya are not directly linked to performance. They reflect local market practice.

DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

f. Payment for loss of office

The GMD may terminate his employment by giving 12 months' written notice. In this event, for business reasons, the employer may not necessarily hold the GMD to the full notice period.

The employer may lawfully terminate the GMD's employment in the following ways:

- By giving the GMD 12 months' written notice.
- Without compensation, in circumstances where the employer is entitled to terminate for cause, as defined for the purposes of the employment contract.

The lawful termination mechanisms described above are without prejudice to the employer's ability in appropriate circumstances to terminate in breach of the notice period referred to above, and thereby to be liable for damages to the GMD.

In the event of termination by the Company, the Executive Director may have an entitlement to compensation in respect of their statutory rights under employment protection legislation in the Kenya and potentially elsewhere.

g. Termination Payments

An Executive Director's employment contract may be terminated either through;

- Voluntary Termination – Through wilful termination by the Executive Director;
- Involuntary Termination – By reason of disability, retrenchment, retirement or as determined by the Board in good faith; and
- Adverse Termination – By reason for cause (e.g. serious misconduct, negligence, criminal guilt, bankruptcy, poor performance and/or any other material breach of their employment contract).

In determining overall termination arrangements, the BHRC will distinguish between types of termination and the circumstances of the termination.

The BHRC would also consider all relevant circumstances, including whether a contractual provision in the Director's arrangements complied with best practice at the time of termination and the date the provision was agreed, as well as the performance of the Director in certain respects.

Where appropriate, the BHRC may consider providing certain benefits relating to termination including the provision of outplacement support.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

Termination payment	- Should it become necessary to terminate an Executive Director's employment, and therefore to determine a termination payment, the policy is as follows:- - The Executive Director's primary entitlement would be a termination payment in respect of their Employment Agreement. However the BHRC will consider mitigation to reduce the termination payment where appropriate to do so, taking into account the circumstances for leaving and the terms of the agreement. Mitigation would not be applicable where a contractual payment in lieu of notice is made. - If the departing Executive Director is eligible for an early retirement pension, the BHRC would consider, if relevant under the terms of the appropriate plan, the extent of any actuarial reduction that should be applied.
Annual Bonus	- The Committee would consider whether the Executive Director should be entitled to an annual bonus in respect of the financial year in which the termination occurs. - Normally, any such bonus would be restricted to the Executive Director's actual period of service in that financial year.
Share awards	The Group does not operate an Employee Share Ownership Scheme.

h. Long Term Incentives

The Company does not have long term incentive schemes. This will be put in place in future and linked to strategy.

i. Remuneration in the wider group

The BHRC considers employment conditions in the Group when establishing and implementing policy for Executive Directors to ensure the alignment of and context for principles and approach. In particular, the Committee reviews the policy for the most senior leaders.

Decisions regarding remuneration for employees outside the group leaders are the responsibility of the Group Managing Director. The BHRC does not consult directly with employees when formulating the policy.

However, feedback from employee surveys, which are regularly reported to the Board, provide views on a wide range of employee matters including pay.

The wider employee group participates in performance-based incentives. Throughout the Group, base salary and benefit levels are set in accordance with the prevailing relevant market conditions and practice.

Differences between Executive Director pay policy and that of other employees reflect the senior position of the individuals, prevailing market conditions and corporate governance practices in respect of executive director remuneration.

DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

1.4.3. Non-Executive Directors	
a. Non – Executive Chairman	
Fees	
Approach	Remuneration is in the form of an annual honorarium and sitting allowances for Board and Board Committee meetings. The level and structure of the Chairman's remuneration will primarily be compared against Kenyan best practice.
Operation and Opportunity	The quantum and structure of the Chairman's remuneration is reviewed annually by the BNRC, which makes a recommendation to the Board.
Benefits and expenses	
Approach	The Chairman is provided with support and reasonable travelling expenses.
Operation and Opportunity	All reasonable travelling, accommodation and other expenses (including any relevant tax) incurred in carrying out duties as Chairman are reimbursed. The rates applicable for reimbursements are in line with internally approved scales applicable to the Executive Director(s). Indemnification and Insurance i.e. Non-Executive Directors have the benefit of indemnity in relation to liability incurred in their capacity as a Director of the Company.
b. Non – Executive Directors	
i. Fees	
Approach	Remuneration is in the form of an annual honorarium and sitting allowances for Board, Board Committee meetings, Strategy meetings and trainings. Remuneration practice is consistent with recognized best practice standards for non-executive directors' remuneration and, as a Kenyan-listed company, the level and structure of Non-Executive Directors' remuneration will primarily be compared against Kenyan best practice. Additional fees may be payable to reflect additional board responsibilities, for example, Committee Chairmanship and membership and for the role of senior independent director.



DIRECTORS REMUNERATION REPORT

FOR THE YEAR ENDED 30 JUNE 2018 (continued)

Operation and Opportunity	Subject to undertaking the appropriate research, the level and structure of Non-Executive Directors' pay structure and scale is recommended by the BNRC to the Board for implementation subject to approval by the Company's shareholders' at a General meeting. Remuneration for Non-Executive Directors is reviewed annually.
ii. Benefits and expenses	
Approach	Non-Executive Directors are provided with administrative support and reasonable travelling expenses. Professional fees are reimbursed in the form of cash, payable following the provision of advice and assistance.
Operation and Opportunity	Non-Executive Directors are reimbursed for any pre-approved consultancy fees, all reasonable travelling and subsistence expenses (including any relevant tax) incurred in carrying out their duties. The rates applicable for reimbursements are in line with internally approved scales applicable to the Executive Director(s). Indemnification and Insurance i.e. Non-Executive Directors have the benefit of indemnity in relation to liability incurred in their capacity as a Director of the Company.

This Policy has been sanctioned by the Board of Directors and may be amended from time to time as circumstances may warrant.

Review

The remuneration system described in this report will be applicable in future years, unless otherwise determined by regulation or in the light of changes in circumstances.

The above notwithstanding, the BNRC shall, in performance of its duties as prescribed in the Board Charter and in the BNRC's Terms of Reference, periodically review the Board of Directors' remuneration policy. Any changes to this policy shall be considered by the Board of Directors prior to tabling the same at a General meeting for consideration by the Shareholders.

Payments to past Directors

There was no payment of Directors' fees to past directors during the year.

DIRECTORS REMUNERATION REPORT FOR THE YEAR ENDED 30 JUNE 2018

Approval by shareholders

As per section 681 (4) of the Companies Act, 2015, the Directors Remuneration Report has been presented to the Shareholders for approval.

2.0 INFORMATION SUBJECT TO AUDIT

The following table shows a single figure remuneration for the Executive Director, Chairman and Non-Executive Directors in respect of qualifying services for the year ended 30 June 2018 together with the comparative figures for 2017. The aggregate Directors' emoluments are shown in note 33(iv) of the audited financial statements.

For the year ended 30 June 2017

	Salary	Fees	Bonuses	Expense allowances	Estimated value for non cash benefits*	Total
	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000	Shs 000
Nicholas Hutchinson**	24,973	-	5,650	793	8,157	39,573
Isabella Ochola Wilson	-	3,855	-	-	-	3,855
Alan McKittrick	-	2,375	-	-	-	2,375
Andrew Stewart Ndegwa***	-	2,755	-	-	-	2,755
Patrick Obath	-	2,390	-	-	-	2,390
Jinaro Kipkemoi Kibet	-	2,355	-	-	-	2,355
Vitalis Ondeke Ojode	-	1,815	-	-	-	1,815
Shilpa Haria	-	1,265	-	-	-	1,265
	24,973	16,810	5,650	793	8,157	56,383

For the year ended 30 June 2018

Nicholas Hutchinson	28,213	-	7,260	931	10,755	47,159
Isabella Ochola Wilson	-	4,220	-	-	-	4,220
Alan McKittrick	-	1,345	-	-	-	1,345
Andrew Stewart Ndegwa***	-	1,495	-	-	-	1,495
Patrick Obath	-	2,480	-	-	-	2,480
Jinaro Kipkemoi Kibet	-	1,460	-	-	-	1,460
Vitalis Ondeke Ojode	-	2,630	-	-	-	2,630
Shilpa Haria	-	2,545	-	-	-	2,545
	28,213	16,175	7,260	931	10,755	63,334

*Non cash benefits include car and housing benefit.

DIRECTORS REMUNERATION REPORT

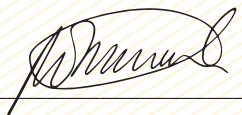
FOR THE YEAR ENDED 30 JUNE 2018 (continued)

***The Group Managing Director's remuneration for the year ended 30 June 2017 has been restated to include the portion of his remuneration that is recharged to the company by Seaboard Corporation.*

****Payment for qualifying services provided by Andrew Ndegwa as stated in the table above was made to First Chartered Securities Limited.*

During the 2017 Annual General meeting, the shareholders in attendance approved the payment of the Directors' fees for the year ended 30 June 2017 by a show of hands.

On behalf of the Board of Directors



Patrick Obath

Chairman, Nomination and Remuneration Committee
27 September 2018



STATEMENT OF DIRECTORS RESPONSIBILITIES FOR THE YEAR ENDED 30 JUNE 2018

The Kenyan Companies Act 2015 requires the directors to prepare financial statements for each financial year which give a true and fair view of the financial position of the Group and the Company at the end of the financial year and its financial performance for the year then ended. The directors are responsible for ensuring that the Group and Company keeps proper accounting records that are sufficient to show and explain the transactions of the Group and Company; disclose with reasonable accuracy at any time the financial position of the Group and Company; and that enables them to prepare financial statements of the Company that comply with prescribed financial reporting standards and the requirements of the Kenyan Companies Act 2015. They are also responsible for safeguarding the assets of the Group and Company and for taking reasonable steps for the prevention and detection of fraud and other irregularities.

The directors accept responsibility for the preparation and presentation of these financial statements in accordance with International Financial Reporting Standards and in the manner required by the Kenyan Companies Act 2015. They also accept responsibility for:

- i. Designing, implementing and maintaining internal control as they determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- ii. Selecting suitable accounting policies and then apply them consistently; and
- iii. Making judgements and accounting estimates that are reasonable in the circumstances.

In preparing the financial statements, the directors have assessed the Group's and Company's ability to continue as a going concern and disclosed, as applicable, matters relating to the use of going concern basis of preparation of the financial statements. Nothing has come to the attention of the directors to indicate that the Group and Company will not remain a going concern for at least the next twelve months from the date of this statement.

The directors acknowledge that the independent audit of the financial statements does not relieve them of their responsibility.

Approved by the Board of Directors on 27 September 2018 and signed on its behalf by:



I Ochola- Wilson (Mrs)
Director



N Hutchinson
Director





AFYA BORA [®] SOFT READY BLOCK	
STOCK SUFFICIENT FOR ALL FARM STOCK VES THAT ENSURES FASTER GROWTH AND IMPROVED FERTILITY	
Active	0.004%
Calcium	1.0000%
Iron	0.1100%
Phosphorus	0.0040%
Selenium	0.0040%
Net Weight: 5kg (11.023 lbs)	
UNGA Nestlé Nutrition	



**Madini bora
kwa mapato zaidi.**

RISK MANAGEMENT AND INTERNAL AUDIT

RISK MANAGEMENT	76
INTERNAL AUDIT	78



RISK MANAGEMENT

Risk management overview

We are committed to the management of risk in our operations as per the set Group's risk appetite levels. In addition, we recognise that risk management is an integral part of good governance and best management practice.

Risk management framework

In order to ensure entrenchment of an effective risk management process and creation of a risk aware culture, we have established an elaborate risk management framework, guided by ISO 31000:2018 that clearly outlines the risk governance structure that comprises of:

1. The Board via the Board Audit & Risk Committee and other special committees whose responsibility is to ensure that adequate risk management structures and a sound internal control system that supports the delivery of business objectives are in place.
2. A Risk Management Committee which is chaired by the Group Managing Director is responsible for the implementation of a risk aware culture in all operations in line with our risk management policy. To ensure that risk management is a part of our day to day operations, it has been embedded into our staff performance management framework and our decision making processes.
3. A Risk Management function is in place for independently reviewing the design and effectiveness of the overall risk management process; and risk control and reporting. The Risk and Compliance office has been established to carry out the coordination, monitoring and reporting of risk management efforts within the Group.
4. An Internal Audit function to provide independent objective assurance and consulting services designed to add value and improve the Group's operations. It helps the Group achieve its objectives by bringing systematic and disciplined approach to evaluate and improve the effectiveness of Governance, Risk Management, Control and Accountability processes.
5. We have nominated Risk Champions in each section or department; whose major role is the identification and assessment of risks that could affect achievement of their respective department/section objectives. These champions work closely with the Risk and Compliance office and process owners, whose key role is managing risks in their respective sections and/or departments.
6. Collectively, our employees have the responsibility for implementing the internal controls and risk management processes that support achievement of personal, departmental and corporate objectives.
7. External Auditors and other stakeholders: They are important sources of information and reports that is vital in carrying out risk management responsibilities.



RISK MANAGEMENT (continued)

Key risks

Our enterprise-wide risk management strategy supports our strategic objectives through the development of sound policies, procedures and controls that ensure proactive identification and assessment of both internal and external risks. Priority has been given to key risks that support the Group's strategic ambitions as detailed below:

Strategic Ambition	Risk category	Risk Mitigation
Profits	Supply chain	Optimisation of our supply chain and competitive sourcing is key in the reduction of cost of goods and elimination of stock outs.
Portfolio	Portfolio management	Production and diversification of quality products and services that maximise customer and consumer satisfaction are some of the ways undertaken to address diminishing market share.
	ICT	Use of enhanced ICT in business analytics, improvement of delivery efficiencies & productivity are in place. Continuously monitoring and taking action on threats associated with information and cybercrimes have been embraced.
People	Human resource development & retention	Continuous analysis and monitoring tools have been employed to address employee performance, productivity and turn over to be within Company set targets.
	Culture transformation	Implementation of culture transformation initiatives that support the business are ongoing and periodic reviews conducted.
Planet	Environment & CSR	Zero tolerance to noncompliance with environmental laws and regulations and fostering good relationships with communities in which we operate are in place.
Partners	Business Partnerships	Building partnerships and good working relationships with like minded partners through use of elaborate know your customer platforms are a part of our business focus.

Fraud risk assessment

As a good risk management practice; and to also augment the work carried out by our internal auditors in protecting and preserving shareholder value within our operations, we engaged the services of an external independent assessor to carry out an in-depth fraud risk assessment. One of the primary objectives of this assessment was to check the effectiveness of our fraud risk management programme and from their findings; recommend remedial actions to be undertaken. The assessors looked at both preventive and detective controls that are in place and tested their effectiveness. Management was advised on areas of strength and improvement. These assessments are carried out periodically to identify potential exposures and determine remedial steps to be adopted based on the dynamic changes in the organisation and market place.

We would like to reiterate our commitment to enterprise risk management as one of the means to deliver on our business objectives, going forward.



INTERNAL AUDIT

In line with best practice, we have a written charter which spells out the purpose, authority and responsibility of the Internal Audit function. The charter also gives the Internal Audit function the mandate to carry out the audit of the Group's operations.

Purpose of Internal Audit Function

This function provides independent objective assurance and consulting services designed to add value and improve the Group's operations. It helps the Group achieve its objectives by bringing systematic and disciplined approach to evaluate and improve the effectiveness of Governance, Risk Management, Control and Accountability processes to ensure:

- Risks are appropriately identified and managed
- Interaction with the various Governance groups occurs as needed
- Significant financial, managerial and operating information is accurate, reliable, and timely
- Employees' actions are in compliance with applicable policies, laws and regulations
- Resources are acquired economically, used efficiently and adequately protected
- Plans and objectives are achieved
- Quality and continuous improvement are fostered in Group's control process
- Significant legal or regulatory issues impacting on the Group are recognised and addressed appropriately
- Opportunity for improving if identified during audits are communicated to the appropriate level of management

Authority of the Internal Audit function

The Head of Internal Audit and staff of the Internal Audit function are authorised to:

Have unrestricted access to all functions, documents, records and any other Group data which is necessary for the proper performance of their work

Handle all documents and information given to internal auditors in the same prudent manner as by those employees normally accountable to them

Communicate and have direct interaction with the Group companies and functions. The Head of Internal Audit has full access to the Audit and Risk Committee and the Chairperson of the Board

Allocate resources, set frequencies, subject matter, determine scope of work and apply the techniques required to accomplish the audit objectives

Obtain the necessary assistance from the staff as well as other specialised services from within or outside the Group when auditing

INTERNAL AUDIT (continued)

Independence of the Internal Audit Function

To maintain independence, the Head of Internal Audit and Internal Audit staff;

- Are directly responsible to the Board Audit and Risk Committee functionally and to the Group Managing Director administratively and are independent of any other department, section or officer
- Have no executive or managerial powers, functions or duties except those relating to the Internal Audit unit
- Are not involved in the day-to-day operations of the Group
- Are not responsible for the detailed design, development and implementation of new systems and procedures, except as advisors

Key Highlights this Financial Year

As laid down in the terms of reference, it is a requirement that the Board Audit and Risk Committee approves and regularly monitor performance against the approved Annual Audit plan. This financial year, the focus was on 4 key areas

Focus Area	Status
Review of performance against the Audit Plan for financial year	Out of the 39 assignments, 22 were completed and reports circulated while the remaining 17 assignments were at different stages of completion.
Expanding the Internal Audit Team	The recruitment process was completed for the two positions which were vacant. Post-audit supervisor reviews and a number of internal trainings were also conducted to enhance staff technical competency and experience.
Internal Audit software implementation	The audit documentation software was fully in use and no major hiccups have been experienced.
Internal Audit strategy update	Most of the activities scheduled for Year 1 & 2 of the revised Internal Audit Strategy were on course.

Standards of Audit Practice

All activities and recommendations of the Internal Audit function are conducted with the highest standards, ethical considerations and are consistent with the applicable law, Group policies, professional standards, internal audit manual and best practices.



Transferring our best knowledge to enable
you realise optimum returns



Lishe Bora, Mapato Bora



GOVERNANCE AUDITOR'S REPORT 82

LEGAL AND COMPLIANCE AUDITOR'S REPORT 83

INDEPENDENT AUDITORS REPORT 84

FINANCIAL PERFORMANCE REPORT

FIVE YEAR FINANCIAL REVIEW 88

AUDITED FINANCIAL STATEMENTS & NOTES 89

OTHER INFORMATION

NOTICE OF THE ANNUAL GENERAL MEETING 146

PROXY FORM 148



GOVERNANCE AUDITOR'S REPORT

The Code of Corporate Governance for Issuers of Securities to the Public, 2015 ("the Code"), requires the Board of a listed company to subject the company to an annual Governance Audit to check the level of compliance with sound governance practices.

The annual Governance Audit should be conducted by a competent and recognized professional accredited for that purpose by the Institute of Certified Secretaries (ICS). In compliance with the Code, Unga Group Plc ("the Company") retained Ms. Catherine Musakali of Dorion Associates ("the Auditor") to conduct a Governance Audit of the governance structures, procedures and processes of the Company in order to assure the Board that its goals, structure and operations are consistent with the law, the Code, as well as the latest developments in Corporate Governance; and that the Company has adopted best practices in Corporate Governance as a means of ensuring sustainability. The Code further requires that after undergoing the Governance Audit, the Board should provide an explicit statement on the level of compliance.

STATEMENT OF THE RESPONSIBILITY OF DIRECTORS

The Board is responsible for putting in place governance structures and systems that support the practice of good governance in the organization. This responsibility includes planning, designing and maintaining governance structures through policy formulation necessary for efficient and effective governance of the organization. The Board is also responsible for ethical leadership, risk governance and internal control; transparency and disclosure; equitable protection and exercise of members' rights and obligations; compliance with laws and regulations; sustainability; performance management and strategy formulation and oversight.

The Board of Directors is committed to the highest standards of good Corporate Governance and strives for continuous improvement by seeking to identify any loopholes and gaps in the Company's governance structures and processes. It is on this premise that the Board commissioned a Governance Audit for the year ended 30th June 2018, and obtained a report, which discloses the state of governance within the Company.

GOVERNANCE AUDITOR'S RESPONSIBILITY

Our responsibility is to express an opinion on the existence and effectiveness of governance instruments, policies, structures, systems and practices in the Company in accordance with best governance practices as envisaged within the legal and regulatory framework. We conducted our Audit in accordance with the Institute of Certified Secretaries Governance Audit Standards and Guidelines, which conform to global Standards. These standards require that we plan and perform the Governance Audit to obtain reasonable assurance on the adequacy and effectiveness of the Company's policies, systems, practices and processes. The Audit involved obtaining audit evidence on a sample basis. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a reasonable basis for our opinion.

OPINION

In our opinion, the Board has put in place a satisfactory governance framework, which is to a large extent in compliance with the legal and regulatory framework, and in this regard we issue an unqualified opinion.



FCS. Catherine Musakali, ICPSK GA. No 006
Dorion Associates

For more information about this report, please contact:
Catherine Musakali – cmusakali@dorion.co.ke

LEGAL AND COMPLIANCE AUDITOR'S REPORT

The Capital Markets Authority's Code of Corporate Governance for Issuers of Securities for the Public 2015 requires the Boards of listed companies to ensure the following;

- a) Save for when the independent legal and compliance audit is carried out, an internal legal and compliance audit shall be carried out on an annual basis, with the objective of establishing the level of adherence to applicable laws, regulations and standards;
- b) That a comprehensive independent legal audit is carried out at least once every two years by a legal professional in good standing with the Law Society of Kenya; and
- c) That the findings from the audits are acted upon and any non-compliance issues arising corrected as necessary.

STATEMENT OF THE RESPONSIBILITIES OF THE DIRECTORS

The Board is committed to ensuring that Unga Group Plc ("the Company") and its subsidiaries are in compliance with the laws, regulations and standards applicable to it. In order to ensure compliance, the Board has established internal procedures and monitoring systems to promote compliance with applicable laws, regulations and standards. In this regard, the Board is supported by duly qualified legal and compliance professionals whose duty it is to guide and focus the Company's compliance efforts. In order to assure itself that the Company is compliant with applicable laws, regulations and standards, the Board commissioned a Legal and Compliance Audit with the aim of establishing the level of adherence to applicable laws, regulations and standards. The Lead Legal Auditor is Mr Charles B G Ouma of Dorion Associates.

RESPONSIBILITY OF THE LEGAL AUDITOR

The Legal Auditor's responsibility is to express an opinion on the level of compliance by the Company and its subsidiaries to the applicable laws, regulations, standards and other sources of obligations. In carrying out the Legal and Compliance Audit, the Auditor prepared a compliance matrix identifying each of the Company's compliance obligations under the applicable laws, regulations, standards and evaluated the level of compliance.

OPINION

The Auditor is of the opinion that the Company and its subsidiaries, in material respects, broadly comply with the requirements of the internal and external legal framework. Instances of non-compliance, none of which has been ranked as posing a serious risk to the legal health of the Company and its subsidiaries, have been identified and specifically reported.

Mr. Charles B G Ouma
Dorion Associates

For more information about this LCAR, please contact:
Charles B G Ouma – couma@dorion.co.ke
Catherine Musakali – cmusakali@dorion.co.ke



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc

Report on the audit of the financial statements

Our opinion

We have audited the accompanying financial statements of Unga Group Plc (the Company) and its subsidiaries (together, the Group) set out on pages 89 to 144, which comprise the consolidated statement of financial position at 30 June 2018 and the consolidated statement of profit or loss, consolidated statement of comprehensive income, consolidated statement of changes in equity and consolidated statements of cash flows for the year then ended, together with the Company statement of profit or loss and other comprehensive income, Company statement of financial position at 30 June 2018, the statement of changes in equity and statement of cash flows for the Company for the year then ended, and the notes to the financial statements, including a summary of significant accounting policies.

In our opinion the accompanying financial statements of Unga Group Plc give a true and fair view of the financial position of the Group and the Company at 30 June 2018 and of their financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the *Auditor's responsibilities for the audit of the financial statements section of our report*.

We are independent of the company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the ethical requirements that are relevant to our audit of the financial statements in Kenya, and we have fulfilled our ethical responsibilities in accordance with these requirements and the IESBA Code.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Key audit matters

Key audit matters are those matters that, in our professional judgement, were of most significance in our audit of the consolidated financial statements of the current period. These matters were addressed in the context of our audit of the financial statements as a whole, and in forming our opinion thereon, and we do not provide a separate opinion on these matters



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

<i>Key audit matter</i>	<i>How our audit addressed the matter</i>
<i>Information technology (IT) systems and controls</i> The Group implemented SAP, a fully integrated financial accounting and reporting system, effective 1 January 2016 and has continued to add modules to enhance the system. Information systems are key to the Group. Any errors, mistakes, incorrect access rights and omissions from the systems can have a significant impact on the financial statements. Further, the design and operating effectiveness of the controls incorporated in SAP is important to ensure the reliability of the information produced by the system. There is a risk that automated accounting procedures and IT dependent controls on key business processes are not operating effectively.	We examined the framework of governance over the Group's IT organisation and the controls over program development and changes, access to programs and data and IT operations, including compensating controls where required We tested the Information Technology General Controls (ITGCs) that ensure accuracy, completeness and validity of data processing. This entailed the review of access controls to information and the underlying system and plans put in place by management to ensure consistent and continuous production of reliable information. We tested relevant application controls within the IT system that management relies on to run the business effectively. We re-performed selected automated computations and compared our results with those from the system and the general ledger. Further, we reviewed key reconciliations between the sub-ledgers and the general ledger. We tested significant manual journals processed into the system during the period.

Other information

The other information comprises the Corporate Information, Chairman's Statement, Group Managing Director's Statement, Directors' report, Directors' remuneration report, and the Statement of Directors' Responsibilities which we obtained prior to the date of this auditor's report, and the rest of the other information in the Annual Report which are expected to be made available to us after that date, but does not include the financial statements and our auditor's report thereon. The directors are responsible for the other information. Our opinion on the financial statements does not cover the other information and we do not and will not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information identified above and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit, or otherwise appears to be materially misstated.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

If, based on the work we have performed on the other information we have received prior to the date of this auditor's report we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

When we read the rest of the other information in the Annual Report and we conclude that there is a material misstatement therein, we are required to communicate the matter to those charged with governance.

Responsibilities of the directors for the financial statements

The directors are responsible for the preparation and fair presentation of the financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act, 2015, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Group's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Group or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements

can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgement and maintain professional scepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Group's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by the directors.
- Conclude on the appropriateness of the directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion.



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF UNGA GROUP Plc (continued)

Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.
- Obtain sufficient appropriate audit evidence regarding the financial information of the entities or business activities within the Group to express an opinion on the Group's financial statements. We are responsible for the direction, supervision and performance of the Group audit. We remain solely responsible for our audit opinion.

We communicate with the directors regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide the directors with a statement that we have complied with relevant ethical requirements regarding independence, and to communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, related safeguards.

From the matters communicated with the directors, we determine those matters that were of most significance in the audit of the financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, we determine that a matter should not be communicated in our report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest benefits of such communication.

Report on other matters prescribed by the Kenyan Companies Act, 2015

Report of the directors

In our opinion the information given in the report of directors' report on pages 57 to 58 is consistent with the financial statements.

Directors' remuneration report

In our opinion the auditable part of the directors' remuneration report on page 71 has been properly prepared in accordance with the Kenyan Companies Act, 2015.

The engagement partner responsible for the audit resulting in this independent auditor's report is FCPA Michael Mugasa – P/No. 1478.

A handwritten signature in blue ink, appearing to read 'Michael Mugasa', followed by a period.

Certified Public Accountants
Nairobi

27 September 2018

FIVE YEAR FINANCIAL REVIEW

	2014 Shs 000	2015 Shs 000	2016 Restated Shs 000	2017 Restated Shs 000	2018 Shs 000
Consolidated statement of comprehensive income					
Revenue	17,002,302	18,723,250	18,947,944	19,528,785	19,982,070
Operating profit	564,233	785,035	714,328	237,868	1,273,403
Profit before income tax	567,735	635,695	738,084	228,350	1,299,266
Income tax expense	(184,968)	(205,914)	(226,608)	(116,438)	(510,492)
Profit for the year from discontinuing operations	91,727	192,085	(2,660)	(118,951)	(5,571)
Profit for the year	474,494	621,866	508,816	(7,039)	783,203
Earnings per share - basic and diluted	Shs 3.65	Shs 5.27	Shs 4.32	Shs 0.49	Shs 6.72
Consolidated statement of Financial position at 30 June					
Non - Current Assets	2,541,402	3,182,410	2,531,797	2,855,945	3,336,842
Current Assets	4,934,209	5,452,719	5,819,762	6,599,371	6,595,822
Assets of disposal group classified as held for sale	550,967	-	-	-	-
Total Assets	8,026,578	8,635,129	8,351,559	9,455,316	9,932,664
Equity and liabilities					
Share Capital	378,535	378,535	378,535	378,535	378,535
Reserves	2,675,000	3,010,814	2,866,943	2,981,744	3,409,356
Equity attributable to equity holders of the parent	3,053,535	3,389,349	3,245,478	3,360,279	3,787,891
Non controlling Interests	1,633,708	1,929,271	1,857,494	1,550,166	1,821,184
Total Equity	4,687,243	5,318,620	5,102,972	4,910,445	5,609,075
Non-Current Liabilities	987,381	1,014,344	716,699	564,327	1,244,070
Current Liabilities	2,172,393	2,302,165	2,531,888	3,980,544	3,079,519
Liability of disposal group classified as held for sale	179,561	-	-	-	-
	3,339,335	3,316,509	3,248,587	4,544,871	4,323,589
Total Equity and Liabilities	8,026,578	8,635,129	8,351,559	9,455,316	9,932,664

CONSOLIDATED STATEMENT OF PROFIT OR LOSS

For the Year ended 30 June	Notes	2018 Shs'000	2017 Shs'000 Restated
Revenue	5	19,982,070	19,528,785
Cost of sales		(16,671,007)	(17,249,398)
Gross profit		3,311,063	2,279,387
Other income	8	55,254	64,527
Selling and distribution costs		(900,708)	(883,634)
Administrative expenses		(1,192,206)	(1,222,412)
Operating profit		1,273,403	237,868
Finance income	10	116,649	67,415
Finance costs	10	(90,786)	(76,933)
Profit before income tax		1,299,266	228,350
Income tax expense	13	(510,492)	(116,438)
Profit for the year from continuing operations		788,774	111,912
Loss for the year from discontinuing operations	30	(5,571)	(118,951)
profit/ (Loss) for the year		783,203	(7,039)
Attributable to:			
Owners of the parent:			
-Profit for the year from continuing operations		512,703	114,689
-Loss for the year from discontinuing operations		(3,621)	(77,318)
		509,082	37,371
Non-controlling interests:			
-Profit for the year from continuing operations		276,071	(2,777)
-Loss for the year from discontinuing operations		(1,950)	(41,633)
		274,121	(44,410)
		783,203	(7,039)
Earnings per share attributable to owners of the Company (expressed in Kenya shilling).			
Basic and diluted earnings per share		2018	2017
From continuing operations		6.77	1.51
From discontinuing operations		(0.05)	(1.02)
Basic and diluted earnings per share	6	6.72	0.49



CONSOLIDATED STATEMENT OF OTHER COMPREHENSIVE INCOME

For the Year ended 30 June	Notes	2018 Shs'000	2017 Shs'000
Profit/(Loss) for the year		783,203	(7,039)
Other comprehensive income for the year			
<i>Items that will not be subsequently reclassified to profit or loss</i>			
Re-measurement of retirement benefit scheme asset	28	136	9,268
Deferred income tax thereon		(41)	(2,781)
<i>Items that may be subsequently reclassified to profit or loss</i>			
Currency translation differences on foreign operations		(8,961)	(5,503)
Total other comprehensive (loss) / income for the year		<u>(8,866)</u>	<u>984</u>
Total comprehensive (loss) / income for the year		<u>774,337</u>	<u>(6,055)</u>
Attributable to;			
Owners of the parent		503,319	38,011
Non-controlling interest		271,018	(44,066)
		<u>774,337</u>	<u>(6,055)</u>



COMPANY STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the Year ended 30 June	Notes	2018 Shs'000	2017 Shs'000
Revenue	5	-	75,707
Administrative expenses		(43,603)	(17,571)
Operating profit		(43,603)	58,136
Finance income	10	22,054	16,277
(Loss) / Profit before income tax		(21,549)	74,413
Income tax expense		-	(3,595)
(Loss) /profit for the year		(21,549)	70,818
Other comprehensive income, net of tax		-	-
(Loss) / profit for the year		(21,549)	70,818
Other comprehensive income		-	-
Total comprehensive (loss) / income		(21,549)	70,818



CONSOLIDATED STATEMENT OF FINANCIAL POSITION

At 30 June	Notes	2018 Shs'000	2017 Shs'000 Restated	2016 Shs'000 Restated
ASSETS				
Non-current assets				
Property, plant and equipment	24	3,194,280	2,611,572	2,070,158
Prepaid operating lease rentals	25	18,354	27,359	28,973
Intangible asset	26	74,300	166,343	359,084
Retirement benefits asset	28	24,674	17,937	41,306
Deferred income tax	19	25,234	32,734	32,276
		<u>3,336,842</u>	<u>2,855,945</u>	<u>2,531,797</u>
Current assets				
Inventories	20	2,689,813	2,321,807	2,562,374
Trade and other receivables	21	2,813,438	2,440,699	2,072,418
Current income tax		4,116	122,110	82,611
Cash and bank balances	29	1,088,455	1,714,755	1,102,359
		<u>6,595,822</u>	<u>6,599,371</u>	<u>5,819,762</u>
TOTAL ASSETS		<u>9,932,664</u>	<u>9,455,316</u>	<u>8,351,559</u>
EQUITY AND LIABILITIES				
Capital and reserves				
Share capital	14	378,535	378,535	378,535
Share premium		73,148	73,148	73,148
Other reserves	15	(31,329)	(25,566)	(26,206)
Retained earnings		<u>3,367,537</u>	<u>2,934,162</u>	<u>2,820,001</u>
		<u>3,787,891</u>	<u>3,360,279</u>	<u>3,245,478</u>
Non-controlling interests	16	1,821,184	1,550,166	1,857,494
Total equity		<u>5,609,075</u>	<u>4,910,445</u>	<u>5,102,972</u>
LIABILITIES				
Non-current liabilities				
Post-employment benefits obligation	18	9,351	17,151	97,098
Deferred income tax	19	356,202	370,079	298,286
Borrowings	17	815,363	131,688	321,315
Capital Grants	23	63,154	45,409	-
		<u>1,244,070</u>	<u>564,327</u>	<u>716,699</u>
Current liabilities				
Trade and other payables	22	2,611,469	3,761,792	2,284,368
Current income tax		391,224	5,315	103,470
Borrowings	17	76,826	213,437	144,050
		<u>3,079,519</u>	<u>3,980,544</u>	<u>2,531,888</u>
Total liabilities		<u>4,323,589</u>	<u>4,544,871</u>	<u>3,248,587</u>
TOTAL EQUITY AND LIABILITIES		<u>9,932,664</u>	<u>9,455,316</u>	<u>8,351,559</u>

The financial statements on pages 89 to 144 were approved for issue by the board of directors on 27 September 2018 and signed on its behalf by:

I Ochola- Wilson (Mrs) - Director

N. Hutchinson - Director

COMPANY STATEMENT OF FINANCIAL POSITION

At 30 June	Note	2018 Shs '000	2017 Shs '000
ASSETS			
Non-current assets			
Investments in subsidiaries	27	1,297,335	1,297,335
Total non-current assets		<u>1,297,335</u>	<u>1,297,335</u>
Current assets			
Trade and other receivables	21	142,807	134,945
Cash and bank balances	29	228,782	290,226
Total current assets		<u>371,589</u>	<u>425,171</u>
TOTAL ASSETS		<u>1,668,924</u>	<u>1,722,506</u>
EQUITY AND LIABILITIES			
Capital and reserves			
Ordinary shares	14	378,535	378,535
Share premium		73,148	73,148
Retained earnings		<u>906,469</u>	<u>1,003,725</u>
Total equity		<u>1,358,152</u>	<u>1,455,408</u>
Current liabilities			
Trade and other payables	22	310,772	267,098
Total current liabilities		<u>310,772</u>	<u>267,098</u>
TOTAL EQUITY AND LIABILITIES		<u>1,668,924</u>	<u>1,722,506</u>

The financial statements on pages 89 to 144 were approved for issue by the board of directors on 27 September 2018 and signed on its behalf by:



I Ochola- Wilson (Mrs)
Director



N Hutchinson
Director

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY

	Share capital	Share premium	Other reserves	Retained earnings	Equity attributable to holders	Non-controlling interest	Total
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Year ended 30 June 2017							
At start of year							
-as previously stated	378,535	73,148	698,848	2,480,889	3,631,420	2,065,309	5,696,729
-reversal of revaluation surplus (Note 32)	-	-	(725,054)	339,112	(385,942)	(207,815)	(593,757)
-as restated	378,535	73,148	(26,206)	2,820,001	3,245,478	1,857,494	5,102,972
Profit for the year	-	-	-	37,371	37,371	(44,410)	(7,039)
Other comprehensive income for the year	-	-	640	-	640	344	984
Total comprehensive income for the year	-	-	640	37,371	38,011	(44,066)	(6,055)
Transactions with owners							
Acquisition	-	-	-	152,497	152,497	(222,497)	(70,000)
Dividend paid to equity holders	-	-	-	(75,707)	(75,707)	-	(75,707)
Dividend paid to non - controlling interests	-	-	-	-	-	(40,765)	(40,765)
At end of year	378,535	73,148	(25,566)	2,934,162	3,360,279	1,550,166	4,910,445

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (CONTINUED)

	Share capital	Share premium	Other reserves	Retained earnings	Equity attributable to equity holders	Non- controlling interests	Total
	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000	Shs '000
Year ended 30 June 2018							
At start of year							
-as previously stated	378,535	73,148	674,484	2,594,807	3,720,974	1,757,981	5,478,955
-reversal of revaluation surplus (Note 32)	-	-	(700,050)	339,355	(360,695)	(207,815)	(568,510)
-as restated	378,535	73,148	(25,566)	2,934,162	3,360,279	1,550,166	4,910,445
Profit for the year	-	-	-	509,082	509,082	274,121	783,203
Other comprehensive income for the year	-	-	(5,763)	-	(5,763)	(3,103)	(8,866)
Total comprehensive income for the year	-	-	(5,763)	509,082	503,319	271,018	774,337
Transactions with owners							
Dividend paid to equity holders	-	-	-	(75,707)	(75,707)	-	(75,707)
At end of year	378,535	73,148	(31,329)	3,367,537	3,787,891	1,821,184	5,609,075



COMPANY STATEMENT OF CHANGES IN EQUITY

	Share Capital Shs'000	Share Premium Shs'000	Retained earnings Shs'000	Total Shs'000
Year ended 30 June 2017				
At start of year	378,535	73,148	1,008,614	1,460,297
Total comprehensive income	-	-	70,818	70,818
Transactions with owners				
Dividends paid	-	-	(75,707)	(75,707)
At end of year	378,535	73,148	1,003,725	1,455,408
Year ended 30 June 2018				
At start of year	378,535	73,148	1,003,725	1,455,408
Total comprehensive income	-	-	(21,549)	(21,549)
Transactions with owners				
Dividends paid	-	-	(75,707)	(75,707)
At end of year	378,535	73,148	906,469	1,358,152



CONSOLIDATED STATEMENT OF CASH FLOWS

Year ended 30 June

	Notes	2018 Shs'000	2017 Shs'000
Operating activities			
Cash generated from operations	29	(116,379)	1,818,645
Income tax paid		(33,591)	(175,985)
Interest paid		(87,131)	(47,341)
Net cash from operating activities		(237,101)	1,595,319
Investing activities			
Purchase of property, plant and equipment	24	(875,768)	(791,410)
Purchase of intangible assets	26	(8,464)	(19,706)
Proceeds of disposal of property, plant and equipment		5,923	9,262
Net cash used in investing activities		(878,309)	(801,854)
Financing activities			
Dividends paid to equity holders	7	(75,707)	(75,707)
Dividends paid to non - controlling interests	16	-	(40,765)
Proceeds from borrowings	17	742,606	-
Repayments of borrowings	17	(195,542)	(120,240)
Capital grants received	23	20,738	45,599
Net cash from / (used in) financing activities		492,095	(191,113)
Net (decrease) / increase in cash and cash equivalents		(623,315)	602,352
Movement in cash and cash equivalents			
At start of year		1,714,755	1,102,359
(Decrease) / increase		(623,315)	602,352
Effects of exchange rate changes		(2,985)	10,044
At end of year	29	1,088,455	1,714,755

COMPANY STATEMENT OF CASH FLOWS

Operating activities			
Cash generated from operations	29	14,263	93,750
Net cash from operating activities		14,263	93,750
Financing activities			
Dividends paid to shareholders	7	(75,707)	(75,707)
Net cash used in financing activities		(75,707)	(75,707)
Net increase in cash and cash equivalents		(61,444)	18,043
Movement in cash and cash equivalents			
At start of year		290,226	272,183
(Decrease)/ increase		(61,444)	18,043
At end of year	29	228,782	290,226



NOTES

1 General information

Unga Group Plc is incorporated in Kenya under the Companies Act as a limited liability company, and is domiciled in Kenya. The address of its registered office is:

Plot No.209/6841
Ngano House, Commercial Street
Industrial Area
P O Box 30096, 00100
Nairobi

2 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these consolidated financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

(a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards ("IFRS"). The measurement basis applied is the historical cost basis. All values are shown in thousands of Kenya Shillings.

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires management to exercise its judgement in the process of applying the Company's accounting policies. The areas involving a higher degree of judgement or complexity, or where assumptions and estimates are significant to the financial statements, are disclosed in Note 3.

Changes in accounting policy and disclosures

(i) *New standards, amendments and interpretations adopted by the Group*

The following new and revised IFRSs were effective in the current year and had no material impact on the amounts reported in these financial statements.

Amendment to IAS 12 – Income taxes, the amendments were issued to clarify the requirements for recognising deferred tax assets on unrealised losses. The amendments clarify the accounting for deferred tax where an asset is measured at fair value and that fair value is below the asset's tax base. They also clarify certain other aspects of accounting for deferred tax assets. The amendments clarify the existing guidance under IAS 12. They do not change the underlying principles for the recognition of deferred tax assets.

Amendment to IAS 7 – Cash flow statements, the amendments introduce an additional disclosure that will enable users of financial statements to evaluate changes in liabilities arising from financing activities. The amendment responds to requests from investors for information that helps them better understand changes in an entity's debt. The amendment will affect every entity preparing IFRS financial statements. However, the information required should be readily available. Preparers should consider how best to present the additional information to explain the changes in liabilities arising from financing activities.

(ii) *New standards, amendments and interpretations not yet adopted*

Certain new accounting standards and interpretations have been published that are not mandatory for the 30 June 2018 reporting period and have not been early adopted by the Group and Company. The standards expected to have an impact on the financial statements of the Group and Company are set out below:

IFRS 9 Financial instruments'

Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities. The complete version of IFRS 9 was issued in July 2014. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments. IFRS 9 retains but simplifies the mixed measurement model and establishes three primary measurement categories for financial assets: amortised cost, fair value through OCI and fair value through Profit or loss.



NOTES (continued)**2 Summary of significant accounting policies (continued)****(a) Basis of preparation (Continued)***(ii) New standards, amendments and interpretations not yet adopted (Continued)*

There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39.

The basis of classification depends on the entity's business model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to present changes in fair value in OCI not recycling.

There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there were no changes to classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes.

Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is expected to mainly impact impairment provision on receivables but it's not currently considered likely to have any major impact on the Group's current accounting. The standard is mandatory for financial years commencing on or after 1 January 2018.

IFRS 15 Revenue from Contracts with Customers

The IASB has issued a new standard for the recognition of revenue. This will replace IAS 18 which covers contracts for goods and services and IAS 11 which covers construction contracts.

The new standard is based on the principle that revenue is recognised when control of a good or service transfers to a customer – so the notion of control replaces the existing notion of risks and rewards.

A new five-step process must be applied before revenue can be recognised:

- identify contracts with customers
- identify the separate performance obligation
- determine the transaction price of the contract
- allocate the transaction price to each of the separate performance obligations, and
- recognise the revenue as each performance obligation is satisfied.

Key changes to current practice are:

- Any bundled goods or services that are distinct must be separately recognised, and any discounts or rebates on the contract price must generally be allocated to the separate elements.
- Revenue may be recognised earlier than under current standards if the consideration varies for any reasons (such as for incentives, rebates, performance fees, royalties, success of an outcome etc) – minimum amounts must be recognised if they are not at significant risk of reversal.
- The point at which revenue is able to be recognised may shift: some revenue which is currently recognised at a point in time at the end of a contract may have to be recognised over the contract term and vice versa.
- There are new specific rules on licenses, warranties, non-refundable upfront fees and, consignment arrangements, to name a few.
- As with any new standard, there are also increased disclosures.

These accounting changes may have flow-on effects on the entity's business practices regarding systems, processes and controls, compensation and bonus plans, contracts, tax planning and investor communications. Entities will have a choice of full retrospective application, or prospective application with additional disclosures.



NOTES (continued)**2 Summary of significant accounting policies (continued)****(a) Basis of preparation** (Continued)*(ii) New standards, amendments and interpretations not yet adopted (Continued)*

The Group has estimated the impact of the new standard on the Group's financial statements. If IFRS 15 had been adopted in the current financial year, the reported revenues would increase by 0.25%. The directors, therefore, have concluded that the adoption of the new standard will not have a significant impact on the Group and company. The new standard is effective for annual periods beginning on or after 1 January 2018.

IFRS 16 Leases

IFRS 16 will affect primarily the accounting by lessees and will result in the recognition of almost all leases on balance sheet. The standard removes the current distinction between operating and financing leases and requires recognition of an asset (the right to use the leased item) and a financial liability to pay rentals for virtually all lease contracts. An optional exemption exists for short-term and low-value leases.

The income statement will also be affected because the total expense is typically higher in the earlier years of a lease and lower in later years. Additionally, operating expense will be replaced with interest and depreciation, so key metrics like EBITDA will change.

Operating cash flows will be higher as cash payments for the principal portion of the lease liability are classified within financing activities. Only the part of the payments that reflects interest can continue to be presented as operating cash flows.

The accounting by lessors will not significantly change. Some differences may arise as a result of the new guidance on the definition of a lease. Under IFRS 16, a contract is, or contains, a lease if the contract conveys the right to control the use of an identified asset for a period of time in exchange for consideration.

The standard is effective for annual periods beginning on or after 1 January 2019 and earlier application is permitted. Early adoption is permitted only

if IFRS 15 is adopted at the same time. The directors do not anticipate the standard to have a significant impact on the Group.

There are no other IFRSs or IFRIC interpretations that are not yet effective that would be expected to have a material impact on the Company.

(b) Consolidation*(i) Subsidiaries*

Subsidiaries are all entities (including structured entities) over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The Group applies the acquisition method to account for business combinations. The consideration transferred for the acquisition of a subsidiary is the fair values of the assets transferred, the liabilities incurred to the former owners of the acquiree and the equity interests issued by the Group. The consideration transferred includes the fair value of any asset or liability resulting from a contingent consideration arrangement. Identifiable assets acquired and liabilities and contingent liabilities assumed in a business combination are measured initially at their fair values at the acquisition date. The Group recognises any non-controlling interest in the acquiree on an acquisition-by-acquisition basis, either at fair value or at the non-controlling interest's proportionate share of the recognised amounts of acquiree's identifiable net assets.

Investments in subsidiaries are accounted for at cost less impairment in parent company financial statements. Cost is adjusted to reflect changes in consideration arising from contingent consideration amendments. Cost also includes direct attributable costs of investment.

The excess of the consideration transferred over the amount in the acquiree and the acquisition-date fair value over any previous equity interest in the acquiree over the fair value of the Group's share of the identifiable net assets acquired is recorded as goodwill. If this is less than the fair value of the net assets of the subsidiary acquired in the case of a bargain purchase, the difference is recognised directly in profit or loss.



Notes

2 Summary of significant accounting policies (continued)

(b) Consolidation (Continued)

(ii) New standards, amendments and interpretations not yet adopted (Continued)

Inter-Company transactions, balances and unrealised gains on transactions between Group companies are eliminated. Unrealised losses are also eliminated unless the transaction provides evidence of an impairment of the asset transferred. Accounting policies of subsidiaries have been changed where necessary to ensure consistency with the policies adopted by the Group.

(ii) Transactions and non-controlling interests

The Group treats transactions with non-controlling interests as transactions with equity owners of the Group. For purchases from non-controlling interests, the difference between any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

When the Group ceases to have control or significant influence, any retained interest in the entity is re-measured to its fair value, with the change in carrying amount recognised in profit or loss. The fair value is the initial carrying amount for the purposes of subsequently accounting for the retained interest as an associate, joint venture or financial asset. In addition, any amounts previously recognised in other comprehensive income in respect of that entity are accounted for as if the Group had directly disposed of the related assets or liabilities. This may mean that amounts previously recognised in other comprehensive income are reclassified to profit or loss.

(c) Segment reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker. The chief operating decision maker, who is responsible for allocating resources and assessing performance of the operating segments, has been identified as the steering committee that makes strategic decisions.

d) Functional currency and translation of foreign currencies

(i) Functional and presentation currency

Items included in the financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates ('the functional currency'). The consolidated financial statements are presented in Kenya Shillings, which is the Company's functional currency.

(ii) Transactions and balances

Foreign currency transactions are translated into the functional currency of the respective entity using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary items, such as equities held at fair value through profit or loss are reported as part of the fair value profit or loss in profit or loss. Translation differences on non-monetary items, such as equities classified as available-for-sale financial assets are included in the fair value reserve in equity.

(iii) Group companies

The results and financial position of all the Group entities (none of which has the currency of a hyperinflationary economy) that have a functional currency different from the presentation currency are translated into the presentation currency as follows:

- assets and liabilities for each statement of financial position presented are translated at the closing rate at the date of that statement of financial position;
- income and expenses for each income statement are translated at average exchange rates (unless this average is not a reasonable approximation of the cumulative effect of the rates prevailing on the transaction dates, in which case income and expenses are translated at the dates of the transactions); and
- all resulting exchange differences are recognised as a separate component of equity.



NOTES (continued)**2 Summary of significant accounting policies (continued)****(d) Functional currency and translation of foreign currencies (Continued)***(iii) Group companies (Continued)*

On consolidation, exchange differences arising from the translation of the net investment in foreign entities are taken to statement of other comprehensive income. When a foreign operation is sold, such exchange differences are recognised in the income statement as part of the gain or loss on sale.

e) Revenue recognition

Revenue comprises the fair value of the consideration received or receivable for the sale of goods and services in the ordinary course of the Group's activities. Revenue is shown net of value-added tax (VAT), returns, rebates and discounts and after eliminating sales within the Group.

The Group recognises revenue when the amount of revenue can be reliably measured, it is probable that future economic benefits will flow to the Group and when specific criteria have been met for each of the Group's activities as described below. The amount of revenue is not considered to be reliably measurable until all contingencies relating to the sale have been resolved. The Group bases its estimates on historical results, taking into consideration the type of customer, the type of transaction and the specifics of each arrangement.

Revenue is recognised as follows:

- (i) Sales of goods are recognised in the period in which the Group has delivered products to the customer, the customer has full discretion over the channel and price to sell the products, and there is no unfulfilled obligation that could affect the customers' acceptance of the products. Delivery does not occur until the products have been accepted by the customer.

No element of financing is deemed present as the sales are made with a credit term of 30 days, which is consistent with the market practice. The Group does not operate any loyalty programmes.

- (ii) Interest income is recognised on a time proportion basis using the effective interest method. Interest income is recognised using the effective interest rate method.

- (iii) Dividends are recognised as income in the period in which the right to receive payment is established.

f) Property, plant and equipment

All categories of property, plant and equipment are initially recorded at cost and subsequently depreciated. Historical cost includes expenditure that is directly attributable to the acquisition of the items.

Subsequent costs are included in the asset's carrying amount or recognised as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Group and the cost of the item can be measured reliably. All other repairs and maintenance are charged to the statement of comprehensive income during the financial period in which they are incurred.

Freehold land is not depreciated. Depreciation is calculated using the straight line method to write down the cost of each asset to its residual value over its estimated useful life as follows:

Buildings on long leasehold land	2.5%
Buildings on short leasehold land	Over period of lease
Computer equipment	33.30%
Plant and Machinery	5 - 7.5%
Furniture and fittings	12.5%
Motor vehicles	25%
Silos	Shorter of 50 years or the unexpired period of the lease for the land on which they are built

Property and equipment are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets that suffered impairment are



NOTES (continued)**2 Summary of significant accounting policies (continued)****(f) Property, plant and equipment (continued)**

reviewed for possible reversal of the impairment at each reporting date.

Previously property, plant and equipment were carried at cost or as professionally revalued less accumulated depreciation and any impairment losses as explained in Note 32.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are included in profit or loss.

(g) Intangible assets*(i) Goodwill*

Goodwill arises on the acquisition of subsidiaries and represents the excess consideration transferred over interest in fair value of the net identifiable assets, liabilities and contingent liabilities of the acquiree and the fair value of the non-controlling interest in the acquiree.

For the purposes of impairment testing, goodwill acquired in a business combination is allocated to each of the cash generating units (CGUs) or Groups of cash generating units CGUs that is expected to benefit from the synergies of the combination. Each unit or Group of units to which the goodwill is allocated represents the lowest level within the entity at which the goodwill is monitored for internal management purposes. Goodwill is monitored at the operating segment level.

Goodwill impairment reviews are undertaken annually or more frequently if events or changes in circumstances indicate a potential impairment. The carrying value of goodwill is compared to the recoverable amount, which is the higher of the value in use and the fair value less costs to sell. Any impairment is recognized immediately as an expense and is not subsequently reversed.

(ii) Computer software

Costs associated with maintaining computer software programmes are recognized as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software

products controlled by the Group are recognized as intangible assets when the following criteria are met:

- It is technically feasible to complete the software product so that it will be available for use;
- Management intends to complete the software product and use or sell it;
- There is an ability to use or sell the software product;
- It can be demonstrated how the software product will generate probable future economic benefits;
- Adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- The expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads. Other development expenditures that do not meet these criteria are recognized as an expense as incurred.

Developments costs previously recognized as an expense are not recognized as an asset in a subsequent period. Computer software development costs recognized as assets are amortized over their estimated useful lives, which does not exceed three years.

(h) Non-current assets (or disposal Groups) held for sale

Non-current assets (or disposal Groups) are classified as assets held for sale when their carrying amount is to be recovered principally through a sale transaction and a sale is considered highly probable. They are stated at the lower of carrying amount and fair value less costs to sell.

(i) Impairment of non-financial assets

Assets that have an indefinite useful life are not subject to depreciation or amortisation but are tested annually for impairment. Assets that are subject to depreciation or amortisation are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by



NOTES (continued)**2 Summary of significant accounting policies (continued)****(i) Impairment of non-financial assets (continued)**

which the asset's carrying amount exceeds its recoverable amount. The recoverable amount is the higher of an asset's fair value less costs to sell and value in use. For the purposes of assessing impairment, assets are Grouped at the lowest levels for which there are separately identifiable cash flows (cash-generating units). Non-financial assets other than goodwill that suffered impairment are reviewed for possible reversal of the impairment at each reporting date.

(j) Financial assets

The Group classifies its financial assets in the following categories: financial assets at fair value through profit and loss, loans and receivables, and available-for-sale financial assets. The classification depends on the purpose for which the assets were acquired. Management determines the classification of its assets at initial recognition and re-evaluates such designation at every reporting date.

*i) Classification****Financial assets at fair value through profit or loss***

Financial assets at fair value through profit or loss are financial assets held for trading. A financial asset is classified in this category if acquired principally for the purpose of selling in the short-term. Derivatives are also categorised as held for trading. Assets in this category are classified as current assets if expected to be settled within 12 months; otherwise, they are classified as non-current.

Loans and receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in an active market. They arise when the Group provides money, goods or services directly to a debtor with no intention of trading the receivable. They are included in current assets, except for maturities greater than 12 months after the statement of financial position date. These are classified as non-current assets. The Group's loans and receivables comprise 'receivables and prepayments', 'non-current receivables and prepayments' and 'cash and cash equivalents' in the statement of financial position.

Available-for-sale financial assets

Available-for-sale financial assets are non-derivatives that are either designated in this category or not classified in any of the other categories. They are included in non-current assets unless management intends to dispose of the investment within 12 months of the statement of financial position date.

ii) Recognition and measurement

Regular way purchases and sales of financial assets are recognised on the trade date, which is the date on which the Group commits to purchase or sell the asset. Investments are initially recognised at fair value, plus transaction costs for all financial assets not carried at fair value through profit or loss. Financial assets carried at fair value through profit or loss are initially recognised at fair value, and transaction costs are expensed.

Financial assets are derecognised when the rights to receive cash flows from the assets have expired or have been transferred and the Group has transferred substantially all risks and rewards of ownership.

Available-for-sale financial assets and financial assets at fair value through profit or loss are subsequently carried at fair value. Loans and receivables are carried at amortised cost using the effective interest method.

Gains and losses arising from changes in the fair value of the financial assets at fair value through profit or loss' category are included in the income statement in the period in which they arise. Dividend income from financial assets at fair value through profit or loss is recognised in the income statement when the Group's right to receive payments is established.

Changes in the fair value of monetary and non-monetary securities classified as available-for-sale are recognised in other comprehensive income.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments recognised in equity are included in profit or loss.

Interest on available-for-sale securities calculated using the effective interest method is recognised in the income statement. Dividends on available-for-sale equity instruments are recognised in the income statement when the Group's right to receive payments is established.



NOTES (continued)**2 Summary of significant accounting policies (continued)****(j) Financial assets (continued)****ii) Recognition and measurement (continued)****a) Offsetting financial instruments**

Financial assets and liabilities are offset and the net amount reported in the statement of financial position when there is a legally enforceable right to offset the recognised amounts and there is an intention to settle on a net basis or realise the asset and settle the liability simultaneously.

b) Impairment of financial assets**Assets carried at amortised cost**

The Group assesses at the end of each reporting period whether there is objective evidence that a financial asset or Group of financial assets is impaired. A financial asset or a Group of financial assets is impaired and impairment losses are incurred only if there is objective evidence of impairment as a result of one or more events that occurred after the initial recognition of the asset (a 'loss event') and that loss event (or events) has an impact on the estimated future cash flows of the financial asset or Group of financial assets that can be reliably estimated.

The criteria that the Group uses to determine that there is objective evidence of an impairment loss include:

- a) significant financial difficulty of the issuer or obligor;
- b) a breach of contract, such as a default or delinquency in interest or principal payments;
- c) the Group, for economic or legal reasons relating to the borrower's financial difficulty, granting to the borrower a concession that the lender would not otherwise consider;
- d) it becomes probable that the borrower will enter bankruptcy or other financial reorganisation;
- e) the disappearance of an active market for that financial asset because of financial difficulties; or
- f) observable data indicating that there is a measurable decrease in the

estimated future cash flows from a portfolio of financial assets since the initial recognition of those assets, although the decrease cannot yet be identified with the individual financial assets in the portfolio, including:

- adverse changes in the payment status of borrowers in the portfolio;
- national or local economic conditions that correlate with defaults on the assets in the portfolio.

The Group first assesses whether objective evidence of impairment exists.

The amount of the loss is measured as the difference between the asset's carrying amount and the present value of estimated future cash flows (excluding future credit losses that have not been incurred) discounted at the financial asset's original effective interest rate. The asset's carrying amount is reduced and the amount of the loss is recognised in the consolidated income statement. If a loan has a variable interest rate, the discount rate for measuring any impairment loss is the current effective interest rate determined under the contract. As a practical expedient, the Group may measure impairment on the basis of an instrument's fair value using an observable market price.

If, in a subsequent period, the amount of the impairment loss decreases and the decrease can be related objectively to an event occurring after the impairment was recognised (such as an improvement in the debtor's credit rating), the reversal of the previously recognised impairment loss is recognised in the consolidated income statement.

The Group assesses at the end of each reporting period whether there is objective evidence that a financial asset or a Group of financial assets is impaired. For debt securities, the Group uses the criteria referred to under 'assets carried at amortised cost' above. In the case of equity investments classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is also evidence that the assets are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss – measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from equity and recognised in the consolidated income statement. Impairment losses



NOTES (continued)**2. Summary of significant accounting policies (continued)****(j) Financial assets (continued)****Assets carried at amortised cost (continued)**

recognised in the consolidated income statement on equity instruments are not reversed through the consolidated income statement.

If, in a subsequent period, the fair value of a debt instrument classified as available-for-sale increases and the increase can be objectively related to an event occurring after the impairment loss was recognised in profit or loss, the impairment loss is reversed through the consolidated income statement.

(k) Accounting for leases

Leases in which a significant portion of the risks and rewards of ownership are retained by the lessor are classified as operating leases. Payments made under operating leases are charged to the income statement on a straight-line basis over the period of the lease.

The Group leases certain property, vehicles and equipment. Leases of property, vehicles and equipment where the Group has substantially all the risks and rewards of ownership are classified as finance leases. Finance leases are capitalised at the lease's commencement at the lower of the fair value of the leased assets and the present value of the minimum lease payments.

Each lease payment is allocated between the liability and finance charges. The corresponding rental obligations, net of finance charges, are included in non-current liabilities. The interest element of the finance charge is charged to the income statement over the lease period so as to produce a constant periodic rate of interest on the remaining balance of the liability for each period. Property, vehicles and equipment acquired under finance leases are depreciated over the shorter of the assets useful life and the lease term.

(l) Inventories

Inventories are stated at the lower of cost and net realisable value. Cost comprises expenditure directly incurred in purchasing or manufacturing the

inventories plus an allocation of normal overhead expenditure attributable to the processes of production hence the cost is determined using standard costs that approximate actual weighted average cost. Net realisable value represents the estimated selling price less all estimated costs to completion and costs to be incurred in selling and distribution. Specific provisions are made for obsolete, slow moving and defective inventories.

(m) Trade receivables

Trade receivables are amounts due from customers for merchandise sold or services performed in the ordinary course of business. If collection is expected in one year or less (or in the normal operating cycle of the business if longer), they are classified as current assets. If not, they are presented as non-current assets.

(n) Trade payables

Trade payables are obligations to pay for goods or services that have been acquired in the ordinary course of business from suppliers. Accounts payable are classified as current liabilities if payment is due within one

(n) Trade payables

year or less (or in the normal operating cycle of the business if longer). If not, they are presented as non-current liabilities. Payables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method.

(o) Share capital

Ordinary shares are classified as 'share capital' in equity. Any premium received over and above the par value of the shares is classified as 'share premium' in equity.

(p) Cash and cash equivalents

Cash and cash equivalents includes cash in hand, deposits held at call with banks, other short term highly liquid investments with original maturities of three months or less, and bank overdrafts. Bank overdrafts are shown within borrowings in current liabilities on the statement of financial position.



NOTES (continued)**2 Summary of significant accounting policies (continued)****(q) Employee benefits***(i) Retirement benefit scheme assets*

The Group operates defined benefit retirement benefit schemes for its employees. Typically defined benefit plans define an amount of pension benefit that an employee will receive on retirement, usually dependent on one or more factors such as age, years of service and compensation.

The liability/ asset recognised in the balance sheet in respect of defined benefit pension plans is the present value of the defined benefit obligation at the end of the reporting period less the fair value of plan assets. The defined benefit obligation is calculated annually by independent actuaries using the projected unit credit method. The present value of the defined benefit obligation is determined by discounting the estimated future cash outflows using interest rates of high-quality corporate bonds that are denominated in the currency in which the benefits will be paid, and that have terms to maturity approximating to the terms of the related pension obligation. In countries where there is no deep market in such bonds, the market rates on government bonds are used.

Actuarial gains and losses arising from experience adjustments and changes in actuarial assumptions are charged or credited to equity in other comprehensive income in the period in which they arise. Past-service costs are recognised immediately in income. The assets of all schemes are held in separate trustee administered funds, which are funded by contributions from both the Group and employees.

The Group employees also contribute to the appropriate National Social Security Funds, which is a defined contribution schemes

(ii) Other post-employment obligations

The Group operates an unfunded service gratuity benefit scheme for unionisable employees based on basic salary and years of service. The obligation under the scheme is recognised based on actuarial valuation. A provision is made for the estimated liability for such entitlements as a result of services rendered by employees up to the reporting date.

The estimated monetary liability for employees' accrued annual leave entitlement at the reporting date is recognised as an expense accrual.

(r) Current and deferred income tax

The tax expense for the period comprises current and deferred income tax. Tax is recognised in the income statement except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case, the tax is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of the tax enacted or substantively enacted at the reporting date in the countries where the company and its subsidiaries operate and generate taxable income. The directors periodically evaluate positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation. They establish provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is recognised, using the liability method, on temporary differences arising between the tax bases of assets and liabilities and their carrying values in the financial statements. However, deferred income tax is not accounted for if it arises from initial recognition of an asset or liability in a transaction other than a business combination that at the time of the transaction affects neither accounting nor taxable profit or loss.

Deferred income tax is determined using tax rates and laws that have been enacted or substantively enacted at the reporting date and are expected to apply when the related deferred income tax liability is settled or asset realised.

Deferred income tax assets are recognised only to the extent that it is probable that future taxable profits will be available against which the temporary differences can be utilised.

Deferred income tax is provided on temporary differences arising on investments in subsidiaries and associates, except where the timing of the reversal of the temporary difference is controlled by the Group and it is probable that the temporary difference will not reverse in the foreseeable future.

Deferred income tax assets and liabilities are offset when there is a legally enforceable right to offset current tax assets against current tax liabilities and when the deferred income tax assets and liabilities relate to income taxes levied by the same taxation authority on either the same taxable



NOTES (continued)**2 Summary of significant accounting policies (continued)****(r) Current and deferred income tax (continued)**

entity or different taxable entities where there is an intention to settle the balances on a net basis.

(s) Borrowings

Borrowings are recognised initially at fair value, net of transaction costs incurred.

Borrowings are subsequently stated at amortised cost using the effective interest method; any differences between proceeds (net of transaction costs) and the redemption value is recognised in the income statement over the period of the borrowings using the effective interest method.

(t) Dividend distribution

Dividends payable on ordinary shares are charged to retained earnings in the period in which they are declared. Proposed dividends are not accrued for until ratified in an Annual General Meeting.

(u) Provisions

Provisions are recognised when: the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Provisions are measured at the present value of the expenditures expected to be required to settle the obligation using a pre-tax rate that reflects current market assessments of the time value of money and the risks specific to the obligation. The increase in the provision due to passage of time is recognised as interest expense.

(v) Grants

Grants are recognised at their fair value where there is a reasonable assurance that the grant will be received and the company will comply with all attached conditions.

(i) Revenue Grants

Grants received to compensate expenses or for the purpose of giving immediate support to the company with no future related costs are recognised in the statement of profit or loss in the year of receipt.

(ii) Capital Grants

Where a grant is related to an asset, the grant is presented in the statement of financial position and is credited in the statement of profit or loss over the periods and in the proportions in which depreciation expense on those assets they are used to finance is recognized.

3 Critical accounting estimates and judgements

Estimates and judgements are continually evaluated and are based on historical experience and other factors, including expected future events that are believed to be reasonable under the circumstances.

(i) Critical accounting estimates and assumptions**Impairment losses**

At the end of each reporting period, the Group reviews the carrying amounts of its tangible and intangible assets to determine whether there is any indication that those assets have suffered an impairment loss. If any such indication exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. Where it is not possible to estimate the recoverable amount of an individual asset, the Group estimates the recoverable amount of the cash generating unit to which the asset belongs.

Property, plant and equipment

Critical estimates are made by directors in determining the useful lives and residual values to property, plant and equipment based on the intended use of the assets and the economic lives of those assets. Subsequent changes in circumstances such as technological advances or prospective utilisation of the assets concerned could result in the actual useful lives or residual values differing from initial estimates.



NOTES (continued)**4 Financial risk management objectives and policies**

The Group's activities expose it to a variety of financial risks, including liquidity risk, credit risk, the effects of changes in debt and equity market prices, foreign currency exchange rates and interest rates. The Group's overall risk management programme focuses on the unpredictability of financial markets and seeks to minimise potential adverse effects on its financial performance.

Financial risk management is carried out by the finance department under guidance of the Board of Directors.

Market risk**(i) Interest rate risk****Group**

Interest rate risks arise from fluctuations in the bank borrowing rates. The interest rates vary from time to time depending on the prevailing economic circumstances. The Group closely monitors the interest rate trends to minimize the potential adverse impact of interest rate changes.

The Group's interest rate risk arises from long-term borrowings. Borrowings issued at variable rates expose the company to cash flow interest rate risk which is partially offset by cash held at variable rates. The Group regularly monitors financing options available to ensure optimum interest rates are obtained.

At 30 June 2018, an increase/decrease by 100 basis points in interest rates would have resulted in a decrease/increase in post-tax profit of Shs 1,028,805 (2017: Shs 3,451,240).

Company

The risk is not relevant to the company as it has no borrowings.

(ii) Price risk

Price risk arises from fluctuations in the prices of equity investments. At 30 June 2018 and 30 June 2017, the Group and company did not hold investments that would be subject to price risk; hence this risk is not relevant.

(iii) Foreign exchange**Group**

The Group is exposed to foreign exchange risk arising from various currency exposures, primarily, with respect to the US dollar and the Euro. Foreign exchange risk arises from future commercial transactions and recognised assets and liabilities.

Management's policy to manage foreign exchange risk is to hold foreign currency bank accounts which act as a natural hedge for purchases of imported raw materials and finished products

At 30 June 2018, if the Kenyan Shilling had weakened/strengthened by 5% against the USD with all other variables held constant, post-tax profit for the year and equity would have been Shs 7,604,916 (2017: Shs 62,333,214) higher/lower, mainly as a result of US dollar denominated trade payables and bank balances.

Company

The company has no foreign currency denominated financial instruments and thus is not exposed to foreign exchange risks.

Credit risk

Credit risk is managed on a Group-wide basis. Credit risk arises from cash and cash equivalents, deposits with banks, as well as trade and other receivables. The credit risk on liquid funds is limited because the counterparties are banks with high credit-ratings assigned by the banking regulatory authority. The Group management assesses the credit quality of each customer, taking into account their financial position, past experience

Credit risk (continued)

and other factors. Individual risk limits are set based on internal or external ratings in accordance with limits set by the management. The utilisation of credit limits is regularly monitored:

The amount that best represents the Group's and Company's maximum exposure to credit risk is the carrying value of its financial assets in the statement of financial position adjusted for the following:



NOTES (continued)**4 Financial risk management objectives and policies (continued)**

	Fully performing Shs'000	Past due Shs'000	Impaired Shs'000	Total Shs'000
Group				
At 30 June 2018				
Trade receivables (Note 21)	746,603	149,719	420,148	1,316,470
Bank balances (Note 29)	860,024	-	-	860,024
Call deposits (Note 29)	226,377	-	-	226,377
Other receivables (Note 21)	863,945	-	-	863,945
Due from related parties (Note 33)	522,782	-	-	522,782
Provision for impairment	-	-	(420,148)	(420,148)
	<u>3,219,731</u>	<u>149,719</u>	<u>-</u>	<u>3,369,450</u>
Group				
As at 30 June 2017				
Trade receivables (Note 21)	1,040,582	194,204	244,739	1,479,525
Bank balance (Note 29)	960,295	-	-	960,295
Call deposit (Note 29)	754,460	-	-	754,460
Other receivables (Note 21)	547,165	-	-	547,165
Due from related parties (Note 33)	412,964	-	-	412,964
Provision for impairment	-	-	(244,739)	(244,739)
	<u>3,715,466</u>	<u>194,204</u>	<u>-</u>	<u>3,909,670</u>



NOTES (continued)**4 Financial risk management objectives and policies(continued)****Company****At 30 June 2018**

Other receivables (Note 21)	44,547	-	-	44,547
Bank balance (Note 29)	2,405	-	-	2,405
Call deposits (Note 29)	226,377	-	-	226,377
Due from related parties (Note 33)	98,260	-	-	98,260
	<u>371,589</u>	<u>-</u>	<u>-</u>	<u>371,589</u>

Company**As at 30 June 2017**

Other receivables (Note 21)	45,090	-	-	45,090
Bank balance (Note 29)	1,059	-	-	1,059
Call deposits (Note 29)	289,167	-	-	289,167
Due from related parties (Note 33)	89,855	-	-	89,855
	<u>425,171</u>	<u>-</u>	<u>-</u>	<u>425,171</u>

The customers under the fully performing category are paying their debts as they continue trading.

The receivables that are past due relate to trade receivables overdue between 30 to 120 days. The receivables are not impaired and continue to be paid. The credit control department is actively following these receivables. Cash deposits of Shs 34,709,131 (2017: Shs 31,501,131) and bank guarantees amounting to Shs 1,189,020,000 (2017: Shs 1,154,570,000) are held as collateral for trade receivables.

The impaired amounts are fully provided for and the amount of loss incurred dealt with in profit or loss in the year of impairment.

In determining the recoverability of a trade receivable, the Group considers any change in the credit quality of the trade receivable from the date credit was initially granted up to the end of the reporting period.



NOTES (continued)**4 Financial risk management objectives and policies(continued)*****Concentration risk***

The concentration risk relates to exposure on sales that the company faces on dealing with its key customers. This analysed as follows: One customer (Kenchic Limited) accounts for 12% of the revenue of the Group (2017:11%). This customer has a high credit rating. All other sales are to a wide unrelated customer base.

	2018	%	2017	%
	Shs'000		Shs'000	
Kenchic Limited	2,299,668	12%	2,166,351	11%
Others	17,682,402	88%	17,362,434	89%
Total	<u>19,982,070</u>	<u>100%</u>	<u>19,528,785</u>	<u>100%</u>

	2018	2017
	Shs'000	Shs'000
Sales from continuing operations	19,982,070	19,528,785
Sales from discontinuing operations	107,216	577,262
	<u>20,089,286</u>	<u>20,106,047</u>

Liquidity risk

Ultimate responsibility for liquidity risk management rests with the Board of Directors, which together with management, closely monitors the Group's short, medium and long term funding and liquidity management requirements. The Group manages liquidity risk by maintaining adequate reserves, banking facilities and reserve borrowing facilities, by continuously monitoring forecast and actual cash flows and matching the maturity profiles of financial assets and liabilities.

The table below analyses the Group's financial liabilities that will be settled on a net basis into relevant maturity Groupings based on the remaining period at end of reporting period to the contractual maturity date. The amounts disclosed in the table below are the contractual undiscounted cash flows. Balances due within 12 months equal their carrying balances, as the impact of discounting is not significant.



NOTES (continued)**4 Financial risk management objectives and policies (continued)****Liquidity risk (continued)**

Group	Below one year Shs'000	2-5 years Shs'000	Over 5 year Shs'000	Totals Shs'000
At 30 June 2018				
Liabilities:				
Trade and other payables (Note 22)	2,501,206	-	-	2,501,206
Due to affiliate companies (Note 33)	110,263	-	-	110,263
Borrowings	86,813	1,182,501	111,526	1,380,840
	<u>2,698,282</u>	<u>1,182,501</u>	<u>111,526</u>	<u>3,992,309</u>
At 30 June 2017				
Liabilities:				
Trade payables (Note 22)	2,828,479	-	-	2,828,479
Due to affiliate companies (Note 33)	933,313	-	-	933,313
Borrowings	237,037	149,446	-	386,483
	<u>3,998,829</u>	<u>149,446</u>	<u>-</u>	<u>4,148,275</u>



NOTES (continued)**4 Financial risk management objectives and policies (continued)*****Liquidity risk (continued)***

Company	Below one year Shs'000	Over 5 year Shs'000	Totals Shs'000
At June 2018			
Liabilities:			
Other payables (Note 22)	31,980	-	31,980
Due to related companies (Note 33)	278,792	-	278,792
	<u>310,772</u>	<u>-</u>	<u>310,772</u>
At June 2017			
Liabilities:			
Other payables (Note 22)	24,897	-	24,897
Due to related companies (Note 33)	242,201	-	242,201
	<u>267,098</u>	<u>-</u>	<u>267,098</u>

Capital management

The Group's objectives when managing capital are to safeguard the Group's ability to continue as a going concern in order to provide returns for shareholders and to maintain an optimal capital structure to reduce the cost of capital. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividends paid to shareholders, issue new capital or sell assets to reduce debt.

Consistent with others in the industry, the Group monitors capital on the basis of the gearing ratio. This ratio is calculated as net debt divided by total capital. Net debt is calculated as total borrowings (including 'current and non-current borrowings') less cash and cash equivalents. Total capital is calculated as equity plus net debt.



NOTES (continued)**4 Financial risk management objectives and policies(continued)*****Capital management (continued)***

The constitution of capital managed by the Group is as follows:

	2018 Shs'000	2017 Shs'000
Net cash reconciliation and gearing ratio		
Equity	5,609,075	4,910,445
Borrowings (Note 17)	892,189	345,126
Less: cash and cash equivalents (Note 29 (b))	(1,088,455)	(1,714,755)
Net debt	(196,266)	(1,369,629)
Gearing ratio	0%	0%

5 Revenue

	Group		Company	
	2018 Shs'000	2017 Shs'000	2018 Shs'000	2017 Shs'000
Analysis of sales by category:				
Human nutrition	10,615,256	10,906,570	-	-
Animal nutrition	9,205,906	8,435,511	-	-
Animal health products	160,908	186,704	-	-
Dividends	-	-	-	75,707
	19,982,070	19,528,785	-	75,707



NOTES (continued)**6 Earnings per share**

Basic earnings per share has been calculated by dividing the net profit attributable to shareholders by the weighted average number of ordinary shares in issue during the year.

	2018	2017
Profit for the year attributable to shareholders (Shs '000')		
- continuing operations	512,703	114,689
- discontinuing operations	(3,621)	(77,318)
	509,082	37,371
Weighted average number of ordinary shares ('000')	75,707	75,707
Basic and diluted earnings per share:		
- continuing operations	6.77	1.51
- discontinuing operations	(0.05)	(1.02)
	6.72	0.49

Diluted earnings per share is the same as basic earnings per share.

7 Dividends

In respect of the current financial year, the directors propose a first and final dividend of Shs 1.00 (2017: Shs 1.00) per ordinary share amounting to Shs 75,706,986 (2017: Shs 75,706,986). The proposed dividend is subject to approval by shareholders at the next Annual General Meeting and has not been included as a liability in these financial statements. Payment of dividend is subject to withholding tax at a rate of 10% for non-resident shareholders and 5% for resident shareholders. For resident shareholders, withholding tax is only deductible where the shareholding is below 12.5%.

8 Other Income

	Group	
	2018	2017
	Shs'000	Shs'000
Sale of packing material	9,769	13,901
Laboratory income	24,028	25,016
Gain on disposal of property, plant and equipment	5,219	8,678
Amortisation of capital grants (note 23)	2,993	190
Sundry income	13,245	16,742
	55,254	64,527

NOTES (continued)**9 Segmental Reporting**

The principal activity of the Group continues to be the milling of wheat and maize, baking and animal nutrition products, and the distribution of animal health products. Management has chosen to organise the entity around differences in market segments served by their products into two main segments namely human nutrition and animal nutrition and health. Management considers the fact that reports regularly reviewed by the chief operating decision maker in order to allocate resources and to assess performance are based on these two operating segments. Leadership team which comprises of the managing director, finance director, general managers and functional heads is considered to be the key decision making organ.

Description of the types of products and services from which each reportable segment derives its revenues

Unga Group Plc has two reportable segments: human nutrition and animal nutrition and health. The human nutrition segment produces products for human consumption. The animal nutrition and health segment produces animal feed and mineral supplement products and distributes products for animal health.

Measurement of operating segment profit or loss, assets and liabilities

The accounting policies of the operating segments are the same as those described in the summary of significant accounting policies.

Factors that management uses to identify the entity's reportable segments

Unga Group Plc segments are strategic business units that serve different market segments. They are managed separately because each business requires different technology and marketing strategies.

Information about major customers

One customer with revenues of Shs 2,299,668,000 (2017: Shs 2,166,351,000) under the animal health and nutrition segment accounts for more than 10% of the revenue arising from direct sales while other operating segments have none.



NOTES (continued)**9 Segmental Reporting (continued)**

Year ended 30 June 2018	Human Nutrition	Animal Nutrition & Health	Others	Elimination	Consolidation
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Continuing operations					
Revenue from external customers	11,632,395	9,366,815	-	(1,017,140)	19,982,070
Inter-segment revenues	1,017,140	-	-	-	1,017,140
Interest income	67,832	26,763	22,054	-	116,649
Other income	35,035	20,219	-	-	55,254
Interest expense	85,836	4,950	-	-	90,786
Depreciation and amortisation	278,339	95,108	-	-	373,447
Reportable segmental profit	469,627	851,377	(21,738)	-	1,299,266
Income tax expense	245,260	265,232	-	-	510,492
Other material non-cash Items:					
Reportable segment assets	7,216,740	3,922,297	-	(1,245,414)	9,893,623
Expenditures for reportable segment non-current assets	847,131	35,202	-	-	882,333
Reportable segmental liabilities	4,867,853	2,143,872	827,207	(3,621,971)	4,216,961
Discontinuing operations					
Revenue from external customers	107,216	-	-	-	107,216
Other income	10,586	-	-	-	10,586
Interest expense	1,680	-	-	-	1,680
Depreciation and amortisation	1,687	-	-	-	1,687
Reportable segmental loss	(5,571)	-	-	-	(5,571)
Other material non-cash Items:					
Reportable segment assets	39,041	-	-	-	39,041
Expenditures for reportable segment non-current assets	1,919	-	-	-	1,919
Reportable segmental liabilities	106,628	-	-	-	106,628



NOTES (continued)**9 Segmental Reporting (continued)**

Year ended 30 June 2017	Human	Animal Nutrition	Others	Elimination	Consolidation
Continuing operations	Nutrition	& Health			
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Continuing operations					
Revenue from external customers	12,239,881	8,622,215	-	(1,333,311)	19,528,785
Inter-segment revenues	1,333,311	-	-	-	1,333,311
Interest income	45,368	5,770	16,277	-	67,415
Other income	45,229	19,298	-	-	64,527
Interest expense	62,649	14,284	-	-	76,933
Depreciation and amortisation	221,903	73,379	-	-	295,282
Reportable segmental profit	22,242	224,218	(18,110)	-	228,350
Income tax expense	54,088	62,350	-	-	116,438
Other material non-cash items					
Reportable segment assets	6,881,244	3,209,392	-	(925,456)	9,165,180
Expenditures for reportable segment non-current assets	441,336	323,849	33,755	-	798,940
Reportable segmental liabilities	5,041,647	2,017,171	668,938	(3,436,305)	4,291,451
Discontinuing operations					
Revenue from external customers	503,990	73,272	-	-	577,262
Inter-segment revenues	-	-	-	-	-
Other income	2,986	-	-	-	2,986
Interest expense	7,688	-	-	-	7,688
Depreciation and amortisation	10,752	-	-	-	10,752
Reportable segmental profit	(140,505)	21,554	-	-	(118,951)
Income tax expense	(30,857)	4,692	-	-	(25,895)
Other material non-cash items:					
Reportable segment assets	290,136	-	-	-	290,136
Segment non-current assets	12,175	-	-	-	12,175
Reportable segmental liabilities	253,420	-	-	-	253,420



NOTES (continued)**10 Finance costs**

	Group		Company	
	2018	2017	2018	2017
	Shs'000	Shs'000	Shs'000	Shs'000
Finance income				
Interest income on deposits	116,649	67,415	22,054	16,277
Finance costs:				
Interest expense on bank loans	4,973	19,962	-	-
Interest expense on bank overdrafts	12,084	1,884	-	-
Interest expense on trade finance	70,074	25,495	-	-
Net foreign exchange losses	3,655	29,592	-	-
	90,786	76,933	-	-

11 Breakdown of expenses by nature

	2018	2017
	Shs'000	Shs'000
The profit before income tax is arrived at after charging:		
Staff costs (Note 12)	1,102,375	1,314,365
Depreciation of property, plant and equipment (Note 24)	262,100	208,791
Amortisation of prepaid operating lease rentals (Note 25)	3,327	952
Amortisation of intangible assets (Note 26)	108,110	85,539
Directors emoluments (Note 33)	63,334	56,383
Auditor's fees	14,503	13,683
Rent expense	19,732	35,843
Provision for impairment-trade receivables	13,843	33,573
Impairment of goodwill	-	150,473
Impairment of plant and equipment (Note 24)	30,678	-



NOTES (continued)**12 Staff costs**

	2018 Shs'000	2017 Shs'000
Salaries and wages	955,780	1,190,742
Pension obligation – current service cost (Note 28)	42,450	32,637
Social security costs (NSSF) contributions	2,759	2,013
Accrued leave pay	56,730	10,892
Other staff cost	52,456	67,474
Gratuity (Note 18)	(7,800)	10,607
Interest income on short term deposits	1,102,375	1,314,365

The average number of employees during the year was as follows:

Production	280	295
Sales and distribution	136	162
Management and administration	149	175
	565	632

13 Income tax expense

Current income tax	516,910	47,884
Deferred income tax (Note 19)	(6,418)	68,554
Income tax expense	510,492	116,438
Income tax expense from continuing operations	510,492	142,333
Income tax expense from discontinuing operations	-	(25,895)
	510,492	116,438

The tax on the company's profit before income tax differs from the theoretical amount that would arise using the statutory income tax rate as follows

Profit before income tax	1,299,266	228,350
Tax calculated at the statutory income tax rate of 30% (2017 - 30%)	389,780	68,505
Tax effects of:		
Expenses not deductible for tax purposes	11,323	49,307
Income not subject to tax	(25,327)	-
Under provision of current income tax in prior years	14,309	-
Overprovision of deferred income tax in prior years	3,651	(1,374)
Deferred income tax asset not recognised	116,756	-
Income tax expense	510,492	116,438



NOTES (continued)**14 Share capital**

	Number of Shares (Thousands)	Ordinary Shares Shs'000
Authorised:		
Balance at 1 July 2016, 30 June 2017 and 30 June 2018	82,760	413,800
Issued and fully paid:		
Balance at 1 July 2016, 30 June 2017 and 30 June 2018	75,707	378,535

The total authorised number of ordinary shares is 82,760,000 with a par value of Shs 5 per share. The total number of ordinary shares issued 75,706,986 with a par value of Shs 5 per share. All issued shares are fully paid.

15 Other reserves

Year ended 30 June 2017	Currency translation Shs'000	Re-measurement of retirement benefit asset Shs'000	Total Shs'000
At start of year	(25,179)	(1,027)	(26,206)
Credit to other comprehensive income	(3,577)	4,217	640
At end of year	(28,756)	3,190	(25,566)
Year ended 30 June 2018			
At start of year	(28,756)	3,190	(25,566)
Credit to other comprehensive income	(5,824)	61	(5,763)
At end of year	(34,580)	3,251	(31,329)

Other reserves as included above are non-distributable



NOTES (continued)**16 Non-controlling interests****Group**

At start of year

-as previously reported

-reversal of revaluation surplus (Note 32)

-as restated

Dividend paid

Share of profit for the year

Share of other comprehensive income

Acquisition of non-controlling interest

At end of year**Summary of Non-controlling interest:****Unga Holdings Limited:**

35% Equity interest held by Seaboard Corporation in Unga Holdings Limited

	2018	2017
	Shs'000	Shs'000
At start of year		
-as previously reported	1,757,981	2,065,309
-reversal of revaluation surplus (Note 32)	(207,815)	(207,815)
-as restated	1,550,166	1,857,494
Dividend paid	-	(40,765)
Share of profit for the year	274,121	(44,410)
Share of other comprehensive income	(3,103)	344
Acquisition of non-controlling interest	-	(222,497)
At end of year	1,821,184	1,550,166
Summary of Non-controlling interest:		
Unga Holdings Limited:		
35% Equity interest held by Seaboard Corporation in Unga Holdings Limited	1,821,184	1,550,166



NOTES (continued)**16 Non-controlling interests (continued)****Summarised financial information on subsidiaries with material non-controlling interests**

Unga Holdings Limited which has a 35% non-controlling interest operates as a holding company. A summary of its financial performance is set out below:

Unga Holdings Limited summarised statement of financial position

	2018	2017
	Shs'000	Shs'000
Current assets	6,395,529	6,489,592
Current liabilities	(2,956,845)	(4,046,705)
Total current net assets	3,438,684	2,442,887
Non-current assets	3,333,004	2,852,018
Non-current liabilities	(1,244,070)	(564,327)
Total non-current net assets	2,088,934	2,287,691
Total net assets	5,527,618	4,730,578

Unga Holdings Limited summarised statement of comprehensive income

Revenue	19,982,070	19,528,785
Profit before income tax	1,321,969	238,350
Income tax expense	(510,492)	(112,844)
Post tax profit from continuing operations	811,477	125,506
Loss for the year from discontinuing operations	(5,571)	(118,951)
Other comprehensive income	(8,866)	984
Total comprehensive income	797,040	7,539

Unga Holdings Limited summarised cash flows

Net cash generated from operating activities	(251,364)	1,577,274
Net cash used in investing activities	(878,309)	(801,853)
Net cash generated from financing activities	567,802	(191,113)
Net increase/(decrease) in cash and cash equivalent	(561,871)	584,308
Cash and cash equivalent at start of year	1,424,528	830,176
Net increase/(decrease) in cash and cash equivalent	(561,871)	584,308
Effect of exchange rates	(2,984)	10,044
At end of year	859,673	1,424,528



NOTES (continued)**17 Borrowings**

	Group	
	2018	2017
	Shs'000	Shs'000
Bank loan	892,189	251,525
Other loans	-	93,600
	<u>892,189</u>	<u>345,125</u>
The borrowings are classified as follows:		
Current		
Bank borrowings repayable within 1 year	76,826	213,437
Non- current		
Bank borrowings repayable between 2-5 years	716,667	131,688
Bank borrowings repayable after 5 years	98,696	-
	<u>815,363</u>	<u>131,688</u>
	<u>892,189</u>	<u>345,125</u>
Movement in borrowings:		
At start of year	345,125	465,365
Repayments	(195,542)	(120,240)
Proceeds from borrowing	742,606	-
At end of year	<u>892,189</u>	<u>345,125</u>

Bank loans comprise the following facilities to the subsidiary Company;

- a) A 6 year term loan facility of USD 7,500,000 taken in 2013 to finance installation of a wheat milling plant in Nairobi (Commercial Street). Interest is charged at 4% above the 3 months LIBOR rate. The loan is repayable in equal instalments and is expected to be fully repaid by June 2020. The outstanding loan at 30 June 2018 was USD 1,173,563 (2017: USD 2,423,563). The effective interest rate on the facility at 30 June 2018 was 5.5% (2017: 4.98%).
- b) A 6 year term loan of Shs 860,000,000 taken in 2018 to finance the purchase and construction of a new wheat milling plant in Eldoret. Interest charged is Central Bank Rate (CBR) plus 3% margin. The facility has a moratorium of 12 months after the first drawdown which was made on 28 April 2018. The loan is repayable in equal installments after the end of the moratorium. Total drawdowns at 30 June 2018 amounted to Shs 742,606,000. The effective interest rate on the facility at 30 June 2018 was 12%.



NOTES (continued)

The borrowings are secured by an all assets debenture for Shs 1.885 billion, corporate guarantees by Unga Group Plc of Shs 1.885 billion and legal charges of Shs 1.885 billion over certain properties.

18 Post-employment benefits obligation

The Group operates an unfunded post-employment benefit plan which provides service gratuity to its unionised employees based on final salary and years of service. The movement in the obligation based on past service cost is as follows

Service gratuity	Group	
	2018 Shs'000	2017 Shs'000
At start of year	17,151	97,098
Credit to profit or loss	(7,800)	10,607
Transferred to defined pension scheme (Note 28)	-	(82,351)
Payments in the year	-	(8,203)
At end of year	9,351	17,151

19 Deferred income tax

Deferred income tax is made up of the following

	Group	
	2018 Shs'000	2017 Shs'000
Deferred income tax asset	25,234	32,734
Deferred income tax liability	(356,202)	(370,079)
Net deferred income tax liabilities	(330,968)	(337,345)



NOTES (continued)

Deferred income tax is calculated using the enacted income tax rate of 30% (2017: 30%). The movement in the net deferred income tax liabilities is as follows:

Deferred income tax is made up of the following

	Group	
	2018	2017
	Shs'000	Shs'000
At start of year		
-as previously reported	(580,991)	(520,477)
-reversal of revaluation surplus (Note 32)	243,646	254,467
-as restated	(337,345)	(266,010)
Credit to profit or loss	6,418	(68,554)
Credit to other comprehensive income	(41)	(2,781)
At end of year	(330,968)	(337,345)

19 Deferred income tax (continued)

Group	01.07.2017	Charged/ (credited)	(Credit) to OCI	30.06.2018
Year ended 30 June 2018		to P/L		
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	574,252	(56,283)	-	517,969
Retirement benefits scheme asset	12,892	-	41	12,933
	587,144	(56,283)	41	530,902
Deferred income tax assets				
Unrealized exchange losses	(52,527)	(61,814)	-	(114,341)
Other deductible differences	(106,297)	24,499	-	(81,798)
Tax losses carried forward	(90,975)	(29,576)	-	(120,551)
	(249,799)	(66,891)	-	(316,690)
Deferred income tax asset not recognised	-	116,756	-	116,756
Net deferred income tax	337,345	(6,418)	41	330,968

During the year, The Group has not recognised the deferred income tax asset arising from tax losses carried forward in a subsidiary entity because it is uncertain as to when the Company will generate sufficient future profits to utilize the asset

NOTES (continued)**19 Deferred income tax (continued)**

Year ended 30 June 2017	01.07.2016	Charged/ (credited) to P/L	(Credit) to OCI	30.06.2017
	Shs'000	Shs'000	Shs'000	Shs'000
Deferred income tax liabilities				
Property plant and equipment	470,567	103,685	-	574,252
Retirement benefits scheme asset	10,111	-	2,781	12,892
	<u>480,678</u>	<u>103,685</u>	<u>2,781</u>	<u>587,144</u>
Deferred income tax assets				
Unrealized exchange losses	(11,969)	(40,558)	-	(52,527)
Other deductible differences	(166,536)	60,239	-	(106,297)
Tax losses carried forward	(36,163)	(54,812)	-	(90,975)
	<u>(214,668)</u>	<u>(35,131)</u>	<u>-</u>	<u>(249,799)</u>
Net deferred income tax	<u>266,010</u>	<u>68,554</u>	<u>2,781</u>	<u>337,345</u>

20 Inventories

Group	2018 Shs'000	2017 Shs' 000
Raw materials	2,108,900	1,254,611
Finished products	320,976	160,983
Packing materials	139,621	109,678
Engineering stores	120,316	110,671
Goods in transit	-	685,864
	<u>2,689,813</u>	<u>2,321,807</u>

NOTES (continued)**21 Trade and other receivables**

	Group		Company	
	2018	2017	2018	2017
	Shs'000	Shs'000	Shs'000	Shs'000
Trade receivables	1,316,470	1,479,525	-	-
Provision for impairment losses	(420,148)	(244,738)	-	-
	896,322	1,234,787	-	-
VAT recoverable	530,389	245,783	-	-
Other receivables and prepayments	863,945	547,165	44,547	45,090
Due from related parties (Note 33)	522,782	412,964	98,260	89,855
	2,813,438	2,440,699	142,807	134,945
Movements on the provision for impairment of trade receivables are as follows:				
At start of year	244,738	211,165	-	-
Charge to profit or loss in the year	175,410	33,573	-	-
At end of year	420,148	244,738	-	-
22 Trade and other payables				
Trade payables	889,627	592,944	-	-
Other payables and accrued expenses	1,611,579	2,235,535	31,980	24,897
Due to related parties (Note 33)	110,263	933,313	278,792	242,201
	2,611,469	3,761,792	310,772	267,098



NOTES (continued)**23 Capital grants**

Capital grants relate to amounts received from the Dutch government as a partial funding for the construction of a new fish milling plant at the Dakar road premises. The grant is being amortised over the plants' useful life. The movement in the year is as follows;

	2018	2017
	Shs'000	Shs'000
At start of year	45,409	-
Grant received in the year	20,738	45,599
Amortisation to profit or loss	(2,993)	(190)
	63,154	45,409

24 Property, plant and equipment

	Buildings	Plant and equipment	Motor vehicles	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 30 June 2017					
At start of the year					
-as previously reported	599,837	1,993,844	49,994	274,707	2,918,382
-reversal of revaluation surplus (Note 32)	(525,632)	(322,592)	-	-	(848,224)
-as restated	74,205	1,671,252	49,994	274,707	2,070,158
Currency translation differences	(3,693)	(8,455)	(990)	(3,877)	(17,015)
Additions	306,891	396,471	28,491	59,557	791,410
Transfer from WIP	168,711	62,042	7,445	(238,198)	-
Transfer to intangible assets	-	-	-	(23,606)	(23,606)
Disposals	-	(584)	-	-	(584)
Depreciation charge	(5,710)	(180,036)	(23,045)	-	(208,791)
Closing net carrying amount	540,404	1,940,690	61,895	68,583	2,611,572
At 30 June 2017					
Cost	617,994	2,710,769	275,432	68,583	3,672,778
Accumulated depreciation	(77,590)	(770,079)	(213,537)	-	(1,061,206)
Net carrying amount	540,404	1,940,690	61,895	68,583	2,611,572



NOTES (continued)**24 Property, plant and equipment (continued)**

	Buildings	Plant and equipment	Motor vehicles		
	Shs' 000	Shs' 000	Shs'000		
Year ended 30 June 2018					
At start of the year					
-as previously reported	1,050,998	2,242,251	61,895	68,583	3,423,727
-reversal of revaluation surplus (Note 32)	(510,594)	(301,561)	-		(812,155)
-as restated	540,404	1,940,690	61,895	68,583	2,611,572
Currency translation differences	-	422	-	-	422
Additions	38,360	51,566	37,698	748,144	875,768
Transfer from WIP	7,191	21,512	-	(28,703)	-
Disposals	-	(704)	-	-	(704)
Depreciation charge	(27,476)	(204,886)	(29,738)	-	(262,100)
Provision for impairment	-	(30,582)	(96)	-	(30,678)
Closing net carrying amount	558,478	1,778,018	69,759	788,024	3,194,280
At 30 June 2018					
Cost	663,545	2,752,983	313,034	788,024	4,517,586
Accumulated depreciation	(105,066)	(974,965)	(243,275)	-	(1,323,306)
Net carrying amount	558,479	1,778,018	69,759	788,024	3,194,280

Included in property, plant and equipment are fully depreciated assets with a cost/valuation of Shs 325,026,849 (2017: Shs 232,311,872). The normal annual depreciation on these assets would have been Shs 10,478,650 (2017: Shs 64,075,172).

The Group has pledged assets with net book value of Shs 217,307,932 (2017: Shs 251,929,375) to secure bank borrowings (see Note 12).



NOTES (continued)**25 Prepaid operating lease rentals**

	2018	2017
	Shs' 000	Shs' 000
Cost		
At start of year	55,978	56,812
Currency translation differences	-	(834)
	55,978	55,978
Amortisation		
At start of year	28,619	27,839
Currency translation differences	(1,385)	(172)
Write-offs	7,063	-
Amortisation for the year	3,327	952
At end of year	37,624	28,619
Carrying amount at end of year	18,354	27,359

The operating lease prepayment relates to leasehold land.

The Group has pledged leasehold land with a net book value of Shs 16,512,750 (2017 – Shs 20,745,093) to secure borrowings granted to it (see Note 17).

The leasehold land in Kenya and Uganda was valued as at 28 February 2018 and 28 February 2017 respectively by registered valuers on an open market value basis at Shs 2,650,000,000 (US\$26,237,000) and Shs 18,564,000 (US\$ 1,875,000).

NOTES (continued)**26 Intangible assets**

	2018	2017
	Shs'000	Shs'000
Computer software	74,300	166,343
	74,300	166,343
(a) Computer software		
Group		
Cost		
At start of year	352,366	309,055
Additions	8,484	19,706
Transfer from WIP	8,062	23,606
At end of year	368,912	352,367
Amortisation		
At start of year	186,022	100,444
Exchange difference	480	41
Amortisation for the year	108,110	85,539
At end of year	294,612	186,024
Net book value	74,300	166,343



NOTES (continued)**27 Investment in subsidiaries – Company****Unquoted investment at cost in wholly owned subsidiary**

	2018	2017
	Shs'000	Shs'000
Unga Investments Limited	1,297,335	1,297,335

Details of the Company's subsidiaries are as follows:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Investments Limited	Kenya	Operates as a holding and an investment company.	100	22,200

Unga Investments Limited has a 65% holding in its subsidiary, Unga Holdings Limited which operates as a holding company in Kenya and has the following subsidiaries:

Company name	Principal place of business	Principal activity	% Interest held	Share capital Shs'000
Unga Limited	Kenya	Milling of wheat and maize	100%	220,000
Unga Farm Care (EA) Limited	Kenya	Manufacture of animal nutrition products and distribution of animal health products	100%	22,520
Unga Feeds Limited	Kenya	Dormant company	100%	42,300
Unga Foods Limited	Kenya	Dormant company	100%	15,400
Unga Millers (U) Limited	Uganda	Milling of wheat and maize, and distribution of animal nutrition products	100%	7,280
Ennsvalley Bakery Limited	Kenya	Manufacture and sale of cakes, breads and pastry	100%	250



NOTES (continued)**28 Retirement benefits asset**

The Group operates a defined benefits pension plan for employees of Unga Limited and Unga Farm Care (EA) Limited. The retirements benefits scheme asset represents the actuarial allocation of the surplus of the fair value of the scheme assets over the value of past service pension obligations after applying an asset ceiling to the Group. An asset ceiling has been applied only to recognise the benefit arising from reduced employer contributions available to the Group as a result of the scheme being in an actuarial surplus position..

The amount included in the statement of financial position arising from the company's obligation in respect of this defined benefits pension scheme is arrived at as follows:

	2018 Shs'000	2017 Shs'000
Present value of funded obligations	668,155	562,773
Fair value of plan assets	(717,502)	(597,474)
Surplus on funded plan	(49,347)	(34,701)
Impact of asset ceiling	24,673	16,764
Retirement benefit scheme asset recognised in the statement of financial position	(24,674)	(17,937)



NOTES (continued)**28 Retirement benefits asset (continued)**

The movement in the retirement benefit scheme asset over the year was as follows:

Year ended 30 June 2017	Present value of Obligation Shs'000	Fair value of plan assets Shs'000	Total Shs'000	Impact of asset ceiling Shs'000	Total Shs'000
At start of year	197,046	(451,627)	(254,581)	213,275	(41,306)
Current service cost	35,962	-	35,962	-	35,962
Interest expense/ (income)	35,499	(69,215)	(33,716)	30,391	(3,325)
Charge to profit or loss	71,461	(69,215)	2,246	30,391	32,637
Re measurements:					
Return on plan assets	-	(3,909)	(3,909)	-	(3,909)
Change in assumptions	219,476	-	219,476	-	219,476
Change in asset ceiling	2,067	-	2,067	(226,902)	(224,835)
Charge to other comprehensive income	221,543	(3,909)	217,634	(226,902)	(9,268)
Contributions :					
Employee	34,335	(75,973)	(41,638)	-	(41,638)
Employer	82,351	(40,713)	41,638	-	41,638
Payments from plan:	(43,963)	43,963	-	-	-
	72,723	(72,763)	-	-	-
At end of year	562,773	(597,474)	(34,701)	16,764	(17,937)

NOTES (continued)**28 Retirement benefits asset (continued)**

Year ended 30 June 2018	Present value of Obligation	Fair value of plan assets	Total	Impact of asset ceiling	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year	562,773	(597,474)	(34,701)	16,764	(17,937)
Current service cost	45,134	-	45,134	-	45,134
Interest expense/ (income)	77,644	(82,593)	(4,949)	2,265	(2,684)
Charge to profit or loss	122,778	(82,593)	40,185	2,265	42,450
<i>Re measurements:</i>					
Return on plan assets	-	(4,239)	(4,239)	-	(4,239)
Change in assumptions	(1,541)	-	(1,541)	-	(1,541)
Change in asset ceiling	-	-	-	5,644	5,644
Charge to other comprehensive income	(1,541)	(4,239)	(5,780)	5,644	(136)
<i>Contributions :</i>					
Employee	37,675	(37,675)	-	-	-
Employer	-	(49,051)	(49,051)	-	(49,051)
Payments from plan:	(53,530)	53,530	-	-	-
	(15,855)	(33,196)	(49,051)	-	(49,051)
At end of year	668,155	(717,502)	(49,347)	24,673	(24,674)



NOTES (continued)

The sensitivity of the defined benefit obligation to changes in the weighted principal assumptions is as follows:

At 30 June 2018

Discount rate	At current discount rate	1% Increase	1% Decrease
	Shs ' million	Shs ' million	Shs ' million
Present value of obligation	668.2	674.8	661.6

At 30 June 2017

Present value of obligation	562.7	566.6	548.8
-----------------------------	-------	-------	-------

28 Retirement benefits asset (continued)

The significant actuarial assumptions were as follows;

	2018	2017
Discount rate	13.33%	13.50%
Rate of salary escalation	10%	10%
Rate of pension increases	0%	0%

Since the bulk of the benefits payable under the scheme are salary related and there are no pensions paid from the scheme, the sensitivity of the liability to a change in the salary escalation assumption is expected to be consistent with the sensitivity to the discount rates.

The plan assets are comprised of the following;

	2018	2018	2017	2017
	Shs'0000	%	Shs'0000	%
Quoted equities	251,126	35%	139,809	23.4%
Offshore investments	28,700	4%	20,912	3.5%
Government bonds	301,351	42%	410,465	68.7%
Commercial paper and corporate bonds	50,225	7%	23,301	3.9%
Fixed and time deposits	78,925	11%	4,182	0.7%
Net current assets/ (liabilities)	7,175	1%	(1,195)	(0.2%)
Total	717,502	100%	597,474	100%

NOTES (continued)

Through its defined benefit pension plans and, the Group is exposed to a number of risks, the most significant of which are detailed below:

Asset volatility

The plan liabilities are calculated using a discount rate set with reference to treasury bonds yields; if plan assets underperform this yield, this will create a deficit. The plan assets currently exceed the liabilities and this risk is therefore not considered significant.

Changes in bond yields

A decrease in treasury bond yields will increase plan liabilities, although this will be partially offset by an increase in the value of the plans' bond holdings.

29 Cash generated from operations

(a) Reconciliation of profit before income tax to cash generated from operations:

Group	2018 Shs'000	2017 Shs'000
Profit before income tax from continuing and discontinuing operations	1,293,695	83,506
Adjustments for:		
Depreciation (Note 24)	262,100	208,791
Asset write-off (Note 24)	30,678	-
Write-off of prepaid operating lease rentals (Note 25)	7,063	-
Goodwill written-off	-	150,473
Interest paid	87,131	47,341
Amortisation of prepaid operating lease rentals (Note 25)	3,327	952
Amortisation of intangible assets (Note 26)	108,110	85,539
Amortisation of capital grant (Note 23)	(2,993)	(190)
Gain on disposal of property, plant and equipment	(5,219)	(8,678)
Post-employment benefits obligation	(7,800)	(79,948)
Working capital changes:		
-inventories	(368,006)	240,567
-trade and other receivables	(372,739)	(368,281)
-trade and other payables	(1,151,726)	1,458,573
Cash generated from operations	(116,379)	1,818,645

NOTES (continued)**Company**

(Loss)/ Profit before income tax

Adjustments for:

Working capital changes:

-trade and other receivables

-trade and other payables

Cash generated from operations**2018**
Shs'000**2017**
Shs'000

(21,549)

74,413

(7,862)

(19,475)

43,674

38,812

14,263**93,750**

- (b) For the purposes of the statement of cash flows, cash equivalents include short term liquid investments which are readily convertible into known amounts of cash and which were within three months of maturity when acquired, less advances from the bank repayable within three months from the date of advance.

Group**2018**
Shs'000**2017**
Shs'000

Bank balances

860,024

960,295

Call deposits

226,377

754,460

Cash balances

2,054

-

Cash and cash equivalents

1,088,455

1,714,755

Company

Bank balances

2,405

1,059

Call deposits

226,377

289,167

228,782

290,226

The effective interest rate on call deposit at 30 June 2018 was 9.25% (2017: 9.6%)



NOTES (continued)**30 Discontinuing operations**

On 22 June 2017, the company resolved to cease milling operations of its subsidiary Unga Millers (U) Limited while it evaluates available business remodelling options going forward. The subsidiary results for the year ended 30 June 2018 are presented as discontinued operations

An analysis of the result of discontinuing operations is as follows

	2018	2017
	Shs'000	Shs'000
Revenues	107,216	577,262
Expenses	(112,787)	(722,108)
Loss before tax from discontinued operations	(5,571)	(144,846)
Current income tax credit	-	25,895
Total comprehensive loss and loss for the year from discontinued operations	(5,571)	(118,951)
Attributable to owners of parent	(3,621)	(77,318)
Attributable to non-controlling interest	(1,950)	(41,633)
	(5,571)	(118,951)
a) Cash flows from discontinuing operations		
Operating cash flows	(34,304)	27,522
Investing cash flows	611	(932)
Total cash flows	(33,693)	26,590

31 Capital commitments

	2018	2017
Group	Shs'000	Shs'000
Authorised and contracted	-	1,465,180
Authorised but not contracted	608,050	557,474
	608,050	2,022,654



NOTES (continued)

The bulk of the capital commitments relate to the planned installation of a wheat mill in the Eldoret site and set up of a new soya bean meal processing plant in Nairobi Dakar Road site.

During the year, the Group through its subsidiary, Unga Limited entered into a contract with Cargill Kenya Limited for supply of white milling maize. The quantity contracted was 6,000 MT at Shs 2,700 per 90 kg bag. Total commitment at 30 June 2018 was Shs 180 million (2017: Nil).

32 Prior year adjustment- Reversal of revaluation surplus

During the year, management changed the accounting policy for property, plant and equipment to carry all property, plant and equipment items at historical cost less depreciation and any impairment losses. Property, plant and equipment were previously carried at cost or as professionally revalued less accumulated depreciation and any impairment losses. The reasons for the change are;

- i) The Group's main business is the manufacturing of human nutrition products, animal nutrition products and the distribution of animal health products. Property, plant and equipment are for use in the Group's business. Management believe that carrying property, plant and equipment at historical cost less depreciation and any impairment losses provides users of the financial statements with more reliable and relevant information about the value of the assets based on the Group's business. The change in accounting policy has been accounted for retrospectively;
- ii) To align the Group's accounting policy to that of a significant shareholder in a subsidiary company.

The overall impact is as follows;

	Property, plant and equipment Shs'000	Deferred income tax asset Shs'000	Other reserves Shs'000	Retained earnings Shs'000	Non-controlling interests Shs'000	Profit for the year Shs'000
At 30 June 2016						
At 30 June 2016						
As previously stated	2,918,382	552,753	698,848	2,480,889	2,065,309	508,816
Reversal of revaluation surplus	(848,224)	(254,467)	(725,054)	339,112	(207,815)	-
As restated	2,070,158	298,286	(26,206)	2,820,001	1,857,494	508,816
As previously stated	3,423,727	613,725	674,484	2,594,807	1,757,981	(32,286)
Reversal of revaluation surplus	(812,155)	(243,646)	(700,050)	339,355	(207,815)	25,247
As restated	2,611,572	370,079	(25,566)	2,934,162	1,550,166	(7,039)

NOTES (continued)**33 Related party transactions**

The Company is listed on the Nairobi Securities Exchange and the shares are widely held. During the year the following transactions were entered into with related parties

i) Sale of goods and services

	Group		Company	
	2018	2017	2018	2017
	Shs'000	Shs'000	Shs'000	Shs'000
Sale of finished goods – Kenchic Limited	2,299,668	2,166,351	-	-

ii) Purchase of goods and services from affiliates and related parties

Raw material purchases – Seaboard Overseas Limited	5,293,666	3,733,161	-	-
Other expenses – Seaboard Overseas Management Company	47,506	47,533	-	-
Purchase of equipment and spares – Seaboard Overseas Group	42,520	48,988	-	-
Interest charged on trade finance – Seaboard Overseas Limited	72,421	29,137	-	-
	5,456,113	3,858,819	-	-

Seaboard is affiliated by virtue of being part of the non-controlling interest as set out in note 18. Seaboard Corporation is a company with significant shareholding in the parent company. Seaboard Overseas Limited, Seaboard Overseas Group and Seaboard Overseas Management Company are subsidiaries of Seaboard Corporation.

The group is also related to some of its customers by virtue of common shareholding. These are Kenchic Limited and NAS Holdings Limited and its affiliates.

The company is also related to one of its bankers, NIC Bank Limited, by virtue of common directorships



NOTES (continued)**iii) Key management compensation**

	Group		Company	
	2018	2017	2018	2017
	Shs'000	Shs'000	Shs'000	Shs'000
Salaries and other short-term employment benefits	176,155	133,298	-	-

iv) Directors' remuneration

Fees	16,175	16,810	16,175	16,810
Other emoluments	47,159	39,573	-	-
	63,334	56,383	16,175	16,810

v) Due from related companies

Unga Investments Limited	-	-	41,564	33,159
Unga Feeds Limited	-	-	7,000	7,000
Unga Holdings Limited	-	-	49,696	49,696
NAS Holdings Limited and its affiliates	655	655	-	-
Kenchic Limited	522,127	412,309	-	-
	522,782	412,964	98,260	89,855

vi) Due to related companies

Unga Limited	-	-	141,573	104,982
Unga Investments Limited	-	-	136,886	136,886
Unga Farm Care (E.A) Limited	-	-	333	333
Seaboard Corporation subsidiaries	105,055	852,224	-	-
NAS Holdings Limited and its affiliates	5,208	81,089	-	-
	110,263	933,313	278,792	242,201

vii) Bank balances with related parties

NIC Bank	613,400	171,984	231,827	101,184
----------	---------	---------	---------	---------

OUR REGIONAL FOOTPRINT



NOTICE OF THE ANNUAL GENERAL MEETING

UNGA GROUP Plc (“the Company”)

NOTICE IS HEREBY GIVEN that the Ninety First (91st) Annual General Meeting of the Company will be held at the Kenya School of Government (next to the University of Nairobi – Lower Kabete Campus), Lower Kabete Road, Lower Kabete, Kiambu County, on Thursday, 6 December 2018 at 10:00 a.m. for the following purposes:-

ORDINARY BUSINESS

1. To read the notice convening the meeting.
2. To confirm the minutes of the Ninetieth (90th) General Meeting held on Tuesday, 5 December 2017.
3. To receive the Chairman’s report.
4. To receive and adopt the Consolidated Audited Financial Statements for the financial year ended 30 June 2018 together with the reports of the Directors and the Auditors thereon.
5. To consider and approve a first and final dividend of Shs 1.00 per share for the year ended 30 June 2018 payable on Thursday, 31 January 2019 to the shareholders on the Register of Members at the close of business on Thursday, 6 December 2018, and to approve the closure of the Register of Members for one day from the close of business on Thursday, 6 December 2018 to close of business on Friday, 7 December 2018 for the purpose of processing the dividend.
6. Election of Directors:-
 - a) In accordance with the provisions of Articles 88 and 89 of the Company’s Articles of Association:-
 - i) Mr Vitalis Ondeke Ojode retires at this meeting and being eligible, offers himself for re-election.
 - ii) Mr Alan McKittrick retires at this meeting and being eligible, offers himself for re-election.

- b) In accordance to the provisions of Section 769 of the Companies Act 2015, the following directors being members of the Board Audit & Risk Committee be elected to continue to serve as members of the said committee:-
 - i) Ms Shilpa Haria;
 - ii) Mr Jinaro Kipkemoi Kibet;
 - iii) Mr Andrew Stewart Mwangi Ndegwa; and
 - iv) Mr Vitalis Ondeke Ojode

7. Directors’ Remuneration:-

- a) To approve the Directors’ Remuneration Policy as shown in the audited Financial Statements for the year ended 30 June 2018.
- b) To approve the Directors’ Remuneration Report as shown in the audited Financial Statements for the year ended 30 June 2018.
8. To appoint Messrs PricewaterhouseCoopers (PwC) as Auditors of the Company in accordance with the provisions of Section 721 (2) of the Companies Act 2015 and to authorize the Directors to fix their remuneration for the ensuing financial year in accordance with the provisions of Section 724 (1) of the Companies Act 2015.
9. Any Other Business of which due notice has been received.

BY ORDER OF THE BOARD

WINNIEFRED N JUMBA

COMPANY SECRETARY

14 November 2018



NOTICE OF THE ANNUAL GENERAL MEETING (continued)

Notes:

1. A member entitled to attend and vote is entitled to appoint a proxy to attend and vote in his stead and a proxy need not be a member of the Company.
2. In the case of a member being a limited Company, this form must be completed under its common seal or under the hand of an officer or attorney duly authorised in writing.
3. The proxy form can be obtained from the Company's website (www.ungagroup.com), at the registered office of the Company, Ngano House, Commercial Street, Industrial Area, Nairobi or from the Registrars- Custody & Registrars, 6th Floor Bruce House, Standard Street, Nairobi.
4. To be valid, a form of proxy, which is provided with this report, must be duly completed by the member and must be lodged at the Company's Offices, Ngano House, Commercial Street, Industrial Area, P O Box 30096, 00100-Nairobi, or posted in time to reach not later than 10:30 a.m. on Tuesday, 4 December 2018, in an envelope marked "AGM". Duly signed proxy forms may also be emailed to proxy@candrgroup.co.ke in PDF format.
5. In accordance with Article 37.3 of the Company's Articles of Association, a copy of the entire Annual Report and Financial Statements may be viewed and/or obtained from the Company's website (www.ungagroup.com) as provided under the Companies Act, 2015. Hard copies of the Annual Report and Financial Statements may also be collected at the registered office of the Company, Ngano House, Commercial Street, Industrial Area, Nairobi or from the Registrars - Custody & Registrars, 6th Floor Bruce House, Standard Street, Nairobi.
6. Subject to the shareholders' approval, the Register of Members will be closed from the close of business on Thursday, 6 December 2018 to close of business on Friday, 7 December 2018 for the purpose of processing the dividend.
7. All present and former shareholders of the Company are hereby notified that pursuant to the provisions of the Unclaimed Financial Assets Act No 40 of 2011 Parts II and III, dividends and shares which have not been claimed for a period of three (3) years or more will require to be delivered to the Unclaimed Financial Assets Authority ('the Authority') as abandoned assets on the appointed date. Therefore, all present and former shareholders with unpaid dividends are requested to urgently contact the Share Registrar, Custody & Registrars Services Limited at the address indicated below to claim any unpaid dividends to avert the risk of the dividends being forwarded to the Authority.

Custody & Registrars Services Ltd
6th Floor, Bruce House Standard Street
Nairobi

Tel: (+254-20) 2230518/271/493/488
Mobile: 0726 971 599/0737 095 124
Email: crs@candrgroup.co.ke
8. All shareholders of the Company are reminded to update their corresponding postal addresses and profile details with their respective stock brokers to avoid any inconveniences relating to future communications with the Company.



PROXY FORM

I/WE _____ of _____

being a member/members of Unga Group Plc, hereby appoint _____

and failing him/her _____ whom failing, the duly appointed Chairman of the Meeting, as my/our proxy, to vote for me/us and on my/our behalf at the Ninety First (91st) Annual General meeting of the Company to be held on Thursday, 6 December 2018 at 10.00 a.m. and at any adjournment thereof.

I authorise my proxy to vote as follows on the resolutions for the meeting:

Item	Yes	No
2	☐	☐
4	☐	☐
5	☐	☐
6 (a)	☐	☐
(b)	☐	☐
7 (a)	☐	☐
(b)	☐	☐
8	☐	☐

As witness my/our hand this _____ day of _____ 2018 **Signed** _____**Notes:**

1. If you are unable to attend this meeting personally, this form should be completed and returned to the Secretary, Unga Group Plc, P O Box 30096, 00100 Nairobi, to reach her no later than 48 hours before the time appointed for the meeting.
2. A person appointed to act as a proxy need not also be a member of the Company.
3. If the appointer is a corporation, this form must be under its common seal or under the hand of an officer or an attorney duly authorised in writing.



FOLD 2



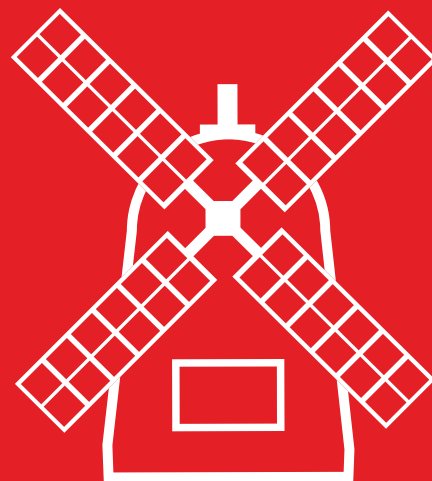
FOLD 1

The Secretary
UNGA GROUP PIC
P.O. Box 30096
00100 GPO
NAIROBI

FOLD 3

NOTES





1908 - 2018

Nutrition for Life